



Project Groundworks

Financial Due Diligence Assistance
November 2022

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Disclaimer

This draft report is provided to Groundworks, LLC ("Client" or "You") pursuant to our engagement letter, dated April 25, 2022 and engagement letter addendum dated August 17, 2022, and is subject in all respects to the terms and conditions of that engagement letter, including restrictions on use of this draft report by third parties. If this draft report is received by anyone other than Client the recipient is placed on notice that it has been prepared solely for Client's benefit and its own use. KPMG does not authorize recipient or any other party to rely on this draft report and any such reliance shall be at recipient's sole risk. Therefore, KPMG LLP shall have no liability or responsibility in respect of the advice, recommendations, or other information in the draft report to recipient or any other party other than Client. Further, this draft report and its contents may not be shared with or disclosed by the recipient to anyone without the express written consent of Client.

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Important Notice Regarding Quality of Earnings Analysis

Our Quality of earnings analysis is intended to highlight items and analyze potential adjustments that have been identified that you may consider in your analysis of historical earnings and trends within the business. This may include adjustments for items identified that may be considered unusual, non-recurring or otherwise not reflective of current or normal trends in the business. Our analysis may also include items identified that are considered run-rate or pro forma type adjustments. These items have been presented to analyze the potential impact to the business of certain actions, or events as if those actions or events had occurred at the beginning of the period presented.

There is no authoritative or common standard for a Quality of earnings analysis or the types of adjustments that are shown in the analysis. The adjustments are being shown for illustrative purposes to help you evaluate the potential impact to the business of certain transactions, actions or events. We make no representation that similar items will not occur in the future or that the resulting analysis is reflective of normal or future results. Further, while our analysis has attempted to highlight and quantify the potential impact of a transaction, activity of event, there may be other consequences which cannot be identified, quantified or predicted. You should make your own determination about how you consider these items in your analysis of the business.

The potential adjustments and items identified in our analysis are based upon the procedures performed and may not be inclusive of all potential adjustments or items that may be relevant to your analysis. Further work may identify additional items or potential adjustments or changes to the items or potential adjustments identified.

November 8, 2022

PRIVATE

Stephen Frey
Chief Financial Officer
Groundworks, LLC
1741 Corporate Landing Pkwy
Virginia Beach, Virginia 23454

Mr. Stephen Frey:

We have completed our engagement to assist Groundworks, LLC ("Client", "you", the "Company", or the "Business") in performing due diligence of your business in accordance with the terms of our engagement letter dated April 25, 2022, and engagement letter addendum dated August 17, 2022, including its Standard Terms and Conditions. Please refer to the separate report for Tax Due Diligence assistance.

Objective

The objective of our engagement was to assist you with your ongoing sales process. Our diligence was conducted via an online data room, conference calls, virtual and in person meetings with management, and virtually reading the audit workpapers for 2021. The primary scope of our engagement was to obtain, read, make inquiries concerning, and comment on information that you provided to us, directed toward those business activities and related financial data that you identified as important to your divestiture decision.

Basis of information

The engagement letter describes the procedures we were to perform; a summary of those procedures is included as an appendix to this report. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures you selected, and those procedures will not necessarily disclose all significant matters about the Company or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. We have indicated in our report any instances in which procedures you requested could not be performed. This report was prepared by us on the basis that you provided us with all relevant information you received concerning the Company. You have reviewed a draft of our report and confirmed that the procedures we performed were consistent with those requested by you.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the American Institute of Certified Public Accountants ("AICPA"), and we have not otherwise verified the information we obtained or presented in this report. Also, any procedures we performed with respect to the Company's internal control over financial reporting were substantially less in scope than an examination of internal control conducted in accordance with Statements on Standards for Attestation Engagements issued by the AICPA.

Therefore, we express no opinion or any other form of assurance on the Company's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

Furthermore, we have not compiled, examined, or applied other procedures in accordance with Statements on Standards for Attestation Engagements issued by the AICPA to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

Our procedures concentrated on the following financial information:

- Audited financial statements for the fiscal years ended December 31, 2020, December 31, 2021, and unaudited financial statements for the period ended June 30, 2022;
- Transaction level information for Jan-20 through Jun-22; and
- Other unaudited financial information provided by management.

Specific officers and management interviewed included: Stephen Frey (CFO), Kelly Rich (VP of Finance), Rose Pereira (Sr Director of Finance), Tricia Morgan (Controller), Adam Currie (VP of HR), and John Thornton (CMO).

We read certain of the selected audit work papers that Grant Thornton prepared in connection with its audit of the 2021 financial statements of the Company, and to which Grant Thornton granted us access and noted no disputes with management.

The data included in this report was obtained from you and the Company on or before November 8, 2022. Changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to November 8, 2022. We have reviewed a draft of this report with you for the purpose of confirming the factual accuracy of the information we presented.

Please contact Manfred Caranci at +1 978-853-7530 or Michael Petoia at +1 212-872-3286 if you have any questions or comments on this report. We look forward to continuing to provide service to you in the future.

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Glossary

[0]	As reported	COO	Chief Operating Officer	HSR	Hart-Scott-Rodino Act
[1]	As reported, including pre-acquisition results	COVID-19	Coronavirus disease	HX-2X	X half of year of 202X
[2]	As management adjusted	CRM	Customer relationship management	IBNR	Incurred but not reported
[3]	As potentially adjusted	CSO	Chief Sales Officer	IT	Information technology
[4]	As pro forma adjusted	CTO	Chief Technology Officer	KPI	Key performance indicator
\$'000	US Dollars, in thousands	D&O	Directors & Officers	LLC	Limited Liability Company
Adj.	Adjusted	DOH	Days inventory on hand	LTM	Last twelve months
AFDA	Allowance for doubtful accounts	DPO	Days payable outstanding	LXM	Last X months
AICPA	American Institute of Certified Public Accountants	DRE	Disregarded entity	MD&A	Management discussion & analysis
AMEX	American Express	DSO	Days sales outstanding	Mgmt	Management
AP	Accounts payable	EBITDA	Earnings before interest, taxes, depreciation and amortization	MIP	Management Incentive Program
AR	Accounts receivable	EE	Employee	NI	Net income
ASC	Accounting Standards Codification	ER	Employer	NWC	Net working capital
ASP	Average sale price	ERP	Enterprise resource planning	OH	Overhead
BC	Business Central	FIFO	First in, first out	OOP	Out-of-period
CAM	Common area maintenance	f/k/a	Formerly known as	Opex	Operating expenses
Capex	Capital expenditures	FTE	Full-time employee	P&L	Profit & Loss statement
CARES Act	Coronavirus Aid, Relief, and Economic Security Act	G&A	General & administrative	PE	Private equity
CCC	Cash conversion cycle	GAAP	General Accepted Accounting Principles	PF	Pro forma
CEO	Chief Executive Officer	GF	Greenfield location	PM	Pre-merger
CFI	Certified Field Inspectors	GL	General ledger	PMI	Post-merger integration
CFO	Chief Financial Officer	GM	Gross margin	PO	Purchase order
CHRO	Chief Human Resources Officer	GRNI	Goods received but not invoiced	POS	Point of sale
CIO	Chief Information Officer	GSC	Groundworks Supply Center (formerly known as "IMG")	PPJ	Pay for performance bonus (pay per job)
CIP	Construction in progress	GT	Grant Thornton / Auditor	PTO	Paid Time Off
CMO	Chief Marketing Officer	HOA	Homeowner association	QX-XX	Quarter X-20XX
COGS	Cost of goods sold	HR	Human resource	QofE	Quality of earnings
Company, Groundworks, LLC, or the proposed transaction or GW				R&W	Representations & warranties

Glossary (2)

SCP	Succession Capital Partners
SEM	Search engine marketing
SG&A	Selling, general, and administrative
SKU	Stock keeping unit
T&E	Travel & entertainment
TB	Trial balances
TTM	Trailing twelve months
TXM	Trailing X months
USD	United States Dollar
VP	Vice President
WAC	Weighted average cost
WIP	Work in progress
YTD	Year-to-date

Brands

AFS	AFS Foundation & Waterproofing Specialists
AG	AquaGuard
Alpha	Alpha Foundations
Baker's	Baker's Waterproofing
BAWV	Basement Authority of West Virginia
BQ	BQ Basements & Concrete
CBS	Complete Basement Systems
CLS	CLS Foundation Repair & Waterproofing
DryPro	DryPro
FFA	Florida Foundation Authority
FRS	Foundation Recovery Systems
FRWC	Foundation Repair of Western Colorado
FSM	Foundation Systems of Michigan
FSS	Foundation Support Specialists
IBS	Innovative Egress Windows, incl. Innovative Basement Authority
IFS	Indiana Foundation Services
ITG	I'm the Guy
JES	JES Foundation Repair
MVFS	Mount Valley Foundation Services
OBA	Ohio Basement Authority
OBS	Ohio Basement Systems
Peak	Peak Structural
THBS	Tar Heel Basement Systems
GP	Gross Profit
USA	United States of America

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Executive summary

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Executive summary | Company overview

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1.1

Company overview

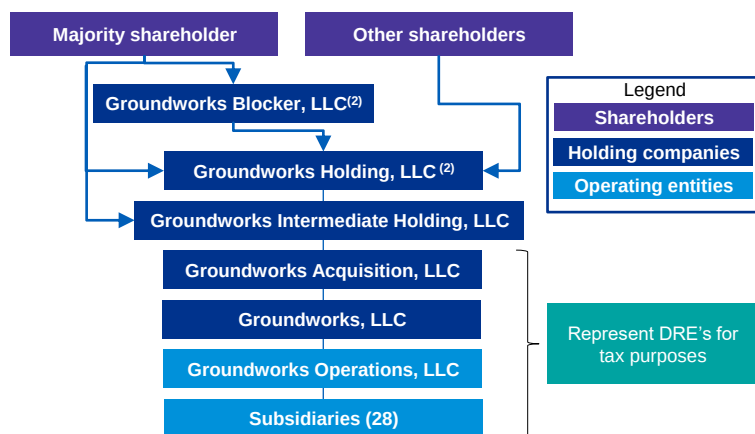
Background

Founded in 2016 and headquartered in Virginia Beach, Virginia, Groundworks, LLC and subsidiaries ("Groundworks", or "the Company") provide foundation repair and water management solutions primarily for residential customers. The Company was acquired by the current majority owner, Cortec Group, in Jan-20 and has since grown significantly through a combination of organic growth and acquisitions (2020 (5), 2021 (5) and YTD Jun-22 (3)).

The Company operates in the US (with no international operations) and sources materials used in its services primarily from domestic sources, with de minimis international vendor relationships. Operations are transacted in USD.

Legal entity structure

The financials statements covering Groundworks Intermediate Holding, LLC and its subsidiaries are audited. The Groundworks Holding, LLC and Groundworks Blocker, LLC entities are non-operating. Presented below is the Company's current legal structure. Refer to the *Appendix – Basis of presentation* for further details on the Company's current legal organization chart. Refer to the *Tax Due Diligence Report* for the contemplated transaction legal structure.



Source (all): Management provided information

Note (1): Entity chart above is of the date of this report.

Note (2): Groundworks Blocker and Groundworks Holding includes other holding companies not presented above. Refer to the *Appendix – Basis of presentation* for further details.

Divisional and regional structure

The Company is currently organized and managed by using a divisional operating structure, further segregated by region, based on geographic location of branches and their geographic service areas. The Company's corporate office, executive leadership team, and corporate functions are predominantly centralized within the Virginia Beach headquarters.

The current operating structure presented below was established in 2021 as the Company expanded geographically.

Performance by division and region ^[4]										
	Net revenue					EBITDA				
			LTM	YTD	YTD			LTM	YTD	YTD
\$'000	2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	Jun-22	Jun-21	Jun-22
South										
MidSouth	117,445	148,277	166,933	69,852	88,508	33,544	39,811	46,504	18,676	25,369
Florida	45,997	75,830	79,227	36,496	39,893	7,086	16,391	18,590	7,778	9,977
South	163,441	224,107	246,160	106,349	128,401	40,629	56,203	65,094	26,455	35,346
East										
MidAtlantic	82,774	108,210	112,923	54,066	58,779	20,600	27,451	25,179	15,317	13,045
Carolinas	63,191	93,296	108,251	43,202	58,157	13,663	19,745	25,129	9,047	14,431
NorthEast	37,483	49,984	63,736	22,820	36,572	9,170	7,595	11,297	4,181	7,883
East	183,448	251,490	284,909	120,089	153,509	43,433	54,790	61,605	28,544	35,359
West										
Plains	40,936	66,158	77,938	29,036	40,816	9,873	15,126	18,578	6,359	9,812
MidWest	60,208	71,246	77,492	34,061	40,307	16,829	16,664	16,868	8,595	8,799
Great Lakes	63,598	80,885	82,231	39,211	40,557	16,692	18,638	14,447	9,773	5,582
Mountain	45,025	59,641	67,626	24,829	32,815	5,589	9,657	11,110	3,274	4,727
West	209,767	277,930	305,287	127,137	154,495	48,982	60,084	61,003	28,001	28,920
A-1 Virginia Beach	5,780	8,422	9,339	4,081	4,999	696	1,639	2,122	740	1,223
Corporate	-	(0)	(0)	-	0	(28,569)	(42,633)	(46,648)	(21,265)	(25,280)
Total ^[4]	562,437	761,949	845,696	357,656	441,403	105,172	130,083	143,175	62,476	75,568

Note (1): Division and regional mapping presented above is based on management's structure as of the date of this report.

Note (2): Divisional and regional overhead excludes corporate allocations.

Company overview (2)

Service types

The Company's operations and revenue reporting are largely centered around what are referred to internally as "jobs". Jobs represent the main contract between the Company and the customer, and can be made up of multiple underlying "projects". Jobs are typically short term (~1-3 days) and the completion of all projects on a job is the driver of revenue recognition. Refer to the *Appendix – Basis of presentation* for further detail on how the Company recognizes revenue.

The Company's solutions are primarily foundation repair, crawlspace encapsulation, and basement waterproofing, and to a lesser extent concrete lifting, drainage solutions, and gutter installations. The master project type presentation below allocates all revenues on a specific job to the most significant project type on a given job, which is how the Company views project types internally.

Gross revenue - By master project type										
\$'000	Gross revenue					Gross revenue mix				
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Foundation repair	169,013	271,022	326,391	130,628	185,997	35.2%	36.0%	39.0%	37.2%	42.8%
Crawlspace encapsulation	120,004	205,861	219,243	93,306	106,688	25.0%	27.3%	26.2%	26.6%	24.6%
Basement waterproofing	130,735	176,922	195,260	81,543	99,881	27.2%	23.5%	23.4%	23.2%	23.0%
Concrete lifting	41,832	68,718	69,350	29,716	30,348	8.7%	9.1%	8.3%	8.5%	7.0%
Others	11,469	19,461	14,919	11,458	6,916	2.4%	2.6%	1.8%	3.3%	1.6%
Drainage and gutter	7,342	10,767	10,773	4,523	4,529	1.5%	1.4%	1.3%	1.3%	1.0%
Per transaction data	480,395	752,750	835,936	351,173	434,359	100.0%	100.0%	100.0%	100.0%	100.0%
Reconciling items	94,366	30,748	34,035	16,008	19,295					
Gross revenue (1)	574,761	783,498	869,971	367,181	453,654					

Source (all): Management provided information

Note: Reconciling items primarily relate to pre-acquisition branch activity excluded from the project level transactional revenue data presented, and timing variances. Refer to the *Appendix – Reconciliations* and detailed procedures for further details.

Financing partners

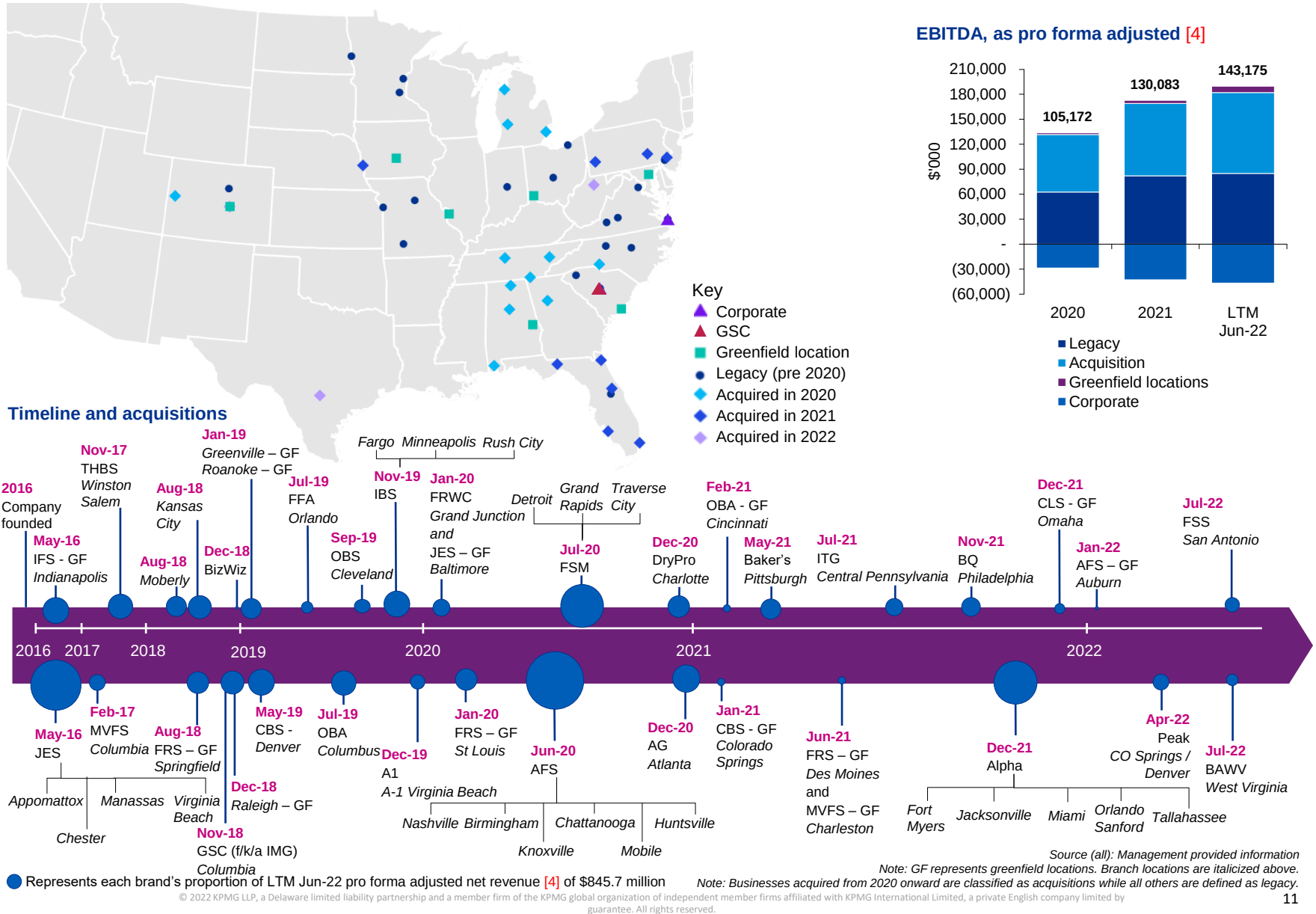
The Company offers third party consumer financing primarily through GreenSky, with ~29% of gross revenue financed by customers. Acquisitions may sometimes continue with historical financing programs for a short period post-acquisition, however the majority either already utilize GreenSky or transfer to GreenSky upon acquisition.

Gross revenue - financed and non-financed										
\$'000	Gross revenue					Gross revenue mix				
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Financed	118,246	196,089	243,979	94,355	142,246	24.6%	26.0%	29.2%	26.9%	32.7%
Non-financed	362,149	556,661	591,957	256,817	292,114	75.4%	74.0%	70.8%	73.1%	67.3%
Per transaction data	480,395	752,750	835,936	351,173	434,359	100.0%	100.0%	100.0%	100.0%	100.0%
Reconciling items	94,366	30,748	34,035	16,008	19,295					
Gross revenue (1)	574,761	783,498	869,971	367,181	453,654					

Note (1): Reconciling items primarily relate to pre-acquisition branch activity excluded from the project level transactional revenue data presented, and timing variances. Refer to the *Appendix – Reconciliations* and detailed procedures for further details. We understand that pre-acquisition financed revenue was not consistently tracked by acquisitions and as such the above is primarily for illustrative purposes.

Note (2): Financed gross revenue include only the revenue from the portion of a job that is financed through one of the Company's financing partners.

Company timeline, acquisitions, and footprint



Reported, incl. pre-acq. [1] to pro forma adjusted [4] income statement summary

The table below presents an income statement bridge from Reported incl. pre-acq. [1] to management adjusted [2] to Potentially adjusted, [3], and to Pro forma adjusted [4], as outlined in the *Quality of earnings* section of this report.

- The primary bridging components below pertain to the following:
 - i. *Management adjustments* – Represents management identified adjustments for non-recurring, non-operational, and one-time items presented by the Company, which were historically tracked by management on a monthly basis in separate trial balance accounts primarily within other income / expense (excluding Greenfield adjustments). These adjustments mainly relate to transaction-related expenses, acquisition-related integration expenses, personnel addbacks, and other non-cash / non-recurring items.
 - ii. *Potential adjustments* – Represents (i) revisions to management's adjustments; (ii) diligence adjustments for normalizations of bonus, bad debt, rebates, and other items; as well as (iii) other out-of-period adjustments.
 - iii. *Pro forma adjustments* – Represents adjustments to present a comparable historical period based on the Company's current operations, primarily comprised of (i) materials expense savings estimated for pre-acquisition periods as if GSC was the purchasing branch; (ii) pre-acquisition marketing expense savings; (iii) net cost savings related to reductions in acquired personnel; and (iv) rent expense on a straight-line basis.
- Financial information and related analyses throughout this report are primarily presented on a pro forma adjusted [4] basis. Note reclassifications are included in potential adjustments [3] and pro forma adjustments [4]. Refer to the *Appendix – Basis of presentation* for a reconciliation from EBITDA [0] to EBITDA [1] and *Appendix – Reconciliations and detailed procedures* for a reconciliation to the audit and details on reclassifications.

Adjusting income statement - Consolidated																					
\$'000	EBITDA, as reported incl. pre-acq. [1]			Management adjustments			EBITDA, as management adjusted [2]			Potential adjustments			EBITDA, as potentially adjusted [3]			Pro forma adjustments			EBITDA, as pro forma adjusted [4]		
	LTM			LTM			LTM			LTM			LTM			LTM			LTM		
	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22
Revenue, net																					
Gross revenue	574,761	783,498	869,971	-	(5,057)	(5,068)	574,761	778,441	864,903	(1,002)	(1,799)	(2,640)	573,759	776,642	862,263	-	-	-	573,759	776,642	862,263
Adjustments to revenue	(14,393)	(15,430)	(17,545)	-	143	103	(14,393)	(15,286)	(17,442)	3,071	593	874	(11,322)	(14,693)	(16,567)	-	-	-	(11,322)	(14,693)	(16,567)
Revenue, net	560,368	768,068	852,426	-	(4,913)	(4,965)	560,368	763,155	847,462	2,069	(1,206)	(1,766)	562,437	761,949	845,696	-	-	-	562,437	761,949	845,696
Cost of goods sold	278,927	382,155	426,009	-	(2,601)	(3,340)	278,927	379,553	422,669	73	(747)	(795)	279,000	378,806	421,874	(8,053)	(5,886)	(3,815)	270,947	372,921	418,059
Gross profit	281,441	385,914	426,418	-	(2,312)	(1,625)	281,441	383,602	424,793	1,996	(459)	(970)	283,437	383,143	423,823	8,053	5,886	3,815	291,490	389,028	427,637
Gross margin %	50.2%	50.2%	50.0%				50.2%	50.3%	50.1%				50.4%	50.3%	50.1%				51.8%	51.1%	50.6%
Operating expenses																					
General & administrative	68,350	102,392	114,217	-	(1,301)	(1,042)	68,350	101,091	113,174	(1,531)	(5,469)	(5,033)	66,819	95,622	108,142	234	345	184	67,053	95,967	108,326
Payroll expenses	66,038	84,701	93,467	(114)	(571)	(756)	65,924	84,130	92,711	3,310	2,638	2,469	69,234	86,768	95,181	(1,320)	(840)	(444)	67,914	85,928	94,737
Marketing	51,243	80,721	83,417	-	(1,955)	(1,628)	51,243	78,766	81,788	-	(411)	212	51,243	78,355	82,000	107	(1,304)	(601)	51,350	77,051	81,399
Operating expenses	185,631	267,813	291,101	(114)	(3,827)	(3,427)	185,517	263,986	287,674	1,779	(3,242)	(2,352)	187,297	260,745	285,322	(979)	(1,799)	(861)	186,318	258,945	284,462
Operating income	95,809	118,100	135,317	114	1,515	1,802	95,923	119,615	137,119	216	2,783	1,381	96,140	122,398	138,500	9,032	7,685	4,675	105,172	130,083	143,175
Operating margin %	17.1%	15.4%	15.9%				17.1%	15.7%	16.2%				17.1%	16.1%	16.4%				18.7%	17.1%	16.9%
Other (income) / expense	43,603	29,866	31,960	(43,664)	(30,176)	(32,292)	(61)	(309)	(332)	61	309	332	-	-	-	-	-	-	-	-	-
EBITDA	52,206	88,234	103,357	43,778	31,691	34,094	95,985	119,925	137,451	155	2,473	1,049	96,140	122,398	138,500	9,032	7,685	4,675	105,172	130,083	143,175
EBITDA margin %	9.3%	11.5%	12.1%				17.1%	15.7%	16.2%				17.1%	16.1%	16.4%				18.7%	17.1%	16.9%

Source: Management provided information

Executive summary | Key findings

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Quality of earnings – Summary

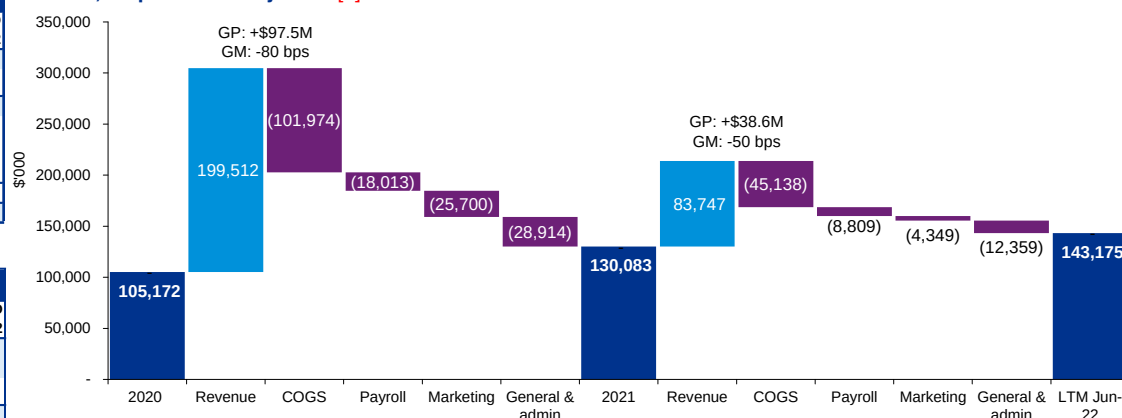
Pro forma adjusted EBITDA [4] increased by \$38.0 million from 2020 to LTM Jun-22, predominantly due to volume driven top-line growth. Pro forma EBITDA [4] margins declined over the same period, due to (i) inflation-driven material expense increases; (ii) rising fuel and freight costs; (iii) increased insurance expense; (iv) marketing investments to drive sales; and (v) personnel investments to support growth; partly offset by (vi) price increase, and (vii) leverage of corporate and branch infrastructure. Margins stabilized and increased in YTD Jun-22 as compared to LTM Jun-22.

Quality of revenue - Summary					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Net revenue, as reported incl. pre-acq. [1]	560,368	768,068	852,426	359,054	443,412
Management adjustments to revenue	-	(4,913)	(4,965)	(1,867)	(1,918)
Net revenue, as management adjusted [2]	560,368	763,155	847,462	357,187	441,494
Potential adjustments					
Revisions to management adjustments	-	(1,769)	(2,594)	(625)	(1,450)
Other potential adjustments	2,069	564	828	1,094	1,359
Potential adjustments	2,069	(1,206)	(1,766)	469	(91)
Net revenue, as adjusted [3], [4]	562,437	761,949	845,696	357,656	441,403

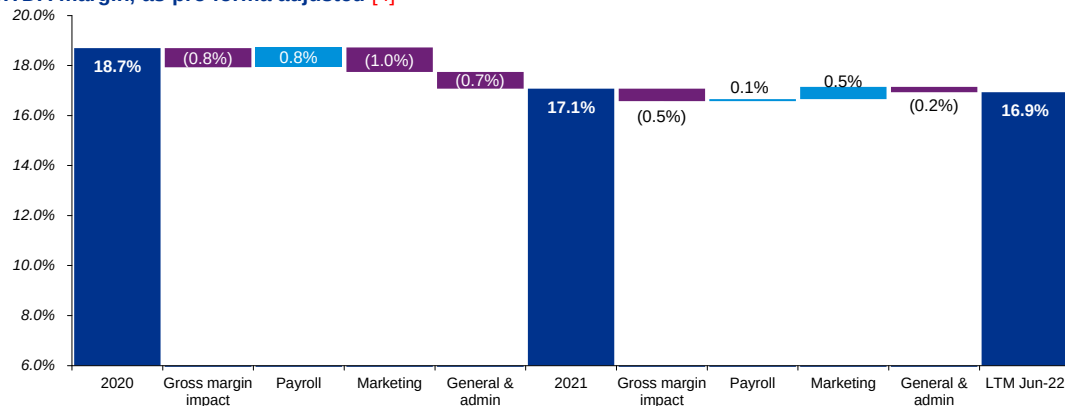
Quality of earnings - Summary					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
EBITDA, as reported incl. pre-acq. [1]	52,206	88,234	103,357	47,586	62,709
EBITDA margin, as reported	9.3%	11.5%	12.1%	13.3%	14.1%
Management adjustments	43,778	31,691	34,094	9,293	11,696
EBITDA, as management adjusted [2]	95,985	119,925	137,451	56,880	74,406
EBITDA margin, as management adjusted	17.1%	15.7%	16.2%	15.9%	16.9%
Potential adjustments					
Revisions to management adjustments	(1,307)	(1,061)	(2,520)	68	(1,391)
Other potential adjustments	1,462	3,535	3,569	1,581	1,615
Potential adjustments	155	2,473	1,049	1,649	224
EBITDA, as potentially adjusted [3]	96,140	122,398	138,500	58,528	74,630
EBITDA margin, as potentially adjusted	17.1%	16.1%	16.4%	16.4%	16.9%
Pro forma adjustments	9,032	7,685	4,675	3,948	938
EBITDA, as pro forma adjusted [4]	105,172	130,083	143,175	62,476	75,568
EBITDA margin, as pro forma adjusted	18.7%	17.1%	16.9%	17.5%	17.1%

Source (all): Management provided information

EBITDA, as pro forma adjusted [4]



EBITDA margin, as pro forma adjusted [4]



Net working capital

The Company experiences favorable NWC dynamics, primarily because customer deposits are received in advance of job completion. NWC declined in both dollars and as a percent of revenue from 2021 to LTM Jun-22 due to increasing customer deposits and prepaid service plans (both captured within deferred revenue) partially offset by higher inventory days on hand. NWC experienced a seasonal increase in Dec-21 and Jan-22 as (i) customer deposits declined in-line with lower contracted sales in winter months and (ii) the Company held higher inventory levels in anticipation of increased sales demand in the spring and summer months.

Adjusted net working capital																		
													Averages					
													LTM		L3M	L6M	L9M	
\$'000	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22	FY21	Jun-22	Jun-22	Jun-22	Jun-22	
Current assets																		
Accounts receivable, net	27,282	25,853	27,576	26,812	25,639	19,077	22,555	21,894	24,529	19,416	21,537	22,382	23,616	23,713	21,112	22,052	22,649	
Inventory	32,003	36,368	38,866	38,559	38,289	42,932	42,880	40,909	43,061	43,026	43,033	45,998	31,945	40,494	44,019	43,151	42,076	
Prepaid expenses	8,649	9,076	10,468	10,534	10,586	11,417	11,230	9,954	8,186	7,231	7,099	6,020	8,904	9,204	6,784	8,287	9,140	
Other current assets	2,180	3,034	3,434	3,482	3,752	4,373	1,174	1,565	1,702	2,110	2,522	3,210	2,925	2,711	2,614	2,047	2,654	
Current assets	70,116	74,331	80,343	79,387	78,266	77,799	77,840	74,322	77,478	71,784	74,191	77,610	67,389	76,122	74,528	75,538	76,520	
Current liabilities																		
Accounts payable and accrued expenses	(48,049)	(50,962)	(47,800)	(49,625)	(55,902)	(43,723)	(45,458)	(48,284)	(49,565)	(49,392)	(46,839)	(55,201)	(45,195)	(49,233)	(50,477)	(49,123)	(49,332)	
Deferred revenue - Customer deposits	(37,368)	(38,858)	(40,313)	(40,956)	(40,135)	(34,059)	(30,701)	(33,785)	(38,410)	(34,526)	(35,379)	(33,637)	(34,890)	(36,511)	(34,514)	(34,406)	(35,732)	
Deferred revenue - Prepaid service plans	(7,599)	(8,568)	(9,321)	(10,105)	(10,836)	(12,313)	(13,095)	(14,183)	(15,516)	(17,084)	(18,306)	(20,074)	(7,472)	(13,083)	(18,488)	(16,376)	(14,613)	
Current liabilities	(93,016)	(98,388)	(97,433)	(100,687)	(106,873)	(90,095)	(89,254)	(96,252)	(103,491)	(101,001)	(100,525)	(108,913)	(87,557)	(98,827)	(103,480)	(99,906)	(99,677)	
NWC, as pro forma adjusted	(22,900)	(24,057)	(17,090)	(21,299)	(28,608)	(12,296)	(11,414)	(21,930)	(26,012)	(29,217)	(26,333)	(31,303)	(20,167)	(22,705)	(28,951)	(24,368)	(23,157)	
Adjusted metrics																		
NWC, as a % of T3M PF adjusted revenue	(11.6)%	(11.8)%	(8.5)%	(10.3)%	(13.9)%	(6.1)%	(5.8)%	(11.2)%	(12.5)%	(13.3)%	(11.5)%	(13.5)%	(9.9)%	(9.8)%	(12.5)%	(10.5)%	(10.0)%	
NWC, as a % of T12M PF adjusted revenue	(3.3)%	(3.4)%	(2.4)%	(2.9)%	(3.8)%	(1.6)%	(1.5)%	(2.8)%	(3.2)%	(3.6)%	(3.2)%	(3.7)%	(2.6)%	(2.7)%	(3.4)%	(2.9)%	(2.7)%	
DSO	13	12	12	12	12	9	12	10	11	9	10	9	12	11	9	10	10	
DPO	34	35	30	29	33	35	35	33	34	33	26	28	31	32	29	31	32	
DOH	88	94	106	107	106	112	109	103	117	106	100	107	91	105	104	107	107	
CCC	68	71	89	90	85	86	86	80	93	83	84	87	72	84	84	86	86	

Source: Management provided information

Indebtedness

The Company had reported net financial debt of \$455.1 million at Jun-22, including \$484.1 million of notes payable and \$43.1 million of capital leases related to vehicles, large equipment and small tools, partially offset by \$72.1 million of net cash. Refer to the *Appendix – Balance sheet* for additional discussion.

Indebtedness		
\$'000	Ref.	Jun-22
Notes payable		
Long-term portion		479,173
Current portion		4,913
Notes payable	1	484,086
Capital lease obligations		
Long-term portion		30,215
Current portion		12,868
Capital lease obligations	2	43,083
Reported debt		527,169
Cash and cash equivalents		
Reported cash	3	(73,575)
Less: restricted cash	4	1,468
Less: Cash and cash equivalents		(72,108)
Net financial debt		455,062

Source: Management provided information

1) Notes payable

- Represents the long-term and short-term portion of term loans, exclusive of deferred financing fees, which total \$479.2 million and \$4.9 million respectively. The Company's current credit agreement, dated Jan-20, matures in 2026.

2) Capital lease obligations

- Represents the Company's debt financing related to vehicle, large equipment, and small tools purchases which are treated as capital lease obligations.

3) Reported cash

- Represents reported cash from the Company's checking and savings accounts (\$70.8 million), undeposited funds (\$1.3 million) from checks and cash held by the Company not yet deposited into a bank account, and \$1.5 million of restricted cash, discussed further below.

4) Less: Restricted cash

- Represents restricted cash held in escrow accounts related to the acquisitions of BQ, ITG, Peak, and Baker's. The Company is the custodian of these accounts which may ultimately be transferred to the sellers at specified points in time.

Cash considerations

Outlined below are additional cash considerations, in addition to Indebtedness as of Jun-22.

Cash considerations		
\$'000	Ref.	Jun-22
Deferred payroll taxes	1	2,125
Non-recurring accrued expenses	2	1,468
Duplicate self-insured medical claims in cash	3	(1,026)
Deferred revenue - prepaid service plans	4	[+]

Source: Management provided information

1) Deferred payroll taxes

- Represents the outstanding liability related to payroll taxes deferred on 2020 wages due to COVID-19. A total of \$4.2 million of payroll taxes were deferred in 2020. Half of this (\$2.1 million) was repaid in Dec-21, with the remaining half to be repaid by Dec-22.

2) Non-recurring accrued expenses

- Represents the offsetting accrual associated with the restricted cash balances held in escrow for the BQ, ITG, Peak, and Baker's acquisitions, as noted previously.

3) Duplicate self-insured medical claims in cash

- Represents duplicate cash claims recorded in May-22 related to the Company's self-insured medical insurance. We understand these duplicate claims were due to an accounting error, not actually paid, and the (\$1.0) million balance is reflected as a reconciling item on the payroll funding bank account reconciliation at Jun-22. Refer to the *Net working capital* section of this report for further details.

4) Deferred revenue – prepaid service plans

- The Company sells prepaid service plans, the majority of which have 1, 3 and 5 year terms. At Jun-22, the deferred revenue balance relating to prepaid service plans was \$20.1 million. Of this balance, \$6.6 million will be recognized in the 12-month period Jul-22 through Jun-23, with the remaining \$13.5 million to be recognized in Jul-23 and beyond. Management indicated there are minimal incremental costs to deliver the services associated with service plans.

Supporting analysis to key findings

DRAFT

2

Supporting analysis to key findings | Quality of earnings

DRAFT

2.1

Quality of earnings – Overview

Quality of earnings						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
EBITDA, as reported incl. pre-acq. [1]		52,206	88,234	103,357	47,586	62,709
<i>EBITDA margin, as reported</i>		<i>9.3%</i>	<i>11.5%</i>	<i>12.1%</i>	<i>13.3%</i>	<i>14.1%</i>
Management adjustments						
Acquisition-related expenses	1	29,780	20,258	22,484	2,884	5,110
Non-recurring expenses						
Personnel-related		904	3,612	5,196	893	2,477
Other non-recurring		254	2,061	3,934	172	2,044
Non-recurring expenses	2	1,158	5,673	9,129	1,065	4,521
Non-cash stock compensation expenses	3	986	1,406	1,406	-	-
Incentive compensation expense	4	10,667	1,806	(1,318)	3,124	(0)
Greenfield location initial loss addbacks	5	-	1,515	1,021	1,275	781
Other adjustments	6	1,187	1,034	1,372	946	1,284
Management adjustments		43,778	31,691	34,094	9,293	11,696
EBITDA, as management adjusted [2]		95,985	119,925	137,451	56,880	74,406
<i>EBITDA margin, as management adjusted</i>		<i>17.1%</i>	<i>15.7%</i>	<i>16.2%</i>	<i>15.9%</i>	<i>16.9%</i>
Potential adjustments						
Revisions to management adjustments						
Acquisition-related expenses	1	-	-	(847)	-	(847)
Non-recurring expenses	2	(862)	(648)	(1,117)	319	(151)
Incentive compensation expense	4	(413)	-	-	-	-
Greenfield location initial loss addbacks	5	-	(319)	(352)	(249)	(282)
Other adjustments	6	(33)	(95)	(204)	(2)	(111)
Revisions to management adjustments		(1,307)	(1,061)	(2,520)	68	(1,391)
Other potential adjustments						
Incentive compensation expense normalization	7	(2,706)	(2,088)	(1,896)	(192)	0
Bad debt normalization	8	299	1,036	1,698	(54)	608
Small tools capitalization policy	9	1,723	3,034	1,585	1,450	-
Out-of-period insurance expense	10	(792)	396	990	(198)	396
Credit card fee, rebate, and software normalizations	11	3,869	911	756	1,586	1,431
Self-insured medical cost normalization	12	(11)	321	662	(1,147)	(807)
Other addbacks	13	67	(77)	(226)	137	(13)
Discontinued software sales	14	(985)	0	-	0	-
Other potential adjustments		1,462	3,535	3,569	1,581	1,615
Potential adjustments		155	2,473	1,049	1,649	224
EBITDA, as potentially adjusted [3]		96,140	122,398	138,500	58,528	74,630
<i>EBITDA margin, as potentially adjusted</i>		<i>17.1%</i>	<i>16.1%</i>	<i>16.4%</i>	<i>16.4%</i>	<i>16.9%</i>
Pro forma adjustments						
GSC initiated material cost savings	15	8,053	5,886	3,815	3,166	1,095
Pre-acquisition marketing expenses	16	(107)	1,304	601	703	-
Pro forma personnel expense	17	1,320	840	444	335	(61)
Pro forma rent expense	18	(234)	(345)	(184)	(256)	(96)
Pro forma adjustments		9,032	7,685	4,675	3,948	938
EBITDA, as pro forma adjusted [4]		105,172	130,083	143,175	62,476	75,568
<i>EBITDA margin, as pro forma adjusted</i>		<i>18.7%</i>	<i>17.1%</i>	<i>16.9%</i>	<i>17.5%</i>	<i>17.1%</i>

Source: Management provided information

Basis of presentation

– The accompanying analysis highlights potential adjustments to earnings before interest, taxes, depreciation, and amortization (EBITDA), as reported, identified during diligence. The adjustments identified are not deemed to be all-inclusive and are based on information provided by management, and the scope of work selected by you and outlined in the *Appendix – Scope of procedures*. The adjustments identified by management and during the course of our diligence process are categorized as follows:

– **As reported, including pre-acquisition [1]** – Represents reported revenue and EBITDA from the Company's trial balances, inclusive of buy-side diligence adjusted pre-acquisition results for all acquisitions completed through the date of this report. Refer to the *Appendix – Basis of presentation* section of this report for details on the reconciliation of Company reported figures to the audit and the build-up of pre-acquisition balances.

– **Management adjusted [2]** – Represents revenue and EBITDA inclusive of pre-acquisition periods in addition to the impact of management adjustments for non-recurring or one-time items. Management tracks its adjustments on a monthly basis as part of its internal monthly reporting process and for purposes of its credit agreement.

Management adjustments were reconciled to underlying subledger detail for the historical period. Further, adjustments were reconciled to additional detailed support including third-party invoices, flow of funds documentation, employee census and third-party payroll reports, bank statements, settlement agreements, detailed calculations, and / or other support, as applicable and as documented throughout.

– **Potentially adjusted [3]** – Represents revenue and EBITDA, as management adjusted, further adjusted for certain items identified during the course of our diligence process.

– **Pro forma adjusted [4]** – Represents revenue and EBITDA, as potentially adjusted, further adjusted for certain pro forma adjustments.

– **Other items to consider** – Refer to the *Quality of earnings – Other considerations* section for additional impacts considered as part of diligence, but not reflected herein.

– Refer to the *Appendix – Quality of earnings* section for impacts of adjustments to net revenue.

Management adjustments

1) Acquisition-related expenses

- Represents transaction-related and other one-time expenses incurred in connection with the Company's acquisitions over the historical period.
- We reconciled all activity to specific trial balance accounts in which the Company records adjustments. We have also obtained general ledger details for the majority of the adjustments and traced approximately 80% of this adjustment to underlying support, including invoices, flow of funds schedules, payroll registers, and bank statements.

[1] Acquisition-related expenses						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Transaction expenses						
Acquisitions						
2022 (Peak)		-	-	759	-	759
2021 (Alpha, Baker's, BQ, ITG, CLS)		-	16,374	15,447	1,014	88
2020 (AFS, FSM, AG, DryPro, FRWC)		7,930	323	103	306	86
Acquisitions	i	7,930	16,697	16,309	1,320	932
Acquisition-related travel expenses	ii	246	1,108	1,095	369	356
Other transaction expenses		321	127	47	102	22
Company sale	iii	20,180	153	23	153	23
Transaction expenses		28,678	18,085	17,473	1,944	1,332
One-time integration expenses						
Marketing expenses						
Rebranding & other acquisition-related marketing		189	956	1,697	182	924
Excess marketing spend		-	-	847	-	847
Marketing expenses	iv	189	956	2,545	182	1,771
Post-merger integration expenses	v	272	910	1,767	480	1,338
Team building / acquisition kick-off	vi	455	283	514	264	495
Other integration expenses	vii	186	25	184	14	173
One-time integration expenses		1,103	2,173	5,011	940	3,778
Management adjustment		29,780	20,258	22,484	2,884	5,110
Revision to management adjustment						
Excess marketing expenses	iv	-	-	(847)	-	(847)
Revision to management adjustment		-	-	(847)	-	(847)

Source (all): Management provided information

1) Acquisition-related expenses (continued)

- Acquisitions** – Represents transaction-related expenses incurred in connection with the Company's acquisitions completed since Jan 1, 2020. In LTM Jun-22, this primarily consists of: (i) transaction bonuses, which include a pre-acquisition bonus payout of \$11.2 million for the Alpha acquisition in Dec-21, paid for by prior ownership; (ii) closing costs, primarily legal, diligence, and transaction fees; (iii) referral fees paid to certain shareholders that facilitated introductions to targets that successfully closed; and (iv) other one-time expenses, such as R&W insurance, professional services, and HSR fees.

[1.i] Acquisitions					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Transaction bonuses	163	11,293	11,542	45	294
Closing costs	7,124	4,421	4,042	844	465
Referral fees	300	650	425	275	50
Other	343	334	301	156	124
Total	7,930	16,697	16,309	1,320	932

- Acquisition-related travel expenses** – Represents travel expenses incurred in connection with M&A related activity.
- Company sale** – Represents (i) \$20.2 million of transaction costs in 2020 incurred in relation to the sale of the Company to the current majority owner in Jan-20; and (ii) \$0.2 million in 2021 related to the opening balance sheet audit from the 2020 transaction.
- Marketing expenses** – Represents management's view of non-recurring, post-acquisition marketing costs. Marketing spend adjustments are generally related to (i) new content creation; (ii) costs incurred in relation to merger / acquisition announcements; (iii) rebranding and website redesigns, including rewrapping acquired fleets with the Company's brand and logos; (iv) duplicative marketing vendor costs, including contract termination fees; and (v) the portion of marketing spend above 10% of net revenue in the initial months post-acquisition, which represents typical budgeted spend for existing branches.

Management adjustments (2)

1) Acquisition-related expenses (continued)

iv. Marketing expenses (continued) –

For the six months post-acquisition, management considers marketing spend above 10% of net revenues to be a one-time investment made to demonstrate the Company's dedication to success of the acquired business, maintain sales team engagement, and support the post-closing transition process.

For the Alpha (Dec-21), Peak (Apr-22), and BQ (Nov-21) acquisitions, we have proposed to reverse \$0.8 million of management's adjustment which represents all incremental spend above budget, as this marketing spend contributed to brand awareness and lead generation and could have directly led to higher revenue post-acquisition.

We have included this reversal as an other item to consider as marketing spend typically declines as a percent of revenue after upfront, post-acquisition investments and elevated spend leads to temporarily higher costs per lead. Refer to the *Quality of earnings – Other considerations* section for further details.

[1.iv] Marketing expenses					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Rebranding & other acquisition-related marketing	189	956	1,697	182	924
Excess marketing expenses					
Alpha excess	-	-	692	-	692
Peak excess	-	-	96	-	96
BQ excess	-	-	59	-	59
Excess marketing expenses	-	-	847	-	847
Marketing expenses	189	956	2,545	182	1,771
Revision to management adjustment					
Excess marketing expenses					
Alpha excess	-	-	(692)	-	(692)
Peak excess	-	-	(96)	-	(96)
BQ excess	-	-	(59)	-	(59)
Excess marketing expenses	-	-	(847)	-	(847)

Source (all): Management provided information

- v. *Post-merger integration* – Primarily represents one-time expenses incurred post-acquisition for integration of acquired businesses. These are primarily for travel to the acquired branches and to Company headquarters in Virginia Beach for integration activities.

1) Acquisition-related expenses (continued)

- vi. *Team building / acquisition kick-off & other integration costs* – Represents expenses incurred in relation to team building and acquisition launch events hosted by the Company for each new acquisition, as well as other integration-related costs.

2) Non-recurring expenses

- These adjustments primarily relate to other non-recurring expenses not directly related to acquisitions. We reconciled all activity to specific trial balance accounts in which the Company records all management addbacks. We have also obtained general ledger details for the majority of the adjustments and traced approximately 80% of this adjustment to underlying support, including invoices, payroll registers, email correspondence, and consulting agreements.

[2] Non-recurring expenses						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Personnel-related						
Non-recurring payroll						
Founder payroll & benefits		200	1,225	1,778	362	915
Other non-recurring payroll		-	327	202	238	113
Non-recurring payroll	i	200	1,553	1,980	600	1,028
Executive search fees	ii	488	572	975	149	552
Relocation reimbursements & housing allowance	iii	26	696	953	52	310
Sign-on bonuses	iv	-	168	494	-	326
Benefits retro pay settlement	v	-	449	449	-	-
Severance		190	62	158	62	158
Other bonuses	vi	-	113	186	30	104
Personnel-related		904	3,612	5,196	893	2,477
All other						
Other non-recurring	vii	111	105	1,556	(710)	741
One-time office expansion	viii	7	570	1,262	190	882
Litigation and other legal	ix	(77)	1,386	1,115	692	421
Inventory write-offs		213	-	-	-	-
All other		254	2,061	3,934	172	2,044
Management adjustment		1,158	5,673	9,129	1,065	4,521
Revision to management adjustment						
Personnel-related		(309)	(117)	(580)	463	-
Other bonuses	vi	-	(113)	(186)	(30)	(104)
Other non-recurring - COVID meals	vii	(90)	(98)	-	(98)	-
Legal expenses	ix	(463)	(320)	(351)	(17)	(48)
Revision to management adjustment		(862)	(648)	(1,117)	319	(151)

Management adjustments (3)

2) Non-recurring expenses (continued)

Personnel-related						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Non-recurring payroll	i	200	1,553	1,980	600	1,028
Executive search fees	ii	488	572	975	149	552
Relocation reimbursements & housing allowance	iii	26	696	953	52	310
Sign-on bonuses	iv	-	168	494	-	326
Benefits retro pay settlement	v	-	449	449	-	-
Severance		190	62	158	62	158
Other bonuses	vi	-	113	186	30	104
Personnel-related		904	3,612	5,196	893	2,477
Revision to management adjustment						
Personnel-related						
Founder payments OOP	i	-	-	(186)	186	-
Retained individual (AG)	i	-	(22)	-	(22)	-
Relocation & housing reclass OOP	iii	-	-	(285)	285	-
Sign-on bonus OOP	iv	-	-	(110)	110	-
Benefits retro pay settlement	v	(309)	(95)	-	(95)	-
Personnel-related		(309)	(117)	(580)	463	-
Other bonuses	vi	-	(113)	(186)	(30)	(104)
Revision to management adjustment		(309)	(230)	(766)	433	(104)

Source: Management provided information

- i. *Non-recurring payroll* – Represents payments to former owners of the Company's acquired businesses, primarily consulting costs and post-close benefits payments agreed upon as part of the transactions and typically lasting one to three years. Management noted (i) these individuals are not involved in day-to-day operations and (ii) their duties post-acquisition primarily relate to transition-related activities and in certain cases being available to appear in new marketing content specific to the service area (e.g. TV commercials).

\$361,000 added back in Dec-21 is related to expenses incurred and recorded throughout 2021. As such, we have revised this adjustment within the applicable months in 2021 when the costs were incurred, resulting in a reduction to EBITDA of \$186,000 in LTM Jun-22.

- ii. *Executive search fees* – Represents fees paid to external recruiting firms for executive and management positions in the Company, including the CIO, CTO, CHRO, and several Vice President positions (i.e. VP of Finance, Senior Director of Finance, etc.). After adjustment, \$2.1 million of recruiting expenses remain within EBITDA, related primarily to general management and branch personnel.

2) Non-recurring expenses (continued)

- iii. *Relocation reimbursements & housing allowance* – Relates to expense reimbursements and housing allowances provided to employees primarily for the expansion of the current corporate leadership and regional operating structure in 2021 and Q1-22. Management indicated the Company required certain personnel to relocate to new locations, including to the Company's headquarters. On an adjusted basis, approximately \$250,000 of relocation & temporary housing allowances remain in EBITDA, based on payroll register data, which we understand largely relates to ordinary course relocations of non-executive employees and those not directly related to the Company's corporate and regional structure change.

\$315,000 added back in Aug-21 is related to expenses incurred and recorded throughout 2021; we have proposed to recognize this adjustment ratably in the applicable months over 2021, resulting in a net reduction to EBITDA of \$285,000 in LTM Jun-22.

- iv. *Sign-on bonuses* – Primarily represent sign-on bonuses for new positions for the corporate and regional leadership additions in 2021 and Q1-22. Sign-on bonuses were paid to the CIO, CTO, several Vice President positions, and branch and regional managers. On an adjusted basis, approximately \$145,000 of sign-on bonuses remain in EBITDA in LTM Jun-22 based on payroll register data.

\$113,000 added back in Aug-21 is related to expenses incurred and recorded throughout 2021; as such, we have proposed to include this adjustment in the applicable months in 2021, resulting in a net reduction to EBITDA of \$110,000 in LTM Jun-22.

- v. *Benefits retro pay settlement* – Represents a one-time retroactive settlement amount paid in Dec-21 to employees of the Charlotte branch (acquired in Dec-20), related to the correction of overtime pay in the period prior to the branch moving onto the Company's payroll. Per discussions with management, this was a one-time retroactive adjustment.

We understand this to be a payment relating to a period between Nov-19 to Mar-21; and as such, we have proposed to reflect this adjustment in the applicable period on a monthly basis ratably based on total direct labor costs for the period, resulting in a net reduction to EBITDA for 2021 of \$95,000.

Management adjustments (4)

2) Non-recurring expenses (continued)

- vi. *Other bonuses* – Represent bonuses paid primarily in relation to completed lease negotiations.

Management noted the Company expects lease negotiation bonuses to continue. As such, we have proposed to remove the lease negotiation bonuses from management's adjustments in the historical period.

- vii. *Other non-recurring* – Represents other one-time expenses primarily relating to (i) the Company's ERP implementation and training costs, (ii) professional fees in relation to the ASC 842 – Leases accounting standard implementation, (iii) one-time income, relating to COVID-19 relief checks, as well as expenses related to COVID-19 sanitation, testing kits, and personal protective equipment, which we understand have a de minimis cost in 2022; and (iv) other costs such as tradename write-offs, duplicate software costs, certain accounting expenses, charitable donations, credit agreement amendment expenses and integration costs.

Management indicated costs for a meal program for employees implemented during the beginning of COVID-19 continue to be incurred; as such, we have proposed to keep these costs within historical EBITDA.

[2.vii] Other non-recurring					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
ERP implementation and training costs	-	106	350	-	244
Third party lease implementation fees	-	26	269	-	243
COVID19 expenses / income	(164)	(582)	218	(799)	1
Tradename write-off	-	160	160	-	-
Other	275	395	559	89	253
Other non-recurring	111	105	1,556	(710)	741
Revision to management adjustment					
Other non-recurring - COVID meals	(90)	(98)	-	(98)	-

Source (all): Management provided information

2) Non-recurring expenses (continued)

- viii. *One-time office expansion* – Primarily relates to (i) early lease termination fees of \$0.8 million for the Central Pennsylvania (acquisition-related) and Raleigh facilities; and (ii) one-time renovation expenses of \$0.1 million incurred for the corporate building in Virginia Beach.

- ix. *Litigation and other legal* – Represents management identified legal expenses primarily related to (i) patents and trademark protection; (ii) non-compete litigations relating to foremen and CFIs; (iii) general employment matters; and (iv) a legal settlement for breach of contract with a competitor supplier who hired several former employees resulting in a non-compete lawsuit, which was settled in 2020 in favor of the Company.

Of the \$1.1 million of legal addbacks identified by management, we have proposed to revise management's adjustment by \$0.4 million for costs that appear to be part of the normal course of business, including costs related to trademarks, patent reviews and filings, normal course contract reviews, and certain non-compete litigation. Additionally, we have proposed to revise \$0.5 million of recurring out of period costs in 2021 to 2020.

[2.ix] Litigation and other legal					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Patent / trademark costs	-	196	219	-	24
Paul Hastings	147	47	144	3	101
Non-compete costs	-	551	114	479	42
Contract review	-	48	48	-	-
Supportworks	-	-	33	-	33
Basement Systems	(600)	108	8	100	-
Other legal costs	375	436	549	109	221
Litigation and other legal	(77)	1,386	1,115	692	421
Revision to management adjustment					
Patent / trademark costs	-	(196)	(219)	-	(24)
Contract review	-	(48)	(48)	-	-
Other non-competes	-	(41)	(46)	(17)	(22)
Other general legal costs	-	(35)	(37)	-	(2)
Out-of-period non-compete	(463)	-	-	-	-
Legal expenses	(463)	(320)	(351)	(17)	(48)

Management adjustments (5)

3) Non-cash compensation expenses

- Represents non-cash stock based compensation expense. We have reconciled historical stock compensation expense to underlying calculations and to specific trial balance accounts in which the Company records all management adjustments. You may wish to consider the replacement cost for this non-cash compensation under your ownership.

4) Incentive compensation expense

- Represents an adjustment to bonus expense related to the prior discretionary bonus programs, specifically a profit sharing plan (the "gainshare" program), which the Company implemented beginning in 2018. The gainshare bonus program was largely calculated per-branch based upon the amount of reported EBITDA in excess of a pre-determined target EBITDA, prior to any corporate allocations, consistent with the Company's budget, which was typically well in excess of prior year levels. While bonus was based on performance against plan, the Company significantly outperformed budget in 2020 which resulted in extraordinary payments relative to certain employees' compensation. We have reconciled the amount to a specific gainshare trial balance account.
- As the Company restructured the Company-wide field bonus program in 2022 and discontinued the gainshare program, we have proposed an adjustment to reflect a recurring level of bonus expense over the historical period; refer to QofE Adjustment [7].
- Further, we understand the Company reduced work hours for some employees in Apr-20 and May-20 due to an anticipated slowdown during COVID-19. However, employees were retroactively paid in Dec-20 through a year-end bonus. As such, we proposed a reclassification of the portion of the December payment related to this into salaries and wages.

5) Greenfield location initial loss addbacks

- Represents an addback for losses incurred by new branch locations, as defined by the opening of a brick and mortar location, during the first six months of operations. We noted based on historical performance, greenfield locations generally generate consistent positive EBITDA following six months of operations. We have reconciled management's amounts to the underlying trial balances.

5) Greenfield location initial loss addbacks (continued)

- Greenfield locations generally incur losses during the first months of operations due to initial rent expenses and upfront marketing spend which is leveraged as top line grows.
- The YTD Jun-22 adjustment is related to Omaha, which management treats as a Greenfield location though it was acquired in Dec-21 through the acquisition of CLS. Omaha has had significant operational changes following its acquisition, including expansion into a professional facility as it previously operated out of an owner operated barn (increasing monthly rent from approximately \$3,000 to \$24,000), material changes in marketing investment, and a complete re-branding.
- Management's addback methodology is to reverse all losses during the first six months of operations, but not adjust any months with positive EBITDA during the time period. We have proposed to revise management's adjustment to reflect total EBITDA, excluding corporate allocations and management adjustments, within the first six months (regardless of whether that specific month was positive or negative).

[5] Greenfield location initial loss addbacks

\$'000	Expansion date	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Management adjustment - EBITDA						
Omaha	Dec-21	-	-	781	-	781
Charleston	Jun-21	-	316	126	191	-
Des Moines	Jun-21	-	248	114	133	-
Cincinnati	Feb-21	-	639	-	639	-
Colorado Springs	Jan-21	-	240	-	240	-
Unreconciled variance		-	72	0	72	1
Management adjustment		-	1,515	1,021	1,275	781
Revision to management adjustment						
Revised adjustment - EBITDA						
Omaha	Dec-21	-	-	500	-	500
Charleston	Jun-21	-	276	85	191	-
Des Moines	Jun-21	-	218	84	133	-
Cincinnati	Feb-21	-	639	-	639	-
Colorado Springs	Jan-21	-	63	-	63	-
Revised adjustment - EBITDA		-	1,196	670	1,026	500
Revision to management adjustment		-	(319)	(352)	(249)	(282)

Source: Management provided information

Management adjustments (6)

6) Other adjustments

- Primarily relates to adjustments related to (i) management fees paid to the majority owner in the historical period, which are calculated based on 1% of revenue up to \$750,000, plus out of pocket expenses (recorded within the non-recurring QofE Adjustment [2]); (ii) normalization of an out-of-period true-up recorded in Sep-22 relating to the LTM period for duplicative goods received but not invoiced and materials cost entries recorded during the ERP implementation; (iii) various tax provisions recorded by the Company; and (iv) other non-recurring income/expenses from pre-acquisition results. We have reconciled these amounts to the specific trial balance accounts in which the Company records management adjustments.
- We have proposed a revision to management's adjustment to exclude provisions for any non-income tax related items, such as franchise taxes and pre-acquisition use taxes as these are recurring costs not impacted by the Company's capital structure.

[6] Other adjustments						
				LTM	YTD	YTD
\$'000	Ref.	2020	2021	Jun-22	Jun-21	Jun-22
Management fee	i	783	750	750	750	750
Received but not invoiced out-of-period	ii	-	-	487	-	487
Provision for taxes	iii	33	292	144	195	47
Other	iv	372	(9)	(9)	1	0
Management adjustment		1,187	1,034	1,372	946	1,284
Revision to management adjustment						
Provision for taxes - Non-income tax	iii	(33)	(95)	(204)	(2)	(111)
Revision to management adjustment		(33)	(95)	(204)	(2)	(111)

Source: Management provided information

Potential adjustments

7) Incentive compensation normalization

- Represents a normalization of incentive compensation expense for the (i) corporate bonus program (“Management Incentive Plan”) and (ii) field employee bonus program (formerly referred to as “Gainshare”), to reflect (i) the historical bonus paid and (ii) changes to the field bonus programs from 2020 to 2022. In 2022, the Company changed the field bonus program where branch-level incentive compensation was based on a combination of individual branch-level target performance and company-wide performance. This adjustment normalizes historical incentive compensation to levels consistent with expense expected to be incurred as part of the 2022 incentive compensation program, as noted below.
 - 2022: YTD Jun-22 bonus expense represents 100% of expected compensation (pro-rated by month for the YTD period). Management stated the Company expects to meet plan and as such has accrued 100% of expected payout. Accordingly, no adjustment is proposed.
 - 2021: 2021 adjusted bonus expense reflects the corporate bonus and the former payments made under the legacy corporate and field bonus programs. We agreed bonus paid to payroll registers. On an adjusted basis, incentive compensation aligns as a percentage of EBITDA (before incentive compensation expense) based on YTD Jun-22 levels.
 - 2020: 2020 adjusted bonus expense reflects the average of 2021 and YTD Jun-22 adjusted bonus as a percent of EBITDA (before incentive compensation expense), as the 2020 extraordinary field bonus paid only considered specific branch performance that exceeded targets, without consideration for the consolidated performance of the business. As such, we proposed to align the 2020 plan to the 2021 payout and YTD Jun-22 expected payout.
 - Note we also agreed the gainshare in 2020 and 2021 to payroll registers to support amounts paid.
- Refer to the *Appendix – Income statement overview* section for further details on the Company’s compensation structure and the *Appendix – Quality of earnings* for further detail on this adjustment.

7) Incentive compensation normalization (continued)

[7] Incentive compensation expense normalization					
			LTM	YTD	YTD
\$'000	2020	2021	Jun-22	Jun-22	Jun-22
Corporate / field bonus [2] incl. revisions	-	2,333	3,745	1,890	3,301
Diligence bonus adjustment	2,706	2,088	1,896	192	(0)
Corporate / field bonus, diligence adjusted [3]	2,706	4,421	5,640	2,082	3,301
EBITDA impact	(2,706)	(2,088)	(1,896)	(192)	0

Source: Management provided information

8) Bad debt normalization

- Throughout the historical period, the Company maintained a conservative allowance for doubtful accounts policy, reserving 50% of accounts receivable balances aged 61-120 days and 100% of balances aged greater than 120 days. The allowance is updated monthly based on customer and job-level AR aging reports. Management writes off reserved balances aged greater than 180 days once a year in December, relieving the allowance for doubtful accounts and corresponding gross receivable balances. Management indicated there are unique situations where write-offs are recorded directly to bad debt expense throughout the year, however we understand these are not significant.
- The Company’s actual write-offs have been lower than reported bad debt expense (i.e. reserved receivables are routinely collected 60+ days following job completion). We obtained job-level details for the \$0.8 million and \$1.8 million write-offs recorded in Dec-20 and Dec-21, respectively, and retrospectively aligned them to the original month of revenue recognition. We further assumed balances aged greater than 180 days at Jun-22 were uncollectible and should be considered as part of historical write offs. Based on this analysis, we calculated actual and assumed write-offs related to revenue from Jul-19 to Dec-21 to be 0.27%. To be conservative, we normalized historical bad debt expense to 0.3%, to more closely align with the Company’s actual write-off experience.
- As part of our diligence of the Company’s allowance for doubtful accounts, we obtained accounts receivable agings at Jun-22 and Sep-22. We compared the reserved balances at Jun-22 with outstanding receivables at Sep-22 to calculate the amount of reserved receivables at Jun-22 that were collected in the subsequent three months. 65% of receivables reserved at 50%, and 51% of fully reserved receivables as of Jun-22 were collected in Jul-22 through Sep-22.

Potential adjustments (2)

8) Bad debt normalization (continued)

- We understand that management has recently implemented numerous improvements to its collection procedures including (i) providing individual crews with handheld credit card scanners to ensure payment is collected on the job site and at the time of collection and (ii) better CRM reporting to identify unpaid balances for specific follow ups from the sales team.
- We understand that management is currently evaluating its accounting policy for doubtful accounts and considering making changes beginning in 2023 to recognize expense in-line with recent collection trends.
- Refer to the *Appendix – Quality of earnings* for further detail on this adjustment.

[8] Bad debt normalization					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Bad debt expense, as mgmt adj [2]					
Gross revenue [2] incl. revisions	574,761	776,642	862,263	364,605	450,226
Bad debt, as % of gross revenue	0.35%	0.43%	0.50%	0.29%	0.43%
Bad debt expense, as mgmt adj [2]	2,023	3,366	4,285	1,040	1,958
Bad debt expense, as normalized					
Gross revenue [2] incl. revisions	574,761	776,642	862,263	364,605	450,226
Normalized bad debt, as % of gross revenue	0.30%	0.30%	0.30%	0.30%	0.30%
Bad debt expense, as normalized	1,724	2,330	2,587	1,094	1,351
EBITDA impact	299	1,036	1,698	(54)	608

Source (all): Management provided information

9) Small tools capitalization policy

- Represents an adjustment for the change in capitalization policy for small tools leased primarily through Hilti consistent with the implementation of ASC 842. Beginning in 2022, the Company capitalized specific small tools purchases based on batch payments made that management noted met both (i) the Company's capitalization threshold when bundled and (ii) the GAAP capitalization criteria of 75% of the expected economical life. While this adjustment has no impact on recurring cash flows (given this treatment would result in higher historical reported capex), to present historical periods on a comparable basis, we estimated the impact in 2020 and 2021 based on management's estimated YTD Jun-22 Hilti small tool spend of 55.8% of total small tools spend. We agreed the specific purchases to general ledger details.

9) Small tools capitalization policy (continued)

[9] Small tools capitalization policy					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Small tools, as reported					
Small tools (#7690) [0]	3,085	5,435	4,441	2,597	1,603
Hilti tools capitalization recorded	-	-	2,026	-	2,026
Small tools, prior to capitalization	3,085	5,435	6,467	2,597	3,629
As % of small tools expense					55.8%
Small tools, as adjusted					
Small tools (#7690) [0]	3,085	5,435	4,441	2,597	1,603
Adjustment	(1,723)	(3,034)	(1,585)	(1,450)	-
Small tools, as adjusted	1,363	2,400	2,856	1,147	1,603
EBITDA impact	1,723	3,034	1,585	1,450	-

10) Out-of-period insurance expense

- Relates to an out of period payment to the Company's insurance provider, Amerisure Mutual Insurance Company, as a result of the 2020-2021 insurance plan audit. Per discussions with management, the insurance provider conducted a retroactive audit on the Apr-20 to May-21 plan year and determined that premiums were underpaid due to the Company's increased fleet size, employee growth from acquisitions, and alignment of employee categorizations used to calculate workers compensation. An audit payment of \$1.2 million was made in Nov-21 which the Company recorded against the insurance accrual for expected losses ("loss pick") which management noted was conservatively over-accrued by \$1.1 million in the 2021-2022 plan year. We have proposed an adjustment to (i) recognize this expense in the applicable policy period as if the additional premium was accrued and paid within the 2020-2021 plan year and (ii) eliminate the impact of the conservative loss pick accrued in the 2021-2022 plan year. Management noted the Company has since implemented procedures to ensure changes to fleet size and employees are reported to Amerisure timely to reduce the potential of future insurance audit payments. We traced this adjustment to the general ledger detailing the adjustment amount.

[10] Out-of-period insurance expense					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Insurance audit expense, as reported	-	792	990	198	396
Insurance audit expense, as adjusted	792	396	-	396	-
EBITDA impact	(792)	396	990	(198)	396

Potential adjustments (3)

11) Credit card fee, rebate, and software normalizations

[11] Credit card fee, rebate, and software normalizations						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Credit card fee normalization	i	1,199	745	961	261	476
GSC rebate normalization	ii	172	(1)	(200)	289	90
GreenSky rebate normalization	iii	1,855	(182)	(132)	833	883
Software normalizations	iv	642	350	128	203	(18)
EBITDA impact		3,869	911	756	1,586	1,431

Source (all): Management provided information

- i. **Credit card fee** – Represents the normalization of historical credit card fees based on the Company's LTM Jun-22 fee as a percent of revenue due to the change in service provider in late 2019 to Swipe Simple and delayed receipt and roll-out of POS terminals through 2021. This adjustment normalizes (i) historical fees for existing branches to the current reduced fee based on fees as a percent of gross revenue and (ii) credit card usage in the pre-acquisition periods for branches that have since transitioned to the Company's credit card provider post-acquisition.

[11.i] Credit card fee normalization						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
As reported						
Gross revenue [2] incl. revisions	574,761	776,642	862,263	364,605	450,226	
Credit card fees [2] incl. revisions	5,890	7,073	7,985	3,232	4,144	
CC fee, as % of gross revenue	1.0%	0.9%	0.9%	0.9%	0.9%	
As adjusted						
Credit card fees, as adjusted	4,691	6,328	7,025	2,971	3,668	
CC fee, as % of gross revenue	0.8%	0.8%	0.8%	0.8%	0.8%	
EBITDA impact	1,199	745	961	261	476	

- ii. **GSC rebate** – Represents a deduction to ratably accrue GSC vendor rebates on material purchases in the period in which they were earned. Historically, the Company recognized vendor rebates on a cash basis, and beginning in Dec-21, the Company began to accrue for anticipated rebates. We have proposed an adjustment to accrue rebates in the period earned, including rebates accrued for as of Jun-22.

[11.ii] GSC rebate normalization						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
GSC rebates, as reported	149	1,159	1,367	216	424	
GSC rebates, as normalized	321	1,157	1,167	504	514	
EBITDA impact	172	(1)	(200)	289	90	

11) Credit card fee, rebates, and software normalizations (continued)

- iii. **GreenSky rebate** – Represents the impact of (i) the current rebate arrangement in place with GreenSky, the Company's third party consumer financing partner, due to a change in the rebate program to a tiered, volume-driven arrangement in 2022, (ii) the removal of a \$1.3 million one-time volume rebate received in 2021, and (iii) to reflect financing rebates on an accrual basis. In 2020, the Company recorded GreenSky rebates on a cash basis which resulted in out of period impacts; beginning in 2021, the Company began to accrue for anticipated rebates once the first volume rebate tier was met. We proposed an adjustment to (i) estimate the 2020 and 2021 rebates based on the financing volume tier that would have been met based on historical financed revenues, net of the cash-basis rebates recognized historically and (ii) reflect 2022 rebates on a ratable basis in-line with monthly financed revenue. We obtained the GreenSky monthly financed revenue reports by branch and the 2022 agreement to confirm the change in arrangement.

[11.iii] GreenSky rebate normalization						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
GreenSky rebate adjustment						
GreenSky rebate [2] incl. revisions	-	2,875	3,554	474	1,153	
Rebate adjustment	1,855	(182)	(132)	833	883	
GreenSky rebate, as adjusted [3]	1,855	2,693	3,421	1,308	2,036	
EBITDA impact	1,855	(182)	(132)	833	883	

\$2.4 million rebate recorded in H2-21 related to 2021, of which \$1.3 million is non-recurring, while \$0.5 million recognized in H1-21 related to 2020

- iv. **Software** – Represents an adjustment to remove redundant software costs for applications such as Improveit360, QuickBooks, duplicate HR systems, and other software that was in place prior to businesses being acquired by the Company, as well as transitioning to the Company's existing owned CRM, BizWiz.

[11.iv] Software normalizations						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Redundant software - acquisition-related	544	220	124	134	38	
Redundant HR software - Kronos	98	73	4	70	0	
Out-of-period normalization - Workday	-	56	-	-	(56)	
EBITDA impact	642	350	128	203	(18)	

Potential adjustments (4)

12) Self-insured medical cost normalization

- Represents a normalization of the historical under- or over-accrued incurred but not reported ("IBNR") balances relative to actuarial estimates and out-of-period expenses due to mid-year changes in monthly accruals for both 2021 and 2022. This adjustment effectively presents EBITDA had the Company ratably increased / decreased its IBNR reserve in line with third-party actuarial estimates received as of Dec-20, Aug-21, Dec-21, Feb-22 and Jul-22.
- The Company records a monthly accrual for estimated claims costs and stop-loss insurance premiums. The accrual is based on employee participation and specific rates by geography and coverage level (e.g. single employee, employee & spouse, employee & family, etc.). In Jun-21, management determined YTD Jun-21 claims incurred (i.e. cash claims paid and IBNR) and stop-loss premiums paid exceeded the medical expense accrued. As a result, the Company's Jun-21 IBNR reserve was in a net debit position. Management increased the monthly medical expense accrual for Jun-21 through Dec-21 to build up the Company's IBNR reserve. In Aug-22, management performed a similar analysis and determined the Company was under-accrued for YTD Jun-22. We understand additional accruals will be recorded in H2-22 to adjust the reserve.

[12] Self-insured medical cost normalization					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Reported self-insured medical expense	1,058	10,356	12,237	3,910	5,791
Adjusted self-insured medical expense	1,069	10,035	11,575	5,057	6,597
EBITDA impact	(11)	321	662	(1,147)	(807)

Source (all): Management provided information

13) Other addbacks

- Represents a deduct for non-cash gain/loss on sale of assets, (iii) other income and expenses relating to acquisitions in the transition period for non-recurring costs, (iv) costs related to an IT provider for AFS, F1 Solutions, for IT services that has since been internalized by the Company at no incremental costs, and (v) inventory write-offs on the income statement related to opening balance sheet amounts.

[13] Other addbacks					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Gain/loss on sale of assets	(83)	(151)	(224)	79	6
Other (income)/expense	7	(159)	(108)	(69)	(19)
External IT provider - F1 Solutions	142	212	106	106	-
Inventory write-offs	-	20	-	20	-
EBITDA impact	67	(77)	(226)	137	(13)

14) Discontinued software sales

- Represents the removal of revenues generated by the commercial sales of BizWiz to third parties. In 2020, the Company discontinued its third party services as an external software provider, and now uses BizWiz exclusively as an internal software. We have proposed to remove only the third party revenue generated in the historical period, as the cost profile has not changed and back office personnel were retained to support the internal use of this software.

Pro forma adjustments

15) GSC initiated material savings

- Represents pro forma material cost savings assuming acquired businesses sourced materials from GSC at lower prices on jobs contracted in the pre-acquisition period. The Company performed a detailed analysis whereby each acquired businesses' LTM material purchases prior to acquisition were compared to GSC sourced prices for equivalent products on a SKU level basis to estimate the Company's material savings percentage. For pre-acquisition SKUs where equivalent GSC products were not identified, no savings were quantified. Estimated savings percentages were applied to the pre-acquisition period and the first two months following the acquisition, representing pre-acquisition contracted jobs which utilized non-GSC inventory.
- We agreed a sample of GSC SKU prices to the Company's purchases and pre-acquisition SKU prices to invoice / purchase order in support of management's proposed material savings. The SKU level data were traced for the top SKUs for the Alpha, Peak, and Baker's acquisitions driving the LTM Jun-22 uplift.
- Additionally, we compared the adjusted materials, as a percentage of revenue, for the pre-acquisition periods to the post-acquisition costs to corroborate savings were realized. Refer to the *Appendix – Quality of earnings* for further details.

[15] GSC initiated material cost savings						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
As reported						
Gross revenue [1]	574,761	783,498	869,971	367,181	453,654	
Material COGS, excl. freight [1]	94,671	127,403	142,431	58,729	73,756	
Materials, as % of gross revenue	16.5%	16.3%	16.4%	16.0%	16.3%	
As adjusted						
Gross revenue	574,761	783,498	869,971	367,181	453,654	
Material COGS, excl. freight	86,617	121,517	138,616	55,563	72,662	
Materials, as % of gross revenue	15.1%	15.5%	15.9%	15.1%	16.0%	
EBITDA impact	8,053	5,886	3,815	3,166	1,095	

Source (all): Management provided information

16) Pre-acquisition marketing expenses

- Represents an adjustment to reflect Alpha's (acquired in Dec-21) run-rate marketing expense under the Company's ownership and marketing strategies. The run-rate marketing expense reflects the Q2-22 expense as a percent of net revenue applied to the pre-acquisition period. We understand the pre-acquisition elevated marketing expense was primarily driven by a change in advertising and lead generation provider and the launch of a marketing initiative into a new market via website marketing and rebranding. Under the Company's ownership, marketing expenses have declined as a percent of net revenue from 14.8% in 2021 to 12.8% in YTD Jun-22, while net sales and backlog have continued to increase in the same period.

[16] Pre-acquisition marketing expenses						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	Q2-22
Marketing spend [2]						
Revenue, net [2]	40,524	65,969	73,213	32,251	39,495	19,776
Marketing spend [2] incl. revisions						
Marketing spend [2]	5,093	9,769	9,308	4,842	4,380	2,319
[1.iv] Marketing reversal	-	-	692	-	692	219
Marketing spend [2] incl. revisions	5,093	9,769	10,000	4,842	5,073	2,538
Marketing spend, as a % of net revenue	12.6%	14.8%	13.7%	15.0%	12.8%	12.8%
Marketing spend normalization						
Normalized marketing spend % (Q2-22)	12.8%	12.8%	12.8%	12.8%	12.8%	
Normalized marketing spend [4]	5,200	8,465	9,399	4,139	5,073	
EBITDA impact	(107)	1,304	601	703	-	

Pro forma adjustments (2)

17) Pro forma personnel

- Represents the add back of payroll costs for post acquisition reductions and compensation changes in acquired businesses' workforce, offset by the inclusion of costs in historical periods for the expansion of, and changes to, the corporate executive and leadership team. Quantification of employee compensation was based on payroll registers, and benefits and taxes were estimated based on reported results as a percent of salaries and wages. Refer to the *Appendix – Quality of earnings* for a detailed breakdown by individual.

[17] Pro forma personnel						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Workforce reduction	i	2,948	1,511	860	749	98
Corporate function	ii	(1,628)	(671)	(417)	(413)	(159)
EBITDA Impact		1,320	840	444	335	(61)

Source (all): Management provided information

- Workforce reduction* – Represents employees identified that either (i) had non-operational or redundant roles in the pre-acquisition period, (ii) were transitioned and terminated with responsibilities absorbed by existing personnel; or (iii) had changes in post-acquisition compensation historically. Certain employees presented in this section are adjusted as part of the buy-side diligence report and management's QofE Adjustment [2]; as such, the pro forma adjustment only considers the portion of compensation not yet included in the aforementioned sections.

[17.i] Pro forma personnel - Workforce reduction						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Former owners	a	1,173	218	35	112	(72)
Redundant roles / non-retained roles	b	1,123	979	630	500	151
Transitioned and retained	c	96	(48)	(6)	(44)	(2)
Salaries and wages		2,393	1,149	659	568	78
Benefits		265	212	115	104	8
Taxes		290	150	86	76	12
Workforce reduction		2,948	1,511	860	749	98

Note: Workforce reduction benefits are based on the reported LTM Jun-22 benefits as a percent of salary and wages of 6.4%. Taxes are based on monthly taxes as a percentage of salary and wages.

17) Pro forma personnel (continued)

i. Workforce reduction (continued)

- Former owners* – Represent owners of acquired businesses that were temporarily contracted in a non-operational role post-acquisition primarily focused on transitioning key relationships and, in some cases, appearing in new marketing material. This adjustment primarily relates to activity identified within payroll registers not included in management's QofE Adjustment [2].
- Redundant / non-retained roles* – Represents headcount reductions to acquired businesses in the pre- and post-acquisition periods as a result of eliminating redundant roles. Management stated the responsibilities of these roles have transitioned to an existing employee with no replacement required. The LTM Jun-22 adjustment primarily relates to marketing and administrative employees.
- Transitioned and retained* – Represents the normalization of compensation to reflect changes in post-acquisition compensation for acquired employees who transitioned and were retained.

- Corporate function* – Represents an adjustment to reflect executive corporate and regional roles, that are not directly revenue generating, consistently across periods as a proxy for the leadership structure that may have been required assuming all acquired businesses were owned throughout the historical period, after considering previous adjustments (e.g. the add back of all former owner payroll costs). Refer to the below for details on the adjustment. We have additionally proposed a reclassification of historical compensation expense for certain individuals from the underlying branch to corporate to reflect a comparative period; refer to the *Appendix – Reconciliations and detailed procedures* section of this report.

Pro forma adjustments (3)

17) Pro forma personnel expense (continued)

ii. Corporate function (continued)

[17.ii] Pro forma personnel - Corporate function

\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Executives	a	(554)	(312)	(269)	(156)	(113)
Operational VPs	b	(284)	(154)	(152)	(78)	(76)
Finance team	c	(195)	93	173	2	82
Alpha general managers	d	(344)	(194)	(104)	(118)	(28)
Salaries and wages		(1,377)	(567)	(352)	(350)	(135)
Benefits		(118)	(49)	(30)	(30)	(12)
Taxes		(133)	(55)	(34)	(34)	(13)
Corporate function		(1,628)	(671)	(417)	(413)	(159)

Source (all): Management provided information

Note: Corporate function benefits and taxes are based on LTM Jun-22 corporate benefits and taxes percentage of 8.6% and 9.7%, respectively.

- Executives** – Includes the Chief Human Resources Officer, and the replacement of the Chief Information Officer and Chief Marketing Officer.
- Operational VPs** – Represents (i) the replacement of the VP of Human Resources and VP of Brand Marketing to consistently present the promotion of these new roles and (ii) the Managing Director of GSC hired given the expansion of this function, partially driven by acquired businesses increasing GSC activity.
- Finance team** – Includes the current VP of Finance and Senior Director of Finance, who absorbed certain former owners' oversight responsibilities. Costs for these employees were partly offset by the addback of the former Senior VP of Finance as this employee's day-to-day responsibilities were absorbed by the aforementioned roles.
- Alpha general managers** – Represents the expansion of the Alpha regional function as this brand did not have a centralized managerial structure in place pre-acquisition. These roles were filled by existing employees promoted post-acquisition. This adjustment reflects the pro forma costs for these roles in the historical period.

18) Pro forma rent expense

- Represents the normalization of facilities expense to (i) reflect historical rent and common area maintenance ("CAM") costs on a straight-line basis, (ii) remove any duplicative costs due to overlapping transition lease start and end dates, and (iii) remove any redundant rent expense for dormant locations.
- The Company historically recorded rent expense on a cash basis and beginning in 2021, recorded new leases on a straight-line basis due to an increase in rent-free periods and abatements received. Accordingly, we have reflected the Company's monthly rent expense and common area maintenance costs, where applicable, on a straight-line basis to consistently reflect expenses.

[18] Pro forma rent expense

\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Rent expense [2]					
Rent expense [2] incl. revisions	6,765	8,776	10,479	3,782	5,485
Rent expense - CAM [1] incl. revisions	-	-	322	-	322
Rent expense [2]	6,765	8,776	10,801	3,782	5,807
Reclass from G&A	132	-	-	-	-
Rent expense to adjust	6,897	8,776	10,801	3,782	5,807
Adjustment					
Rent expense, adjustment	(11)	(145)	(307)	99	(64)
Rent expense - CAM, adjustment	245	490	491	158	159
Adjustment	234	345	184	256	96
Rent expense, as adjusted					
Rent expense, adjusted	6,886	8,631	10,171	3,881	5,421
Rent expense - CAM, adjusted	245	490	814	158	482
Rent expense, as adjusted	7,132	9,121	10,985	4,039	5,903
EBITDA impact	(234)	(345)	(184)	(256)	(96)

Other considerations

Quality of earnings - Other considerations						
				LTM	YTD	YTD
\$'000	Ref.	2020	2021	Jun-22	Jun-21	Jun-22
ASC 606 - Revenue recognition	19	173	1,510	1,312	703	505
Acquisition-related - Excess marketing (Alpha)	20	-	-	692	-	692
Inventory valuation change	21	-	[+/-]	-	-	[+/-]

Source: Management provided information

19) ASC 606 – Revenue recognition

- Represents the estimated revenue recognition impact based on percentage of completion under ASC 606, which has been a passed audit adjustment in each prior fiscal year. The Company records revenue upon job completion, which we understand is typically 1-3 days. We have estimated the annual impact by utilizing management's summary level calculation which utilizes the Dec-21 work in process inventory per the balance sheet for the year end audit adjustment analysis, and applied an adjustment to estimate the impact of in process jobs related to acquisitions at the prior year-end, which is not factored in. Refer to the *Appendix – Quality of earnings* for further details.

20) Acquisition-related – Excess marketing (Alpha)

- While we have proposed to reverse \$0.7 million of marketing spend from management's acquisition marketing adjustment in QofE Adjustment [1], you may wish to consider eliminating this elevated spend for forecast purposes as management does not expect this level going forward, as noted in QofE Adjustment [16].

21) Inventory valuation change

- As part of the business central ERP implementation in Feb-22, the Company changed its inventory valuation methodology to weighted average from last cost (generally aligns to FIFO). To evaluate potential LTM impact, we analyzed item level purchase price trends in L3M Jun-21 and L3M Jun-22 periods, and noted no material differences between last cost and assumed weighted average cost (given 60-90 days DOH). Given this, any impact to LTM Jun-22 is likely limited. Based on the increase in L3M Dec-21 prices, inventory at last cost may be higher at Dec-21 compared to weighted average price, however, we do not expect a significant impact given inventory turns relatively quickly and prices were stable to declining in Q4-21. Refer to the *Appendix – Basis of presentation* and *Appendix – Balance sheet* section of this report for further details.

Supporting analysis to key findings | Net working capital

2.2

Net working capital | Overview

NWC, as defined averaged (\$22.5) million in LTM Jun-22. Potential and pro forma adjustments decrease average LTM Jun-22 NWC by (\$0.2) million to (\$22.7) million. Potential adjustments primarily relate to (i) non-recurring prepaid expenses, (ii) deferred payroll taxes, and (ii) non recurring accruals. Pro forma adjustments were quantified based on reported metrics and pre-acquisition adjusted income statement activity to reflect a similar working capital profile of the reported business for pre-acquisition periods.

Net working capital					
	Ref.	Dec-21	Jun-22	Averages	
				LTM	
\$'000				FY21	Jun-22
Current assets					
Cash and cash equivalents		28,039	73,575	39,906	48,007
Accounts receivable, net		18,059	22,305	19,997	21,572
Inventory		40,787	44,719	26,961	37,430
Prepaid expenses		15,247	10,610	8,643	11,569
Other current assets		2,836	1,873	1,583	1,863
Current assets		104,969	153,082	97,090	120,441
Current liabilities					
Accounts payable and accrued expenses		(43,277)	(57,519)	(46,307)	(50,442)
Deferred revenue					
Deferred revenue - Customer deposits		(32,861)	(32,996)	(29,546)	(33,590)
Deferred revenue - Prepaid service plans		(12,313)	(20,074)	(7,472)	(13,083)
Deferred revenue		(45,174)	(53,071)	(37,018)	(46,673)
Current portion of capital lease obligations		(7,836)	(12,868)	(5,029)	(9,081)
Current portion of note payable		(4,989)	(4,913)	(3,585)	(4,321)
Current liabilities		(101,277)	(128,371)	(91,939)	(110,518)
Net working capital, as reported		3,692	24,711	5,150	9,924
Definitional adjustments					
Cash and cash equivalents		(28,039)	(73,575)	(39,906)	(48,007)
Accrued interest		486	-	1,882	2,177
Current portion of capital lease obligations		7,836	12,868	5,029	9,081
Current portion of note payable		4,989	4,913	3,585	4,321
Definitional adjustments	1	(14,728)	(55,794)	(29,410)	(32,427)
Net working capital, as defined		(11,036)	(31,082)	(24,260)	(22,504)
Potential adjustments					
Payroll tax deferral	2	2,125	2,125	4,066	3,007
Non-recurring accrued expenses	3	220	1,468	18	993
Deferred rent	4	1,008	1,460	159	794
Incentive compensation normalization	5	(2,688)	(255)	1,806	(707)
Self-insured medical reserve normalization	6	285	(1,523)	(636)	(546)
GreenSky rebate accrual normalization	7	1,545	870	931	644
GSC rebate accrual normalization	8	(0)	90	412	268
AP early payment normalization (Jan-22)	9	-	-	-	(1,018)
Non-recurring prepaid expenses	10	(4,232)	(4,705)	(1,082)	(3,104)
Potential adjustments		(1,737)	(470)	5,673	333
Net working capital, as potentially adjusted		(12,773)	(31,552)	(18,586)	(22,171)
Pro forma adjustments	11	476	249	(1,581)	(534)
Net working capital, as pro forma adjusted		(12,296)	(31,303)	(20,167)	(22,705)

Source: Management provided information

Basis of presentation

- Presented in the adjacent table is consolidated net working capital on a reported basis (excluding any pre-acquisition reported balances of acquired businesses), prepared using monthly trial balances, as provided by management.
- Net working capital is presented on a consolidated basis. While subledgers for key captions (AR, inventory, AP, and deferred revenue) have branch level tracking, the Company does not maintain separate balance sheets by branch.
- The adjustments identified are based on work performed as outlined in our scope of work in the *Appendix* and are not necessarily all-inclusive. Further diligence could identify additional or different adjustments.
- The adjustments identified by during the course of our diligence process are categorized as follows:

Adjustment categorization

- Definitional adjustments** – Represents accounts within current assets and liabilities which are cash or debt-like in nature.
- Potential adjustments** – Represents (i) non-recurring or debt-like amounts identified in reported working capital and; (ii) the working capital impact of certain adjustments identified in *Quality of earnings*.
- Pro forma adjustments** – Represents adjustments to reflect the pro forma impact of acquisitions completed in 2021 and YTD Jun-22.

Definitional adjustments

1) Cash, debt, and accrued interest

- Represents adjustments to remove cash, debt, capital lease obligations and accrued interest from net working capital as the proposed transaction is expected to be cash-free and debt-free.

Potential adjustments

Potential adjustments

2) Payroll tax deferral

- Represents an adjustment to remove the liability for payroll taxes deferred on 2020 wages as part of the CARES act. A total of \$4.2 million of payroll taxes were deferred in 2020. Half of this (\$2.1 million) was repaid in Dec-21, with the remaining half expected to be repaid by Dec-22.

3) Non-recurring accrued expenses

- Represents an adjustment to remove non-recurring balances identifiable within accrued expenses relating to: (i) accruals associated with the acquisition-related restricted cash balances held in escrow accounts, (ii) accruals related to expenses incurred for acquisition launch events hosted by the Company, and (iii) accruals for management fees paid to the majority owner in the historical period.

[3] Non-recurring accrued expenses					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
Escrow accrual	i	-	1,468	-	923
Kickoff 2022 - Airfare	ii	220	0	18	18
Management fee accrual	iii	-	-	-	52
NWC Impact		220	1,468	18	993

Source (all): Management provided information

4) Deferred rent

- Represents the removal of deferred rent liabilities, consistent with the adjusted rent expense presented in *Quality of earnings*, which is recognized on a straight-line GAAP basis.

Potential adjustments (continued)

5) Incentive compensation normalization

- Represents the normalization of accruals related to incentive compensation as outlined in QofE Adjustment [6]. This adjustment first reverses the reported bonus accrual for both the corporate bonus program and the field employee bonus program (formerly referred to as "Gainshare") based on a breakdown of the accrued payroll account. An adjusted bonus accrual is then calculated based on the (i) the adjusted monthly corporate and field bonus expense per QofE Adjustment [6] and (ii) an assumed payment of annual bonuses in March of the following year per management's current policy. Prior to 2022, there were partial mid-year payouts for field bonuses. Refer to *Quality of earnings* and *Appendix – Income statement overview* sections for further details on changes to incentive compensation plans.

[5] Incentive compensation normalization					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
Legacy corporate bonus		1,733	(239)	1,375	1,188
Corporate bonus		-	1,862	-	527
Gainshare (legacy field bonus)		(0)	(0)	3,176	640
Field bonus		-	1,423	-	296
Bonus accrual, reported	A	1,733	3,046	4,552	2,651
Adjusted bonus accrual, opening balance		4,024	2,632	2,602	3,256
Adjusted bonus per QofE Adj [7]		397	669	368	470
March payment of annual bonus		-	-	(226)	(368)
Adjusted bonus accrual	B	4,421	3,301	2,745	3,357
NWC Impact	A-B	(2,688)	(255)	1,806	(707)

Potential adjustments (2)

Potential adjustments (continued)

6) Self-insured medical reserve normalization

- Represents the normalization of the incurred but not reported ("IBNR") reserve balances in relation to QofE Adjustment [11]. This adjustment presents the reported IBNR reserve (adjusted for escrow / security deposits and unaccrued stop-loss reimbursements) in line with third-party actuarial estimates. Refer to *Quality of earnings* for further details on the income statement impact.

[6] Self-insured medical reserve normalization					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
IBNR accrual, reported [0]		1,270	(882)	146	392
Plus: Escrow/security deposit in IBNR accrual		254	254	131	213
Less: Unaccrued stop-loss reimbursements		-	182	-	15
IBNR accrual, excl. deposits, incl. unaccrued stop-loss	A	1,524	(446)	277	620
IBNR accrual, per actuary reports (QofE Adj [11])	B	1,239	1,077	913	1,166
NWC Impact	A-B	285	(1,523)	(636)	(546)

Source (all): Management provided information

7) GreenSky rebate accrual normalization

- Represents the normalization of accruals related to the GreenSky rebate as outlined in QofE Adjustment [12.iii]. The Company began accruing for GreenSky rebates within non-trade accounts receivable in 2021. As such, we calculated the monthly reported rebate accrual based on monthly GL activity and agreed the Dec-21 balance to the subledger for non-trade AR. We then calculated the adjusted rebate accrual based on (i) the adjusted rebate per the *Quality of earnings* and (ii) assumed payment in January of the subsequent year per the current contract.

[7] GreenSky rebate accrual normalization					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
GreenSky accrual, opening balance		1,039	468	392	870
Monthly accrual activity		109	697	96	97
GreenSky accrual, reported	A	1,148	1,165	488	967
Adjusted GreenSky accrual, opening balance		2,459	1,627	1,348	1,550
Adjusted GreenSky rebate per QofE Adj [12.iii]		234	409	224	285
January payment of annual rebate		-	-	(155)	(224)
Adjusted GreenSky accrual	B	2,693	2,036	1,418	1,611
NWC Impact	B - A	1,545	870	931	644

Potential adjustments (continued)

8) GSC rebate accrual normalization

- Represents the normalization of accruals related to GSC vendor rebates on material purchases as outlined in QofE Adjustment [12.ii]. Prior to Dec-21, the Company recorded vendor rebates on a cash basis, and thus there was no associated accrual on the balance sheet. As such, we have calculated the adjustment to working capital as outlined below:
 - GSC rebate accrual, adjustment* – We calculated the monthly reported rebate accrual, which began in Dec-21, based on actual accruals, payments and adjustments, by vendor. The adjusted rebate accrual was then calculated by month for the historical period based on the adjusted rebates per QofE Adjustment [12.ii], and actual payments and adjustments recorded. The resulting adjustments of \$172,000 in Dec-21 is related to the rebate for one vendor (Rhino USA) as described below and \$90,000 in Jun-22 due to management not recorded an accrual in this period.
 - Reclassification adjustment to AP* – This amount relates to the reclassification of a vendor rebate related to Rhino USA which was recorded as an offset to accounts payable. As such, this adjustment reclassifies this amount to non-trade AR, consistent with the other GSC rebates with no impact to overall working capital.

[8] GSC rebate accrual normalization					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
GSC rebate accrual, opening balance		-	467	-	222
Add: Reported rebates		543	-	45	81
Less: Payments		-	(4)	-	(36)
Add: Adjustments		-	-	-	(6)
GSC rebate accrual, closing balance		543	463	45	261
Adjusted GSC rebate accrual, opening balance		770	467	426	564
Add: Adjusted rebates per QofE Adj [12.ii]		115	90	96	97
Less: Payments		(171)	(4)	(51)	(84)
Add: Adjustments		-	-	-	(6)
Adjusted GSC rebate accrual, closing balance		715	553	471	572
GSC rebate accrual, adjustment	i	172	90	426	311
Reclassification adjustment to AP					
Reported rebate in AP (Rhino)	ii	(172)	-	(14)	(43)
NWC adjustment		(0)	90	412	268

Potential adjustments (3)

Potential adjustments (continued)

9) AP early payment normalization (Jan-22)

- Represents the normalization of accounts payable in Jan-22 due to early payments made in this month. Management indicated that, as a result of the Company's ERP implementation in Feb-22, the Company proactively paid down a greater amount of payables in Jan-22 to avoid potential delays in vendor payments. As such, the reported DPO in this month of 12 days was lower than other months in the LTM period. We calculated an adjustment to normalize the AP balance in Jan-22 based on the LTM Jun-22 DPO (excluding Jan-22) of 23 days.

10) Non-recurring prepaid expenses

- Represents non-recurring prepaid expense balances relating to:

[10] Non-recurring prepaid expenses					
				Average	
				LTM	
\$'000	Ref.	Dec-21	Jun-22	2021	Jun-22
Prepaid office party expenses	i	2,769	2,997	374	1,872
Prepaid R&W insurance	ii	1,463	1,708	708	1,232
Non-recurring prepaid expenses		4,232	4,705	1,082	3,104
NWC Impact		(4,232)	(4,705)	(1,082)	(3,104)

Source: Management provided information

- Prepaid office party expenses* – In Q3-21, management recorded \$2.8 million of prepaid expenses for prepayments for a company-wide office party initially scheduled for early 2022. We understand the prepayments related to flights for employee travel to Virginia Beach, a celebrity keynote speaker and other event costs. The event was delayed due to COVID-19 until summer 2022, and further delayed until Q1-23. As of Jun-22, the Company had approximately \$3.0 million of prepaid expenses related to the delayed party. We have proposed an adjustment to exclude from net working capital the prepaid expense balance that remained on the Company's' books from Nov-21 through Jun-22 given its non-recurring nature.
- Prepaid R&W insurance* – Represents various acquisition-related representations and warranties policies.

Pro forma adjustments

Pro forma adjustments

11) Pro forma adjustments

- Represents the pro forma net working capital impact of acquisitions completed in 2021 and YTD Jun-22. To calculate the adjustments, we primarily utilized pro forma adjusted income statements for pre-acquisition periods of each of the acquired brands, and utilized reported metrics to reflect a similar working capital profile to the pre-acquisition periods, as outlined below:

[11] Pro forma adjustments - by caption

\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
Pro forma accounts receivable	i	837	453	3,604	2,034
Pro forma inventory	ii	2,146	1,279	4,984	3,064
Pro forma prepaid expenses	iii	402	115	1,344	739
Pro forma accounts payable and accrued expenses	iv	(1,526)	(686)	(4,960)	(2,810)
Pro forma accrued payroll	v	(184)	(271)	(1,209)	(640)
Pro forma customer deposits	vi	(1,198)	(641)	(5,344)	(2,921)
NWC Impact		476	249	(1,581)	(534)

Source (all): Management provided information

- Accounts receivable** – Pre-acquisition adjusted gross sales by brand was applied to the Company's monthly reported DSO to estimate monthly accounts receivable balances.
- Inventory** – Pre-acquisition adjusted materials costs by brand was applied to the Company's monthly reported DOH to estimate the monthly inventory balances.
- Prepaid expenses** – Pre-acquisition TTM gross sales was multiplied by the Company's monthly reported prepaid expenses as a percent of TTM reported revenue.
- Accounts payable and accrued expenses** – Pre-acquisition COGS and operating expenses excluding labor costs (accrued payroll calculated separately) was applied to the Company's monthly adjusted DPO to estimate monthly AP and accrued expense balances.

Pro forma adjustments (continued)

11) Pro forma adjustments (continued)

- Accrued payroll** – Pro forma pre-acquisition payroll accruals were calculated based on the Company's bi-weekly payroll schedule (i.e. the number of days between the last pay day of the month and month-end) and monthly pre-acquisition labor costs.
- Customer deposits** – Pre-acquisition TTM gross revenue by brand was multiplied by the Company's monthly reported customer deposits as a percent of TTM reported gross revenue. Customer deposits are recorded within deferred revenue on the balance sheet, which also includes balance related to deferred service plan revenues. We have only utilized the deferred revenue balances related to customer deposits in our calculation.

- Refer to the *Appendix – Balance sheet* for further details on the calculation methodology for the pro forma adjustments above.

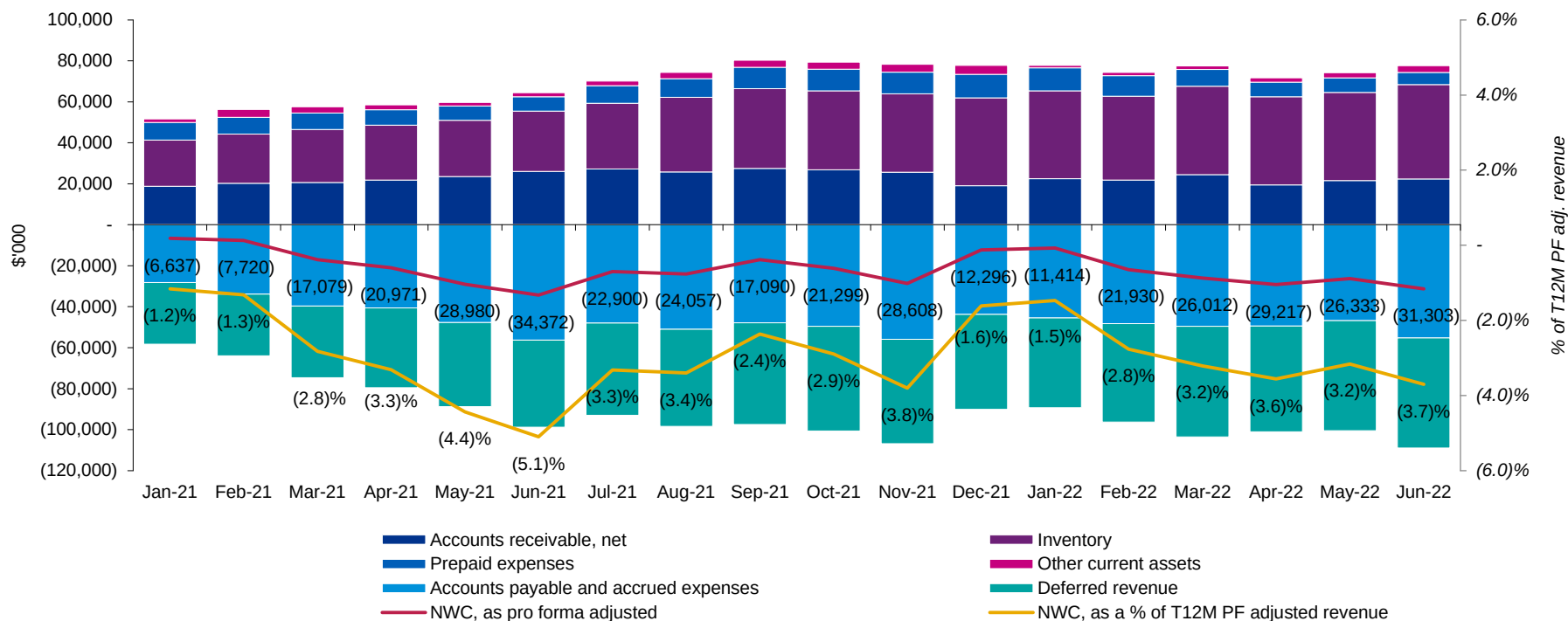
[11] Pro forma adjustments - by brand

\$'000	Acq. date	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
Baker's	5/13/2021	-	-	(47)	-
ITG	7/16/2021	-	-	(89)	-
BQ	11/1/2021	-	-	(142)	(29)
Alpha	12/15/2021	-	-	(771)	(309)
CLS	12/29/2021	-	-	(45)	(18)
Peak	4/1/2022	(106)	-	(315)	(182)
BAWV	7/6/2022	290	121	(57)	53
FSS	7/18/2022	292	128	(116)	(50)
NWC Impact		476	249	(1,581)	(534)

Monthly trends

NWC experiences seasonal trends, as the Company typically (i) experiences a decline in customer deposits in winter months in-line with sales trends and (ii) holds higher inventory balances during this time in order to meet increased sales demand in the spring and summer months. Higher sales in Q2 and Q3 result in higher accounts receivable balances, which typically decline in Q4. Monthly fluctuations in NWC are partially due to timing of month-end relative to the Company's bi-weekly payroll cycles.

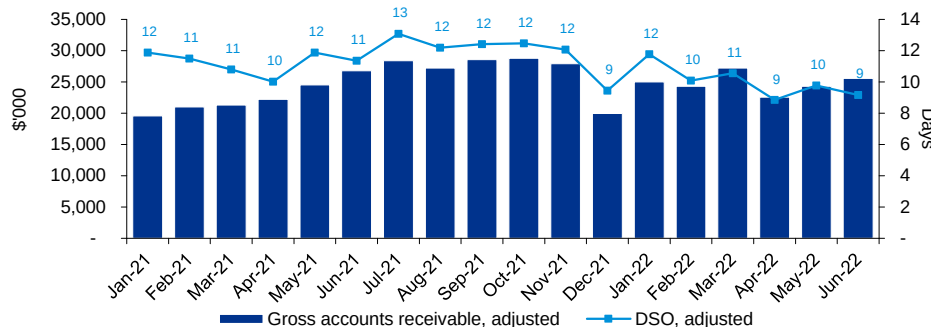
Net working capital, as pro forma adjusted



Source (all): Management provided information

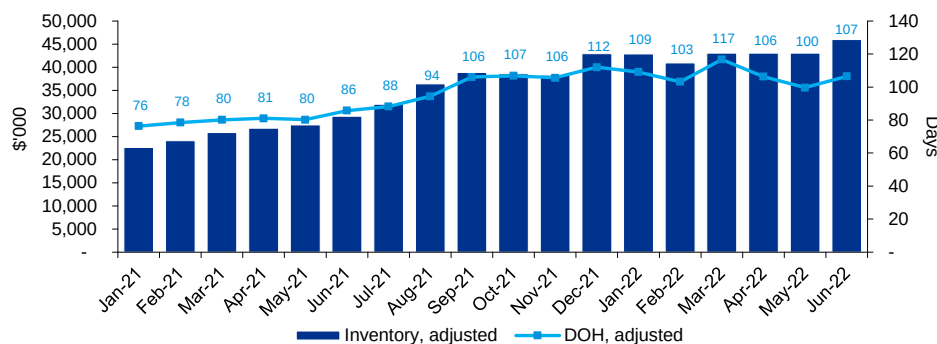
NWC metrics

AR and DSO



AR typically fluctuates with gross sales as DSO is relatively stable. Management noted the decline in DSO in YTD Jun-22 is driven by (i) additional rollout of credit card scanners to foremen, (ii) real time receivable tracking enabled by the new ERP, and (iii) build out of operations finance which implemented weekly AR reviews at branches.

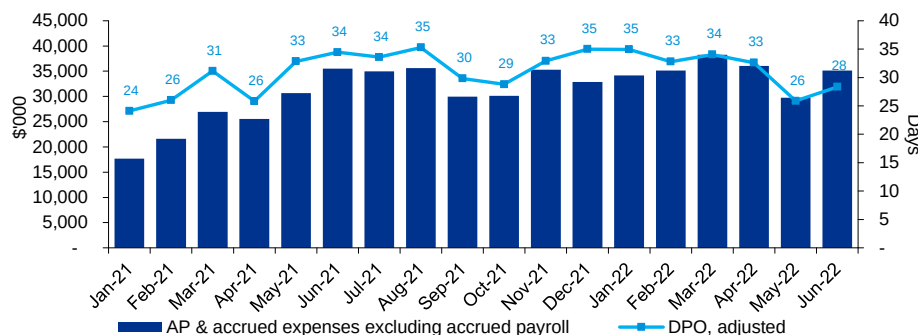
Inventory and DOH



Inventory experiences seasonal fluctuations as the Company typically builds inventory in Q1 and Q2 to meet higher demand in the summer months in Q2 and Q3. In 2021 and YTD Jun-22, management indicated it deliberately increased inventory levels to mitigate the impacts of supply chain delays.

Source (all): Management provided information

AP and accrued expenses and DPO



AP and accrued expenses fluctuate with non-payroll related COGS and OPEX, as average DPO is relatively stable. The Company typically pays vendors in 30 days, consistent with most vendor payment terms, as few offer early payment discounts.

Appendix

DRAFT

3

Appendix | Income statement overview

DRAFT

3.1

Consolidated income statement | Adjusted – Net revenue

Income statement - Consolidated, as pro forma adjusted [4]										
\$'000	LTM			YTD		% of net revenue				
	2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	Jun-22	Jun-21	Jun-22
Revenue, net										
Gross revenue	573,759	776,642	862,263	364,605	450,226	102.0%	101.9%	102.0%	101.9%	102.0%
Adjustments to revenue										
Financing fees	(6,648)	(8,366)	(9,542)	(3,979)	(5,155)	(1.2)%	(1.1)%	(1.1)%	(1.1)%	(1.2)%
Credit card fees	(4,674)	(6,327)	(7,025)	(2,970)	(3,668)	(0.8)%	(0.8)%	(0.8)%	(0.8)%	(0.8)%
Adjustments to revenue	(11,322)	(14,693)	(16,567)	(6,949)	(8,823)	(2.0)%	(1.9)%	(2.0)%	(1.9)%	(2.0)%
Revenue, net	562,437	761,949	845,696	357,656	441,403	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of goods sold										
Materials	88,216	125,051	140,459	56,832	72,239	15.7%	16.4%	16.6%	15.9%	16.4%
Labor	153,093	207,118	230,712	96,970	120,565	27.2%	27.2%	27.3%	27.1%	27.3%
Other cost of goods sold	29,638	40,752	46,888	17,887	24,023	5.3%	5.3%	5.5%	5.0%	5.4%
Cost of goods sold	270,947	372,921	418,059	171,689	216,828	48.2%	48.9%	49.4%	48.0%	49.1%
Gross profit	291,490	389,028	427,637	185,966	224,575	51.8%	51.1%	50.6%	52.0%	50.9%
Operating expenses										
General & administrative	67,053	95,967	108,326	44,856	57,215	11.9%	12.6%	12.8%	12.5%	13.0%
Payroll expenses	67,914	85,928	94,737	40,525	49,334	12.1%	11.3%	11.2%	11.3%	11.2%
Marketing	51,350	77,051	81,399	38,109	42,458	9.1%	10.1%	9.6%	10.7%	9.6%
Operating expenses	186,318	258,945	284,462	123,491	149,007	33.1%	34.0%	33.6%	34.5%	33.8%
EBITDA [4]	105,172	130,083	143,175	62,476	75,568	18.7%	17.1%	16.9%	17.5%	17.1%

Source (all): Management provided information

Note: Corporate overhead allocations are included within the general & administrative caption in the table above.

Basis of presentation

- The above table represents the Company's consolidated pro forma adjusted income statement [4], prepared using monthly trial balances and supporting financial information, as provided by management. Refer to the *Appendix – Basis of presentation* for further discussion and the *Appendix – Reconciliations and detailed procedures* for a reconciliation of the reported income statement to the audited financial statements.
- Refer to *Executive summary – Company overview* for an income statement bridge from reported [1] to pro forma adjusted [4].

Net revenue

- Net revenue is comprised of (i) gross revenue, representing production revenue, net of refunds and cancellations, service plan revenue, and ancillary revenue, as well as (ii) adjustments to revenue, comprised of financing fees and credit card fees.

Gross revenue

Gross revenue, as pro forma adjusted [4]										
\$'000	Ref.	LTM			YTD		% of total			
		2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	Jun-22	Jun-21
Production revenue	i	559,848	750,324	834,900	353,640	438,216	97.6%	96.6%	96.8%	97.0%
Service revenue	ii	7,218	16,525	16,395	6,410	6,281	1.3%	2.1%	1.9%	1.8%
Ancillary revenue	iii	6,692	9,793	10,968	4,555	5,730	1.2%	1.3%	1.3%	1.2%
Gross revenue [4]		573,759	776,642	862,263	364,605	450,226	100.0%	100.0%	100.0%	100.0%

Note: Production revenue above includes a G/L account labeled "cancellations". While this includes certain refunds, we understand they are de minimis and the majority of activity represents descopes and other true ups captured within the account for tracking purposes; as such, this does not capture actual underlying cancellations and production revenue should be viewed in totality.

- Production revenue** – Represents revenue generated on jobs which generally last 1-3 days. A job can include multiple components, referred to as projects. Project types are primarily categorized as foundation repair, basement waterproofing, crawlspace encapsulation, and concrete lifting. Contractually, customers have a three-day cancellation policy after signing a contract in order to obtain a full refund net of expenses specific incurred by the Company; however, in practice, the Company generally provides refunds beyond the three-day window in good faith. Revenue is recognized when a job is complete, based on the job completion date which encompasses all projects within a job.

Consolidated income statement | Adjusted (2) – Net revenue (2)

Gross revenue (continued)

- ii. **Service revenue** – Consists of proactive and reactive appointments as well as the sale of multi-year service contracts which are 1, 3, or 5 years where revenue is recognized ratably over the duration of the contract, as earned. Service appointments occur for ad-hoc visits, while service plans are sold at the time of the initial job and cover annual on-site visits and check-ups (which has become a sales channel for follow on jobs). Service plans are priced at \$250, \$500, and \$900 for the 1, 3, and 5 year plans, respectively.
- iii. **Ancillary revenue** – Comprised of plumbing and generator services primarily from the A1 brand.
- From 2020 to LTM Jun-22, revenue increased due to a greater volume of projects and to a lesser extent, price. Average prices increased from ~\$7,900 per sale in 2020 to ~\$10,800 per sale in LTM Jun-22, in part due to successfully passing on material costs increases (driven by commodity movements in 2021) as well as labor rate increases to customers.
- The Company experiences some seasonality at the location-/region-level. The Southern divisions generally operate with limited seasonality impacts and can be impacted by specific weather conditions, while the East and West divisions experience more seasonality within winter months.
- Refer to the *Appendix – Basis of presentation* for information on revenue recognition and the Company's order to cash process.

Adjustments to revenue

- **Financing fees** – Represent fees paid to the Company's third party consumer financing partners, net of annual volume rebates. Financing plans are offered to customers with different durations and interest rates / fees, driven by customer credit worthiness. Acquired businesses transition to the Company's financing providers post-acquisition.

In 2021, the Company began to recognize rebates on an accrual basis and in 2022, GreenSky changed the financing rebate program to a volume-driven tiered program, increasing the top tier rebate to 1.75% (based on meeting a \$200 million threshold of financing revenue per calendar year, applied to all financed revenue once met), which has been normalized as part of the *Quality of earnings*; refer to *Quality of earnings – Potential adjustments* for further detail.

Adjustments to revenue (continued)

– Finance fees (continued)

Financing fees as a percent of financed revenue (calculated as finance fees [0] plus QofE adjustments, over financed revenue from GreenSky) declined from 2020 to LTM Jun-22 primarily driven by the mix of plans customers were eligible for and lower interest rates. Further, as the volume of financed revenue increased, the Company received higher rebates.

Financed vs. non-financed revenue						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Finance fees						
Pre-acq finance fees		1,485	753	425	373	46
Post-acq finance fees [0]	A	7,018	7,516	9,070	4,470	6,025
Finance fees [1]		8,503	8,268	9,496	4,843	6,071
QofE adjustment	B	(1,855)	98	47	(864)	(915)
Finance fee [4]		6,648	8,366	9,542	3,979	5,155
Gross revenue						
Financed revenue per GreenSky	C	97,854	153,907	198,700	70,470	115,262
Non-financed revenue		263,830	512,554	604,745	233,796	325,987
Gross revenue [0]		361,684	666,461	803,445	304,265	441,250
Pre-acq. revenue		213,076	117,037	66,526	62,915	12,404
QofE adjustments		(1,002)	(6,856)	(7,708)	(2,576)	(3,428)
Gross revenue [4]		573,759	776,642	862,263	364,605	450,226
Finance fees, as % of finance revenue	(A+B) / C	5.3%	4.9%	4.6%	5.1%	4.4%

Source: Management provided information

Note (1): Financed revenue presented above only reflect GreenSky financed revenue on a reported basis, excluding all pre-acquisition information. We understand financing fees predominantly relate to GreenSky, the Company's main third party consumer financing partner.

- **Credit card fees** – Represent third party credit card fees related to customer payments. The Company implemented Swipe Simple in late 2019 / early 2020, with a staggered roll out to branches, which eliminated the manual card keying process and more time intensive swiping modules. The Company also implemented hand-held point of sale devices for field personnel beginning in 2021. All acquired businesses are in the process of, or have already transitioned to Swipe Simple, which resulted in a decline in credit card fees on a reported basis. Refer to *Quality of earnings – Potential adjustments* for more details.

Consolidated income statement | Adjusted (3) – Cost of goods sold

Cost of goods sold

Cost of goods sold, as pro forma adjusted (4)										
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	% of net revenue				
						2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Materials	88,216	125,051	140,459	56,832	72,239	15.7%	16.4%	16.6%	15.9%	16.4%
Labor	153,093	207,118	230,712	96,970	120,565	27.2%	27.2%	27.3%	27.1%	27.3%
Other COGS	29,638	40,752	46,888	17,887	24,023	5.3%	5.3%	5.5%	5.0%	5.4%
Cost of goods sold (4)	270,947	372,921	418,059	171,689	216,828	48.2%	48.9%	49.4%	48.0%	49.1%

Source (all): Management provided information

Materials expense

- Materials expense is primarily comprised of (i) GSC sourced inventory, (ii) consumables from local or big box retailers, (iii) inventory acquired prior to acquisition (pre-merger or "PM") relating to pre-acquisition contracted jobs that require specific use of non-GSC inventory, and (iv) freight costs related to inventory movements between GSC and the branches.
- Material expenses are recognized as jobs are completed, while consumables are expensed as incurred. Direct materials – GSC and freight expenses need to be considered together, as GSC records internal freight charges to the branches as credits within direct materials (for tracking purposes), with an offsetting internal freight expense within the branch freight expense accounts. Beginning in May-22, branches recorded expenses directly with no recharges from GSC.

Materials, as pro forma adjusted (4)										
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	% of net revenue				
						2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Direct materials - GSC	42,571	81,180	98,236	34,532	51,588	7.6%	10.7%	11.6%	9.7%	11.7%
Consumables	15,570	18,458	26,458	9,034	17,034	2.8%	2.4%	3.1%	2.5%	3.9%
Direct materials - PM	28,884	22,159	13,578	11,940	3,359	5.1%	2.9%	1.6%	3.3%	0.8%
Freight	1,771	4,659	3,536	1,973	850	0.3%	0.6%	0.4%	0.6%	0.2%
Materials discount	(579)	(1,405)	(1,348)	(647)	(591)	(0.1)%	(0.2)%	(0.2)%	(0.2)%	(0.1)%
Materials (4)	88,216	125,051	140,459	56,832	72,239	15.7%	16.4%	16.6%	15.9%	16.4%

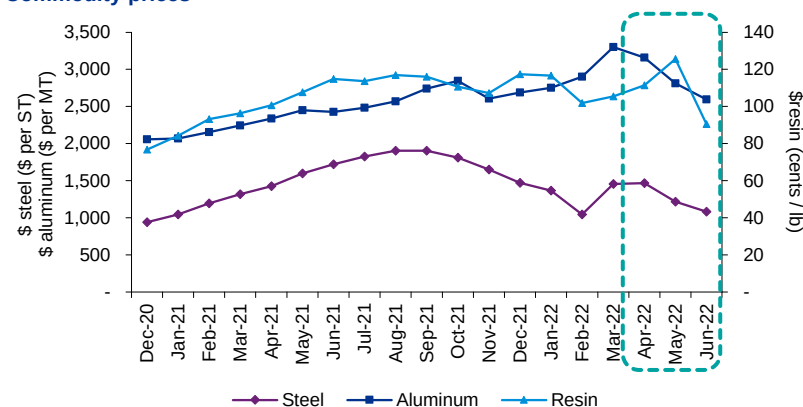
- Material discounts comprise less than 2% of GSC materials expense and represent GSC vendor rebates received from suppliers including Research Products Corporation, Rhino Products USA, Aprilaire, and several others. Rebates are primarily paid annually, with a few vendors paying quarterly and semi-annually; rebates are primarily percentage discounts based on volume purchases.

Cost of goods sold (continued)

Materials expense (continued)

- The Company historically recognized materials discounts on a cash basis but began to recognize these on an accrual basis beginning in Dec-21. Refer to *Quality of earnings – Potential adjustments* for further details on the out of period adjustment.
- Materials expense as a percent of revenue increased from 2020 to LTM Jun-22 as vendors increased prices in H2-21 due to the impact of inflation in their underlying commodities, labor, and sourcing costs. The Company implemented customer price increases to partially offset these cost changes.
- We understand that steel, aluminum, and resin are the primary commodities utilized within materials and are the biggest drivers of vendor pricing. As shown below, while market prices of these commodities were elevated in 2021, they declined in YTD Jun-22, more in line with historical levels. This decline, along with additional price increases in 2022 drove a decline in materials as a percent of revenue in H1-22 vs. H2-21.

Commodity prices



Source: Capital IQ, a division of Standard and Poor's, accessed in Jul 2022

Note: ST represents stone weight; MT represents megaton

Prices for these three commodities began to decline in L3M.

Consolidated income statement | Adjusted (4) – Cost of goods sold (2)

Cost of goods sold (continued)

Cost of goods labor

COGS labor, as pro forma adjusted (4)										
\$'000	Ref.	2020	2021	% of net revenue			2020	2021	2022	YTD
				LTM	YTD	YTD				
				Jun-22	Jun-21	Jun-22				
Direct & indirect labor										
Direct & indirect pay		76,458	94,666	96,878	45,307	47,519	13.6%	12.4%	11.5%	12.7%
Taxes & benefits		13,150	18,838	21,457	8,815	11,434	2.3%	2.5%	2.5%	2.6%
Pay for performance		5,506	13,478	24,228	5,152	15,902	1.0%	1.8%	2.9%	1.4%
Bonus		1,612	1,735	1,978	922	1,164	0.3%	0.2%	0.2%	0.3%
Direct & indirect labor	i	96,726	128,717	144,540	60,195	76,019	17.2%	16.9%	17.1%	16.8%
Commissions	ii	52,709	74,543	82,127	34,934	42,517	9.4%	9.8%	9.7%	9.8%
Worker's comp.	iii	3,658	3,858	4,046	1,841	2,029	0.7%	0.5%	0.5%	0.5%
COGS labor (4)		153,093	207,118	230,712	96,970	120,565	27.2%	27.2%	27.3%	27.1%

Source (all): Management provided information

i. **Direct & indirect labor** – Primarily comprised of salary & wages, benefits, and bonuses for field-level foremen and installers, which are directly attributable to job contribution margin. In 2022, the classification of expenses between direct and indirect salaries & wages changed (pay tracked for on-the-job time vs. PTO / holiday pay); as such, these two captions need to be considered together, as presented above. Pay for performance (“PPJ”) relates to a non-discretionary bonus program paid to production teams when jobs are completed below targeted labor cost levels. Refer to the *Appendix – Payroll analysis* section of this report for more information. Increased direct labor cost as a percent of net revenue in YTD Jun-22 was driven by higher PPJ due to increased average job price.

ii. **Commissions** – Represents commissions paid to (i) CFIs on completed jobs (10% of sales, with 12% paid for self-generated sales), and (ii) 5% for all unlisted products sold, primarily paid to subcontractors. Commissions are paid upon deposit collection (50%) and when the job is complete (50%).

Commissions are reviewed quarterly for potential claw backs related to cancelled, unpaid, or unscheduled jobs; however, the Company noted claw backs have been de minimis historically. While CFIs have the ability to determine job pricing, jobs sold below par (a floor price by service set by management) are not eligible for commissions, and all commissions are subject to sales manager approvals.

Cost of goods sold (continued)

Cost of goods labor (continued)

ii. Commissions (continued) –

For acquisitions, CFI compensation is generally aligned to the Company's commission rates; however, under certain exceptions, some CFI and sales manager compensation is grandfathered based on prior incentive plans to maintain similar compensation packages for a period of time.

iii. **Worker's compensation insurance** – Represents expenses associated with Amerisure Mutual insurance fees, worker's compensation audits, and accruals for payments made to individual worker's compensation claims, with the exception of the State of Ohio which require employers to participate in their statewide plan. Refer to the *Appendix – Operating expenses and Quality of earnings – Potential adjustments* sections for details on the IBNR expense.

Other cost of goods sold

Other cost of goods sold, as pro forma adjusted (4)										
\$'000	Ref.	2020	2021	% of net revenue			2020	2021	2022	YTD
				LTM	YTD	YTD				
				Jun-22	Jun-21	Jun-22				
Subcontractors	i	14,996	20,463	22,165	8,919	10,621	2.7%	2.7%	2.6%	2.5%
Engineering	ii	3,991	5,744	6,232	2,767	3,254	0.7%	0.8%	0.7%	0.8%
Permits	iii	2,898	4,411	5,091	1,865	2,545	0.5%	0.6%	0.6%	0.5%
Customer satisfaction	iv	2,502	3,895	4,773	1,877	2,755	0.4%	0.5%	0.6%	0.5%
Travel / lodging	v	1,894	2,662	3,593	1,093	2,024	0.3%	0.3%	0.4%	0.3%
Equipment rental	vi	1,327	1,818	1,987	832	1,002	0.2%	0.2%	0.2%	0.2%
Other	vii	2,032	1,758	3,048	533	1,823	0.4%	0.2%	0.4%	0.1%
Other cost of goods sold (4)		29,638	40,752	46,888	17,887	24,023	5.3%	5.3%	5.5%	5.0%

i. **Subcontractors** – Represents subcontractors primarily utilized for services outside of installer and foremen expertise, such as electrical and plumbing work. Expenses are recognized upon job completion, consistent with revenue recognition.

ii. **Engineering** – Primarily represents third party engineering and inspection costs on specific jobs. Engineering cost requirements vary by job and are specific to the location and work required.

Consolidated income statement | Adjusted (5) – Cost of goods sold (3)

Cost of goods sold (continued)

Other cost of goods (continued)

- iii. **Permits** – Represent expenses associated with state and local permits obtained to complete jobs.
- iv. **Customer satisfaction** – Represents job specific material expenses associated with customer complaints and follow-up work which generally require an account change request and manager approval (e.g. costs to repair stairs damaged during a job). Expenses are recognized as incurred.
- v. **Travel / lodging** – Represents expenses incurred for site travel which remained relatively stable from 2020 to LTM Jun-22.
- vi. **Equipment rental** – Represents third party equipment rental expenses on jobs such as hammer drills, excavators, and several others which remained consistent at 2.0% of revenues from 2020 to LTM Jun-22.
- vii. **Other** – Primarily includes inspector training expenses, WIP true ups based on jobs in-progress at month-end, pre-acquisition other cost of goods sold, and job cost corrections which are limited each year.

Consolidated income statement | Adjusted (6) – Operating expenses

General & administrative

General & administrative expenses, as pro forma adjusted [4]											
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	% of net revenue				
							2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Vehicle expenses	i	11,255	17,850	21,457	7,871	11,478	2.0%	2.3%	2.5%	2.2%	2.6%
Occupancy expenses	ii	14,496	18,493	21,214	8,664	11,385	2.6%	2.4%	2.5%	2.4%	2.6%
Insurance	iii	6,816	12,303	14,447	5,847	7,991	1.2%	1.6%	1.7%	1.6%	1.8%
Taxes & licenses	iv	6,606	11,318	12,762	4,856	6,300	1.2%	1.5%	1.5%	1.4%	1.4%
Office expenses	v	6,683	8,878	10,444	4,241	5,807	1.2%	1.2%	1.2%	1.2%	1.3%
Shipping / freight	vi	1,540	3,060	3,771	1,365	2,076	0.3%	0.4%	0.4%	0.4%	0.5%
Employee-related expenses	vii	5,203	7,004	6,532	3,598	3,126	0.9%	0.9%	0.8%	1.0%	0.7%
Tools & equipment	viii	5,381	6,105	6,278	3,213	3,386	1.0%	0.8%	0.7%	0.9%	0.8%
Travel, meals, & entertainment		2,807	4,109	4,623	1,941	2,456	0.5%	0.5%	0.5%	0.5%	0.6%
Professional fees	ix	2,225	2,739	3,096	1,239	1,595	0.4%	0.4%	0.4%	0.3%	0.4%
Bad debt expense		1,724	2,330	2,587	1,094	1,351	0.3%	0.3%	0.3%	0.3%	0.3%
Other G&A expenses	x	2,319	1,777	1,115	928	266	0.4%	0.2%	0.1%	0.3%	0.1%
General & administrative [4]		67,053	95,967	108,326	44,856	57,215	11.9%	12.6%	12.8%	12.5%	13.0%

Source (all): Management provided information

- i. **Vehicle expenses** – Primarily represents fuel, repairs and maintenance, and other auto expenses relating to the Company's vehicle fleet which is acquired via capital leases. The increase in expense was primarily driven by increased fuel costs consistent with 2021 and YTD Jun-22 market price increases. Beginning in Mar-22, the Company began to charge a flat fuel surcharge, passing cost increases to customers.
- ii. **Occupancy expenses** – Predominantly comprised of facility rent and common area maintenance expenses, trash and disposal, telephone and cellular expenses, and building maintenance and repair expenses. The Company historically recognized rent expense on a cash basis; however, beginning in 2021, any new lease was recognized on a straight-line basis. The Company currently has three facilities with existing leases that are sub-leased to third parties with sublease terms largely consistent with the lease term, and one active, vacant facility. Refer to *Quality of earnings* – *Pro forma adjustments* for further detail.

Occupancy costs, as pro forma adjusted [4]					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Rent	7,132	9,121	10,985	4,039	5,903
Trash and disposal	2,308	3,297	3,678	1,510	1,891
Telephone	2,617	3,160	3,421	1,603	1,864
Utilities	1,152	1,474	1,529	752	808
Building maintenance & repairs	948	971	1,116	535	680
Cleaning	340	471	484	226	239
Occupancy expenses [4]	14,496	18,493	21,214	8,664	11,385

General & administrative (continued)

- iii. **Insurance** – Primarily represents auto, general liability, umbrella, pollution / professional insurance, and an insurance accrual for expected losses for incidents not yet reported based on actuary estimates (IBNR). The expense increase in 2021 is primarily related to additional coverage, implementation of the self-insured medical and pharmacy plan, and the alignment of insurance policies following business acquisitions.

The self-insured medical plan is administered by United Health Care and the Company maintains a stop-loss coverage for individual claims exceeding \$0.3 million per year through Veris Benefits Consortium. The Company records a monthly accrual for estimated claims costs and stop-loss insurance premiums based on employee participation and specific rates by geography and coverage level (e.g., single employee, employee & spouse, employee & family, etc.). In Jun-21, management determined YTD Jun-21 claims incurred (i.e., cash claims paid and IBNR) and stop-loss premiums paid exceeded the medical expense accrued; as a result, the Company's Jun-21 IBNR reserve was in a net debit position. Management increased the monthly medical expense accrual for Jun-21 through Dec-21 to build up the Company's IBNR reserve. In Aug-22, management performed a similar analysis and determined the Company was under-accrued for YTD Jun-22. We understand additional accruals will be recorded in H2-22 to adjust the reserve. Refer to *Quality of earnings* – *Potential adjustments* for a normalization of the IBNR balance.

- iv. **Taxes & licenses** – Represent primarily sales & use taxes, license and registration bonds, vehicle registration fees, property taxes for building leases, business licenses, and renewal fees.
- v. **Office expenses** – Primarily include hosting expenses, application software and licensing, office supplies, and other ancillary expenses. Hosting and licensing expenses primarily relate to Rackspace, the Company's third party cloud computing vendor, Microsoft licensing expenses, and Workday, the current HR system. Refer to the *Appendix – Basis of presentation* for further details on the Company's systems.

Consolidated income statement | Adjusted (7) – Operating expenses (2)

General & administrative (continued)

- vi. **Shipping / freight** – Represents primarily local branch freight expense, including expenses charged for direct shipments from suppliers to branches. The 2020 to 2021 freight expense increase was primarily driven by increased market prices, further combined with the Company's geographical growth and an increase in inventory on hand given freight is expensed as incurred.

In 2020 and partially 2021, materials were historically purchased and shipped directly to GSC, and from GSC to branches, resulting in higher shipping expenses. Beginning in 2022, expenses were recorded directly to the branch.

- vii. **Employee-related expenses** – Primarily includes recruiting, training, and uniforms expenses which remained relatively flat as a percent of revenue from 2020 to LTM Jun-22. Increased expenses from 2020 to 2021 was primarily driven by (i) higher expenses related to job postings on sites such as Indeed, as the Company grew non-executive headcount, and (ii) increased training expenses due to the expansion of GW University, an internal training program, and additional regional training events. Refer to *Quality of earnings – Management adjustments* for more information on non-recurring recruiting expenses.

- viii. **Tools & equipment** – Represents expenses for non-inventoriable items purchased as needed for immediate use or for repairs and maintenance. In YTD Jun-22, the Company began to capitalize certain small tools leases, upon implementing ASC 842. Refer to *Quality of earnings – Potential adjustments* for further details.

- ix. **Professional fees** – Represents consulting, accounting, and legal expenses related to regular operations of the business, including customer disputes, IT consulting expenses, the annual audit with Grant Thornton, and financial statement preparation and tax preparation services.

General and administrative (continued)

- x. **Other G&A expenses** – Primarily includes (i) stub period and pre-acquisition activity not specifically classified into separate accounts, (ii) contract labor expense, and (iii) miscellaneous expenses relating to tax software (Intuit) payments, hardware purchases, and team meals. Refer to the *Appendix – Basis of presentation* for additional information on stub periods.

Payroll expenses

Payroll expenses, as pro forma adjusted (4)											
\$'000	Ref.	2020	2021	LTM	YTD	YTD	% of net revenue				
				Jun-22	Jun-21	Jun-22	2020	2021	LTM	YTD	YTD
Branch - indirect											
Salaries, wages and bonus		43,540	52,642	56,214	24,629	28,201	7.7%	6.9%	6.6%	6.9%	6.4%
Benefits & taxes		6,571	8,105	8,487	4,198	4,580	1.2%	1.1%	1.0%	1.2%	1.0%
Other		4	47	30	42	24	0.0%	0.0%	0.0%	0.0%	0.0%
Branch - indirect	i	50,115	60,794	64,730	28,869	32,805	8.9%	8.0%	7.7%	8.1%	7.4%
Corporate management											
Salaries, wages and bonus		16,114	22,147	26,285	10,314	14,452	2.9%	2.9%	3.1%	2.9%	3.3%
Benefits & taxes		1,686	2,986	3,721	1,341	2,077	0.3%	0.4%	0.4%	0.4%	0.5%
Corporate management	ii	17,800	25,134	30,007	11,656	16,529	3.2%	3.3%	3.5%	3.3%	3.7%
Payroll expenses (4)		67,914	85,928	94,737	40,525	49,334	12.1%	11.3%	11.2%	11.3%	11.2%

Source: Management provided information

- i. **Branch - Indirect** – Represents compensation for individuals in administrative non-direct branch support roles including administrative staff, superintendents, service personnel, and branch managers directly attributable to the management of a branch. Refer to the *Appendix – Payroll analysis* section of this report for further details
- ii. **Corporate management** – Represents compensation for the corporate function which includes the executive leadership, marketing, sales, IT and training, customer experience, and customer support call center teams. Compensation relating to the training center for GW University is also included herein. Refer to the *Appendix – Payroll analysis* section of this report for further details.

Consolidated income statement | Adjusted (8) – Operating expenses (3)

Marketing expenses

Marketing expense by channel, as pro forma adjusted [4]										
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	% of total				
						2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Top 5 channels										
Search engine marketing		21,590	23,187	11,573	13,169		32.0%	30.4%	34.9%	31.4%
TV		16,139	18,197	8,387	10,445		23.9%	23.8%	25.3%	24.9%
Affiliate		9,816	12,533	3,922	6,638		14.5%	16.4%	11.8%	15.8%
Direct mail		3,938	4,638	2,154	2,855		5.8%	6.1%	6.5%	6.8%
Display		3,553	4,208	1,576	2,230		5.3%	5.5%	4.8%	5.3%
Top 5 channels		55,037	62,763	27,612	35,338		81.5%	82.2%	83.2%	84.2%
Others		12,497	13,552	5,559	6,614		18.5%	17.8%	16.8%	15.8%
Marketing expense [0]	33,517	67,534	76,315	33,171	41,952	100.0%	100.0%	100.0%	100.0%	100.0%
Pre-acq. marketing exp.	17,726	13,187	7,102	6,907	822					
QofE adjustments	107	(3,670)	(2,017)	(1,968)	(316)					
Marketing [4]	51,350	77,051	81,399	38,109	42,458					
As a % of revenue [4]	9.1%	10.1%	9.6%	10.7%	9.6%					

Source (all): Management provided information

- The table above presents marketing expense by channel. The Company began to track spend by channel more consistently and in greater detail beginning in Apr-21 after the current CMO was hired. As such, the detailed breakdown by channel in 2020 is not comparable with more recent periods. The Company's spend in LTM Jun-22 includes search engine marketing (primarily through Google), local TV ad spend, affiliate marketing (also through Google), and to a lesser extent direct mail and displays (e.g. billboards).
- The Company typically increases marketing expense for acquired businesses for several months following an acquisition, which management views as a one-time investment related to post-merger integration. Similarly, new Greenfield locations generally have higher levels of marketing spend within the first six months of operations.
- Marketing spend is specific to each brand, with allocations to individual branches based on branches' percent of brand revenue.
- Refer to the *Quality of earnings* section for further details on the management, potential, and pro forma adjustments referenced in the table above.

Marketing expenses (continued)

Marketing by vendor - Consolidated [4]											
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-21	% of total				
							2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-21
Top 10 vendors											
Google Inc.	i	6,139	18,797	22,840	8,851	12,894	18.3%	27.8%	29.9%	26.7%	30.7%
Home Media LLC	ii	2,472	7,867	9,330	3,445	4,907	7.4%	11.6%	12.2%	10.4%	11.7%
Sleight Advertising	iii	-	1,675	2,152	1,013	1,490	-	2.5%	2.8%	3.1%	3.6%
Microsoft	iv	552	1,082	2,101	393	1,412	1.6%	1.6%	2.8%	1.2%	3.4%
Meta Platforms, Inc. (Facebook)		1,627	3,326	3,542	1,554	1,770	4.9%	4.9%	4.6%	4.7%	4.2%
Lamar Companies	v	847	2,251	1,912	980	641	2.5%	3.3%	2.5%	3.0%	1.5%
Gauss & Neumann S.L.U.		-	1,241	1,481	373	612	-	1.8%	1.9%	1.1%	1.5%
Valpak		1,096	1,221	1,338	613	730	3.3%	1.8%	1.8%	1.8%	1.7%
Impact Marketing Partners		-	1,246	1,012	682	449	-	1.8%	1.3%	2.1%	1.1%
Net Conversion LLC		-	734	940	199	404	-	1.1%	1.2%	0.6%	1.0%
Top 10 vendors		12,733	39,441	46,646	18,103	25,309	38.0%	58.4%	61.1%	54.6%	60.3%
Other		20,784	28,093	29,668	15,068	16,643	62.0%	41.6%	38.9%	45.4%	39.7%
Marketing expenses [0]		33,517	67,534	76,315	33,171	41,952	100.0%	100.0%	100.0%	100.0%	100.0%
Pre-acquisition marketing exp.		17,726	13,187	7,102	6,907	822					
QofE adjustments		107	(3,670)	(2,017)	(1,968)	(316)					
Marketing expenses [4]		51,350	77,051	81,399	38,109	42,458					

- Google* – 2021 and LTM Jun-22 increase was driven by the expansion of the local services ad platform including increased brand media and display advertising, and the vendor's expansion of their affiliate style platform offerings.
- Home Media LLC* – Supports multiple channels, including search engine marketing ("SEM"), TV, affiliate, direct mail and grassroots, and has grown in service offerings over the last two years, driving overall increased spend. Includes affiliate spend with Angie's list, and Home Advisor primarily for SEM, affiliate, and direct mail.
- Sleight advertising* – Predominant vendor supporting Omaha, which was acquired in 2021, driving growth with this vendor.
- Microsoft* – Increase predominantly due to expansion in the use of Bing.
- Lamar* – Increase driven by growth in the digital marketing space, and reduced spend in billboards and out of home advertising.

Payroll analysis – Overview

Pro forma adjusted compensation [4] as a percentage of net revenue decreased by 0.7 ppt from 2020 to LTM Jun-22, driven by leverage of existing administrative personnel to support the growth of the business, partially offset by the significant expansion of the divisional and regional corporate structure.

Payroll reconciliation to adjusted IS [4]					
\$'000	Total compensation				
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Production (direct labor)	57,432	75,296	82,567	35,010	42,281
General and administration	48,399	62,868	71,143	28,792	37,067
Salaries and wages	105,830	138,164	153,710	63,802	79,349
Bonus	16,071	16,666	15,773	9,424	8,531
Commission	52,303	74,997	83,561	33,696	42,260
Pay for performance	5,565	18,701	28,711	7,345	17,355
Taxes	17,397	20,988	23,639	10,271	12,922
401ER	1,309	3,051	3,297	1,426	1,672
Total compensation	198,475	272,568	308,692	125,965	162,089
Reconciling items	21,799	23,660	17,302	15,575	9,218
Total compensation	220,274	296,227	325,994	141,540	171,307
Variance (\$)	733	(3,182)	(545)	(4,045)	(1,408)
Variance (%)	0.3%	(1.1%)	(0.2%)	(2.9%)	(0.8%)
Compensation [4]	221,007	293,045	325,449	137,495	169,899
KPI					
Net revenue [4]	562,437	761,949	845,696	357,656	441,403
Average headcount [4]	3,080	3,866	4,287	3,529	4,370
Revenue per head	183	197	197	101	101

Source (all): Management provided information

Note (1): Reconciling items primarily relate to payroll register details not received, relating to pre-acquisition periods, and employee benefits expense not sourced from registers.

Note (2): Direct labor represents production (installers, foreman and CFIs).

As a % of salaries and wages					
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Production (direct labor)	54.3%	54.5%	53.7%	54.9%	53.3%
General and administration	45.7%	45.5%	46.3%	45.1%	46.7%
Salaries and wages	100.0%	100.0%	100.0%	100.0%	100.0%
Bonus	15.2%	12.1%	10.3%	14.8%	10.8%
Commission	49.4%	54.3%	54.4%	52.8%	53.3%
Pay for performance	5.3%	13.5%	18.7%	11.5%	21.9%
Taxes	16.4%	15.2%	15.4%	16.1%	16.3%
401ER	1.2%	2.2%	2.1%	2.2%	2.1%

As a % of net revenue					
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Production (direct labor)	10.2%	9.9%	9.8%	9.8%	9.6%
General and administration	8.6%	8.3%	8.4%	8.1%	8.4%
Salaries and wages	18.8%	18.1%	18.2%	17.8%	18.0%
Bonus	2.9%	2.2%	1.9%	2.6%	1.9%
Commission	9.3%	9.8%	9.9%	9.4%	9.6%
Pay for performance	1.0%	2.5%	3.4%	2.1%	3.9%
Taxes	3.1%	2.8%	2.8%	2.9%	2.9%
401ER	0.2%	0.4%	0.4%	0.4%	0.4%
Total compensation	35.3%	35.8%	36.5%	35.2%	36.7%
Reconciling items	3.9%	3.1%	2.0%	4.4%	2.1%
Total compensation	39.2%	38.9%	38.5%	39.6%	38.8%
Variance	0.1%	(0.4%)	(0.1%)	(1.1%)	(0.3%)
Compensation [4]	39.3%	38.5%	38.5%	38.4%	38.5%

Compensation summary					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
COGS	153,093	207,118	230,712	96,970	120,565
Branch payroll	50,115	60,794	64,730	28,869	32,805
Corporate mgmt	17,800	25,134	30,007	11,656	16,529
Operating expenses	67,914	85,928	94,737	40,525	49,334
Compensation [4]	221,007	293,045	325,449	137,495	169,899

Compensation summary

- Presented above is pro forma adjusted compensation [4] sourced from the post integration Company payroll registers and certain pre-acquisition payroll register details provided by management. Refer to the *Appendix – Reconciliations and detailed procedures* section for discussion of the reconciling items to the adjusted P&L [4].
- Salaries and wages** – Represents salaries and wages for direct labor (installers and foremen) and the general and administrative function, including service personnel. The Company has a bi-weekly payroll cycle, paid one week in arrears, with employees receiving a minimum of two weeks vacation which increases based on years of service. Direct employees are also eligible for overtime at 50% of hourly rates, based on hours worked above the 40-hour work week.

Compensation summary (continued)

- Commissions** – CFI and sales personnel are eligible for commission payments based on sales made which is on average approximately 10% of net job revenue. The Company pays 50% of the commissions upon receipt of the initial customer deposit and sales manager approval of the job, and the remainder balance is paid upon completion of the job. Payments are made in the pay cycle following the sale. Refer to the *Payroll analysis – Sales personnel* section for further detail.
- Bonus** – Includes the corporate bonus, field bonus (formerly known as gainshare), PPJ and other bonuses including spot bonuses specific to personnel performance. Refer to the *Payroll analysis – Bonus programs* section for further detail.

Payroll analysis (2) – Headcount by department

On a pro forma adjusted basis, salaries and wages per FTE increased slightly from 2020 to LTM Jun-22, with increases predominantly driven by the divisional and regional reporting structure established in Q4-21 and Q1-22, the expansion of the marketing department, and the increase in the production (direct labor) function, supporting the Company's top line growth.

Salaries and wages by department																						
\$'000	Branch salaries and wages			Corporate salaries and wages			Total salaries and wages			Avg Headcount # - branch			Avg. Headcount # - corporate			Total Avg. Headcount #			Avg. \$ / FTE			
	LTM			LTM			LTM			LTM			LTM			LTM			LTM			
	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	
Production (direct labor)																						
Foremen and installers	56,542	74,127	81,203	528	732	784	57,071	74,858	81,986	1,549	1,932	2,181	15	17	19	1,564	1,949	2,200	36	38	37	
Certified field inspector	361	438	581	0	-	-	361	438	581	307	559	673	1	-	-	307	559	673	1	1	1	
Production (direct labor)	56,904	74,565	81,784	528	732	784	57,432	75,296	82,567	1,856	2,491	2,854	15	17	19	1,871	2,507	2,873	31	30	29	
General and administration																						
Branch administration																						
Field and business managers	8,850	13,943	16,681	-	-	-	8,850	13,943	16,681	114	171	205	-	-	-	114	171	205	78	82	81	
Administrative staff	7,885	9,285	11,351	726	-	6	8,611	9,285	11,357	194	225	272	7	-	1	201	225	272	43	41	42	
Service	4,851	6,509	7,499	-	-	-	4,851	6,509	7,499	132	160	188	-	-	-	132	160	188	37	41	40	
Sales	6,621	6,892	6,067	-	26	26	6,621	6,918	6,093	271	143	117	-	1	1	271	143	117	24	48	52	
Warehouse	1,860	3,662	4,455	-	72	87	1,860	3,733	4,541	44	75	93	-	3	3	44	78	96	42	48	47	
Branch administration	30,067	40,291	46,053	726	98	118	30,793	40,389	46,171	755	774	874	7	4	3	761	776	878	40	52	53	
Corporate																						
Operations	250	208	145	2,496	4,827	6,967	2,746	5,035	7,112	3	5	4	21	41	61	24	46	65	112	109	110	
Marketing	706	234	133	1,665	2,574	3,280	2,371	2,808	3,413	12	5	3	37	38	45	50	42	48	48	66	71	
Customer experience	724	394	179	1,515	3,218	3,139	2,239	3,612	3,317	22	12	7	47	99	99	70	111	104	32	33	32	
Finance / HR	907	391	171	1,713	3,005	3,049	2,620	3,395	3,220	18	7	4	27	45	43	45	51	46	58	66	70	
Executives	-	-	-	1,857	1,993	2,161	1,857	1,993	2,161	-	-	-	8	8	8	8	8	8	235	249	265	
IT / Training	-	-	-	1,616	2,068	2,093	1,616	2,068	2,093	-	-	-	22	31	28	22	31	28	72	67	75	
Corporate	2,587	1,227	628	10,862	17,685	20,687	13,448	18,912	21,315	56	28	15	163	261	284	219	289	298	61	65	71	
BAVV	1,691	1,456	1,622	-	-	-	1,691	1,456	1,622	82	68	57	-	-	-	82	68	57				
FSS	1,405	1,765	1,423	-	-	-	1,405	1,765	1,423	39	55	59	-	-	-	39	55	59				
Other	943	346	612	117	-	-	1,061	346	612	105	171	165	13	-	1	107	171	165	10	2	4	
General and administration	36,693	45,085	50,337	11,705	17,783	20,806	48,399	62,868	71,143	1,037	1,095	1,127	172	264	287	1,209	1,359	1,414	40	46	50	
Salaries and wages	93,597	119,650	132,121	12,233	18,514	21,589	105,830	138,164	153,710	2,893	3,586	3,981	187	280	306	3,080	3,866	4,287	34	36	36	

Source: Management provided information

Note (1): BAVV was acquired in Jul-22. Register details for 2020 and 2021 were provided on an annual basis while YTD Jun-22 were on a monthly basis, all of which did not allocate cost by department. FSS was acquired in Jul-22 where register details were not provided for Apr-22 to Jun-22, and register did not allocate cost by department. As such, this is presented as a total brand, and \$/FTE is not presented above.

Note (2): Other relates to employees in the pre-acquisition period who did not have a department allocation per source registers.

Note (3): Certified field inspectors represent sales personnel who are primarily compensated through commissions. These individuals are presented with sales personnel in branch administration on the following page.

Note (4): Operations personnel in corporate primarily relate to regional managers, division sales managers, engineering personnel and GSC management.

A The increase in marketing average \$/FTE from 2020 to LTM Jun-22 was primarily due to the expansion of the function following the hiring of the CMO.

B The increase in finance/HR average \$/FTE from 2020 to LTM Jun-22 was primarily due to new senior departmental hires, and the expansion of the Divisional finance roles for regional and divisional reporting. Refer to the *Quality of earnings* for the pro forma adjustment reflected above.

C The increase in the executives average \$/FTE from 2020 to LTM Jun-22 is predominantly driven by an increase in the President and CEO salaries and wages. Refer to the pro forma QofE Adjustment [17] in the *Quality of earnings* section for further details on executive compensation normalizations.

Payroll analysis (3) – Sales personnel

Compensation excl. taxes and benefits per FTE remained at approximately 10% of net revenue for sales personnel. While salespeople from acquired companies are transitioned to commission-based compensation programs post-acquisition, overall compensation remains relatively consistent as the Company aims to maintain consistent individual-level total compensation. Increase in average cost per FTE from 2020 to LTM Jun-22 was due to increase in average job prices, driving higher commissions.

Sales personnel by brand																						
	Salaries and wages			Commission			Bonus			Total Compensation excl taxes and 401ER			Total compensation as a % of net revenue			Avg. Headcount			Avg. \$ / FTE			
	\$'000	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22
Acquisitions	5,071	5,706	4,860	24,000	38,165	42,200	1,367	2,262	2,141	30,439	46,133	49,201	9.1%	10.1%	9.7%	361	462	506	84	100	97	
Legacy	1,182	1,263	1,216	14,870	18,734	19,515	947	992	743	17,000	20,988	21,474	11.1%	10.0%	9.5%	179	197	205	95	107	105	
Complete registers	6,253	6,969	6,076	38,871	56,899	61,715	2,314	3,254	2,884	47,438	67,122	70,675	9.8%	10.1%	9.7%	540	659	711	88	102	99	
DryPro	729	263	219	1,745	2,102	2,278	33	114	90	2,508	2,479	2,588	10.6%	7.8%	7.7%	38	31	28	66	79	93	
Partial registers	729	263	219	1,745	2,102	2,278	33	114	90	2,508	2,479	2,588	10.6%	7.8%	7.7%	38	31	28	66	79	93	
Baker's	-	52	111	-	1,058	1,927	-	36	95	-	1,146	2,133	-	7.7%	10.2%	-	20	21	-	57	102	
ITG	-	32	82	-	701	1,523	-	22	59	-	754	1,663	-	6.8%	13.0%	-	15	16	-	50	105	
BQ	-	-	117	-	-	1,094	-	-	65	-	-	1,276	-	-	6.7%	-	-	23	-	-	56	
CLS	-	-	30	-	-	229	-	-	26	-	-	285	-	-	12.9%	-	-	9	-	-	30	
A1	-	40	40	-	44	43	-	5	-	-	89	83	-	1.1%	0.9%	-	1	1	-	89	83	
Post-integration registers	-	124	379	-	1,803	4,817	-	62	244	-	1,989	5,440	-	3.7%	8.5%	-	19	52	-	106	105	
Total	6,982	7,356	6,674	40,616	60,805	68,810	2,347	3,430	3,218	49,946	71,590	78,703	8.9%	9.4%	9.3%	578	701	790	86	102	100	
Non-sales commissions				11,687	14,193	14,751																
Total commissions				52,303	74,997	83,561																
Commissions as a % of net revenue				9.3%	9.8%	9.9%																

Source: Management provided information

Note (1): Sales personnel includes CFI and sales managers within branch administration.

Note (2): Total compensation excludes taxes and 401k per registers, and benefits expense per TB

Note (3): Refer to the Appendix – Reconciliations and detailed procedures section for further details on the categorization of registers received.

Note (4): Non-sales commissions relate to commissions earned by non-sales personnel, primarily service technicians, branch management, and other non-sales employees.

Payroll analysis (4) – Bonus programs

Bonus by type											
\$'000	Bonus by type					As a % of Total					
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Corporate bonus [4]	1,627	2,659	3,392	1,252	1,985	10.1%	16.0%	21.5%	13.3%	23.3%	
Field bonus [4]	1,079	1,763	2,249	830	1,316	6.7%	10.6%	14.3%	8.8%	15.4%	
Sales manager bonus regular	1,088	2,468	2,564	1,175	1,270	6.8%	14.8%	16.3%	12.5%	14.9%	
Superintendent bonus regular	371	883	1,112	461	690	2.3%	5.3%	7.1%	4.9%	8.1%	
Social media bonus regular	342	988	1,110	351	472	2.1%	5.9%	7.0%	3.7%	5.5%	
Call center bonus	409	817	906	383	472	2.5%	4.9%	5.7%	4.1%	5.5%	
Referral bonus	335	456	435	285	265	2.1%	2.7%	2.8%	3.0%	3.1%	
Top bonus types	5,251	10,033	11,768	4,737	6,472	32.7%	60.2%	74.6%	50.3%	75.9%	
Other bonuses	1,384	3,168	2,342	2,351	1,525	8.6%	19.0%	14.8%	24.9%	17.9%	
Total bonuses per GW registers	6,635	13,201	14,110	7,088	7,996	41.3%	79.2%	89.5%	75.2%	93.7%	
Add: Bonuses per pre-acquisition registers	9,436	3,465	1,664	2,337	535	58.7%	20.8%	10.5%	24.8%	6.3%	
Total Bonus	16,071	16,666	15,773	9,424	8,531	100.0%	100.0%	100.0%	100.0%	100.0%	
As a % of net revenue	2.9%	2.2%	1.9%	2.6%	1.9%						

Source: Management provided information

Note: Field bonuses are included within Branch payroll-indirect; Corporate bonuses are included in Corporate mgmt; and all other bonuses are included within COGS, branch payroll – indirect, and corporate management in the adjusted P&L [4].

Bonus program summary

- **Corporate bonus** – Represents pro forma adjusted corporate bonus [4] paid to the corporate team based on the Company meeting target performance. Payments are made annually based on total annual performance, and awarded as a set percentage of the employee's base compensation. The Company accrues for the expected payout on a monthly basis and the balance is paid following fiscal year-end. Refer to *Quality of earnings* for further details on the adjusted amounts presented.
- **Field bonus** – Represents pro forma adjusted field bonus [4], formerly known as gainshare. The Company changed this program in 2022 where a branch must meet branch-level target performance and company-wide performance to be eligible. Branch employees will earn a bonus payout based on a percentage of their salary by position and a performance bonus should the branch exceed its budget amounting to 20% of the excess. The Company accrues for the expected amount on a monthly basis and the payout is made annually, while historically this was paid out semi-annually. Refer to *Quality of earnings* for further details on the adjusted amounts.

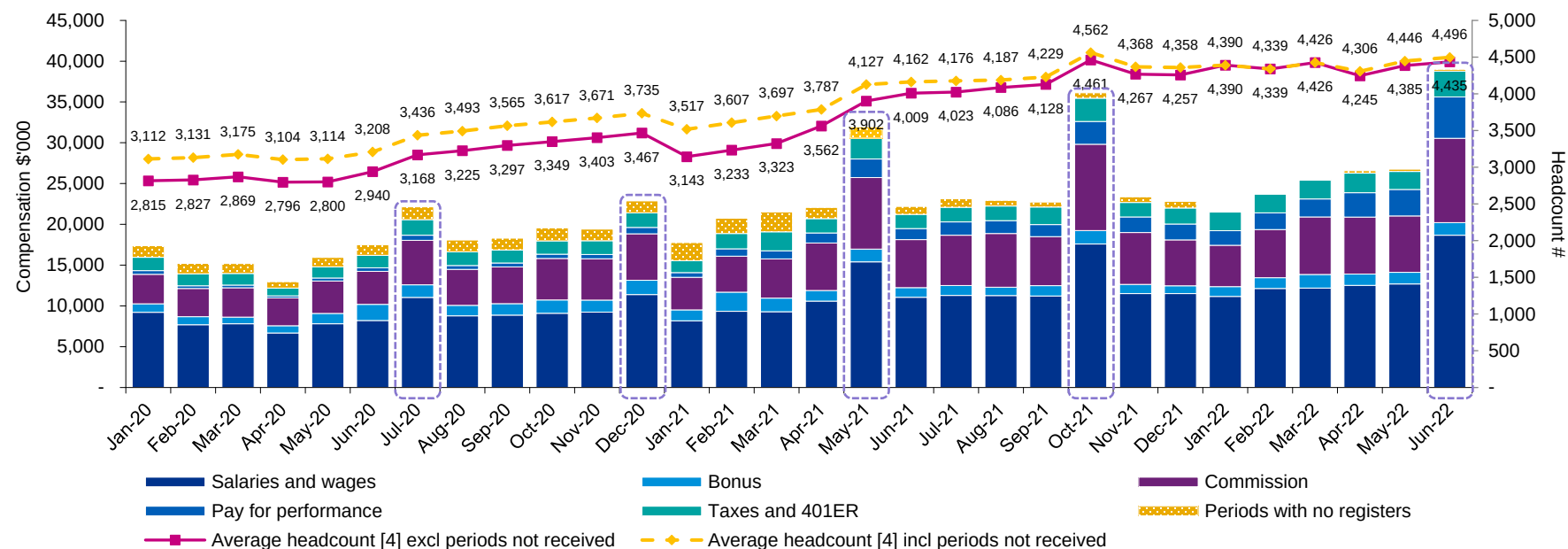
Bonus program summary (continued)

- **Other bonuses** – Represents other specific performance based bonuses at the branch level, which are expensed as paid, and amounts are predominantly paid based on achievement of metrics, as described below.
 - *Sales manager bonus* – Represents annual performance based bonus relative to sales targets.
 - *Superintendent bonus* – Based on managing a percentage of revenue and is paid based on 25 basis points of quarterly installations.
 - *Social media bonus* – Represents spot bonuses for production staff's social media recognition of a good review; paid a month in arrears. Recognition is self-identified and verified by the employee's manager.
 - *Call center bonus* – Based on call center employees meeting monthly goals; paid on a monthly basis.

Payroll analysis (5) – Monthly payroll by type and headcount

Average headcount [4] has increased from 3,080 in 2020 to 4,287 in LTM Jun-22 primarily driven by the sales and production functions supporting organic growth.

Compensation by type and monthly headcount



Source: Management provided information

Note: Average headcount has been estimated for pre-integration and pre-acquisition related periods where registers were not provided, based on the reported headcount upon integration to the GW registers relating to the affected brand.

Increased compensation costs in these select months are as a result of three pay periods included while other periods presented have two pay periods included.

Appendix | Quality of earnings

DRAFT

3.2

Quality of revenue

Represents the net revenue impact of adjustments included in the *Quality of earnings* section; refer to the section for commentary.

Quality of revenue						
\$'000	Ref.	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Net revenue, as reported incl. pre-acq. [1]		560,368	768,068	852,426	359,054	443,412
Management adjustments to revenue						
Greenfield location initial loss addbacks	5	-	(4,913)	(4,965)	(1,867)	(1,918)
Management adjustments to revenue		-	(4,913)	(4,965)	(1,867)	(1,918)
Net revenue, as management adjusted [2]		560,368	763,155	847,462	357,187	441,494
Potential adjustments						
Revisions to management adjustments						
Greenfield location initial loss addbacks	5	-	(1,769)	(2,594)	(625)	(1,450)
Revisions to management adjustments		-	(1,769)	(2,594)	(625)	(1,450)
Other potential adjustments						
Credit card fee, rebate, and software normalizations	11	3,054	563	828	1,094	1,359
Discontinued software sales	14	(985)	0	-	0	-
Other potential adjustments		2,069	564	828	1,094	1,359
Potential adjustments		2,069	(1,206)	(1,766)	469	(91)
Net revenue, as potentially adjusted [3], [4]		562,437	761,949	845,696	357,656	441,403

Source: Management provided information

Potential adjustments – [7] Incentive compensation expense normalization

[7] Incentive compensation expense normalization						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Corporate / field bonus [2] incl. revisions						
Corporate / field bonus, as reported	10,667	4,139	2,427	5,014	3,301	
[4] Management bonus adjustment	(10,667)	(1,806)	1,318	(3,124)	0	
Corporate / field bonus [2] incl. revisions	-	2,333	3,745	1,890	3,301	
Diligence bonus adjustment						
2020 diligence bonus adjustment	2,706	-	-	-	-	
2021 diligence bonus adjustment	-	2,088	1,896	192	-	
2022 diligence bonus adjustment	-	-	(0)	-	(0)	
Diligence bonus adjustment	2,706	2,088	1,896	192	(0)	
Corporate / field bonus, diligence adjusted						
2020 corporate / field bonus, diligence adjusted	2,706	-	-	-	-	
2021 corporate / field bonus, diligence adjusted	-	4,421	2,339	2,082	-	
2022 corporate / field bonus, diligence adjusted	-	-	3,301	-	3,301	
Corporate / field bonus, diligence adjusted [3]	2,706	4,421	5,640	2,082	3,301	
EBITDA impact	(2,706)	(2,088)	(1,896)	(192)	0	

EBITDA, excluding other income/exp and bonus [0]							
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22		2021 + YTD Jun-22
EBITDA [0]	20,411	86,312	107,453	40,302	61,443		147,755
Plus:							
Other income/expense	43,339	18,654	20,746	8,028	10,120		28,774
Bonus	3,757	8,695	10,920	5,199	7,423		16,118
EBITDA, excl. other income/exp and bonus [0]	67,507	113,661	139,118	53,529	78,986		192,647

Actual corporate and field bonus paid / accrued							
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22		Paid + accrued 2021 + YTD Jun-22
Corporate bonus	1,080	2,652			1,992		4,644
Field bonus	9,605	1,770			1,309		3,079
Actual corporate and field bonus paid/accrued [0]	10,685	4,421			3,301		7,723
% of EBITDA, excl. other income/exp and bonus [0]	15.8%	3.9%			4.2%		4.0%

Corporate and gainshare detail						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Reported bonus						
Corporate bonus, reported [0]	933	2,480	2,436	2,037	1,992	
Field bonus, reported [0]	9,321	1,659	(9)	2,977	1,309	
COVID-related pay, reported [0]	413	-	-	-	-	
Total bonus reported	10,667	4,139	2,427	5,014	3,301	
Total bonus adjustment						
Management bonus adjustment	(10,667)	(1,806)	1,318	(3,124)	0	
Potential bonus adjustment						
Corporate bonus adjustment	(694)	(178)	(956)	785	7	
Field bonus adjustment	(2,425)	(1,909)	(940)	(977)	(7)	
COVID-related pay adjustment	413	-	-	-	-	
Potential bonus adjustment	(2,706)	(2,088)	(1,896)	(192)	0	
Total bonus adjustment	(13,373)	(3,893)	(578)	(3,316)	0	
Adjusted bonus						
Corporate bonus, adjusted	1,627	2,659	3,392	1,252	1,985	
Field bonus, adjusted	1,079	1,763	2,249	830	1,316	
COVID-related pay, adjusted	-	-	-	-	-	
Adjusted bonus [3]	2,706	4,421	5,640	2,082	3,301	
KPIs						
Reported bonus as a % of EBITDA [0]	15.8%	3.6%	1.7%	9.4%	4.2%	
Adjusted bonus as a % of EBITDA [0]	4.0%	3.9%	4.1%	3.9%	4.2%	

Source (all): Management provided information

A As discussed in *Quality of earnings*, the 2020 bonus, as adjusted is calculated based on an estimate of 4.0% of reported EBITDA, excluding other income/expense (where management adjustments are recorded) and bonus expense. The estimate of 4.0%, as illustrated above, is the average of 2021 and YTD Jun-22 adjusted bonuses.

B 2021 adjusted bonus is based on actual amount paid.

C YTD Jun-22 adjusted bonus is based on actual amount accrued and assumes achievement of the full-year 2022 plan.

Potential adjustments – [8] Bad debt normalization

[8] Bad debt normalization					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Bad debt expense, as reported [0]					
Gross revenue [0]	361,684	666,461	803,445	304,265	441,250
Bad debt, as % of gross revenue	0.30%	0.40%	0.48%	0.25%	0.43%
Bad debt expense, as reported [0]	1,072	2,668	3,817	749	1,898
Bad debt expense, as mgmt adj [2]					
Gross revenue [2] incl. revisions	574,761	776,642	862,263	364,605	450,226
Bad debt, as % of gross revenue	0.35%	0.43%	0.50%	0.29%	0.43%
Bad debt expense, as mgmt adj [2]	2,023	3,366	4,285	1,040	1,958
Bad debt expense, as normalized					
Gross revenue [2] incl. revisions	574,761	776,642	862,263	364,605	450,226
Normalized bad debt, as % of gross revenue	0.30%	0.30%	0.30%	0.30%	0.30%
Bad debt expense, as normalized	1,724	2,330	2,587	1,094	1,351
EBITDA impact	299	1,036	1,698	(54)	608

A

We calculated actual historical write offs, including an estimate for YTD Jun-22, to be 0.27% and conservatively utilized 0.3% to adjust bad debt.

A

Normalized bad debt, as % of gross revenue						Cumulative Jul-19 to Dec-21
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Gross revenue [0]	361,684	666,461	803,445	304,265	441,250	1,138,495
Adjusted write-offs						
Reported write-offs [0]	955	1,035	-	1,035	-	2,314
Less: Write-offs of pre-acquisition balances	(300)	(86)	-	(86)	-	(487)
Add: Write-offs not yet taken at 6/30	-	1,218	1,214	5	-	1,218
Add: A-1 receivables aged >120 days	-	38	38	-	-	38
Adjusted write-offs	655	2,205	1,251	954	-	3,083
Adjusted write offs, as % of gross revenue [0]	0.18%	0.33%	0.16%	0.31%	-	0.27%

A

Source (all): Management provided information

Potential adjustments – [11.i] Credit card fee normalization

[11.i] Credit card fee normalization - Detail						Credit card fees adjustment						Credit card fees, as adjusted [3]					
\$'000	Credit card fees [2] incl. revisions					LTM					YTD	LTM					YTD
	2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	Jun-22	Jun-21	Jun-22		2020	2021	Jun-22	Jun-21	Jun-22	
Greenfield expansions	72	327	550	104	326	12	(70)	(77)	(21)	(28)		84	257	473	83	298	
Acquisitions																	
Grand Junction	32	79	88	38	47	(1)	(26)	(16)	(16)	(6)		31	52	71	22	41	
AFS	476	761	853	340	432	143	87	81	51	44		619	848	934	391	476	
FSM	469	567	602	257	292	(81)	(84)	(123)	(13)	(52)		387	482	479	244	241	
Atlanta	978	611	599	316	304	(628)	(231)	(181)	(127)	(77)		350	380	418	189	227	
Charlotte	335	297	315	140	159	(139)	(34)	(37)	(16)	(20)		196	263	278	124	139	
Pittsburgh	107	123	185	32	95	10	(0)	(13)	18	5		117	123	173	50	100	
Central Pennsylvania	1	51	111	0	61	77	41	(5)	49	3		78	92	106	49	63	
Philadelphia	143	164	193	103	133	(61)	(36)	(35)	(46)	(45)		82	127	158	57	88	
Alpha	375	610	998	278	667	(39)	(63)	(388)	(11)	(336)		336	547	610	267	330	
Omaha	12	15	8	7	-	12	21	10	10	-		24	36	18	18	-	
Peak - Denver/CO Springs	126	160	130	68	38	(49)	(55)	(44)	(23)	(12)		78	105	86	45	26	
BAWV (West Virginia)	2	37	38	13	14	40	(0)	12	2	14		42	37	50	15	28	
FSS (San Antonio)	78	139	221	45	127	(37)	(83)	(143)	(20)	(80)		41	56	78	25	47	
Acquisitions	3,134	3,613	4,341	1,639	2,366	(753)	(465)	(883)	(142)	(561)		2,382	3,148	3,457	1,496	1,805	
Legacy branches	2,667	3,132	3,095	1,489	1,451	(458)	(211)	-	(98)	113		2,208	2,922	3,095	1,391	1,564	
Corporate	17	0	(0)	0	(0)	-	-	-	-	-		17	0	(0)	0	(0)	
Consolidated	5,890	7,073	7,985	3,232	4,144	(1,199)	(745)	(961)	(261)	(476)		4,691	6,328	7,025	2,971	3,668	
EBITDA impact						1,199	745	961	261	476							

Source: Management provided information

Potential adjustments – [12] Self-insured medical cost normalization

[12] Self-insured medical cost normalization						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	Nov-20 - Jun-22
Reported self-insured medical expense						
Medical expenses charged to P&L, reported	1,058	9,125	10,978	3,780	5,633	15,816
IBNR true-ups, reported	-	1,231	1,259	130	158	1,389
Reported self-insured medical expense	1,058	10,356	12,237	3,910	5,791	17,204
Adjusted self-insured medical expense						
Self-insured medical expense, excl. IBNR accruals						
Claim payments applied to accrual	475	10,773	11,461	5,642	6,330	17,578
Stop-loss premium payments applied to accrual	196	1,104	1,117	705	718	2,017
Stop-loss reimbursements applied to accrual	-	(2,684)	(1,171)	(1,800)	(287)	(2,971)
Self-insured medical expense, excl. IBNR accruals	670	9,194	11,406	4,547	6,760	16,624
IBNR accrual, adjusted	398	841	169	510	(162)	1,077
Adjusted self-insured medical expense	1,069	10,035	11,575	5,057	6,597	17,701
EBITDA impact	(11)	321	662	(1,147)	(807)	(497)

Self-insured medical IBNR reserve					
\$'000	Dec-20	Dec-21	Jun-22	YTD Jun-21	YTD Jun-22
IBNR accrual, reported	297	1,270	(882)	(340)	(882)
Reclassification adjustments					
Duplicate claims recorded in AP	-	-	1,026	-	1,026
Escrow/security deposit funding	90	254	254	90	254
Unaccrued stop-loss reimbursements	-	-	182	-	182
IBNR accrual, after reclassification adjustments	387	1,524	580	(250)	580
IBNR accrual, per actuarial reports	398	1,239	1,077	908	1,077
Change in IBNR accrual					
Change in IBNR accrual, reported	297	973	(542)	(637)	(2,151)
Change in IBNR accrual, after reclassification adjustments	387	1,137	831	(637)	(943)
Change in IBNR accrual, per actuarial reports	398	841	169	510	(162)

Self-insured medical IBNR reserve roll-forward			
\$'000	Dec-20	Dec-21	Jun-22
Beginning self-insured medical accrual [0]	-	297	(340)
Plus / (less):			
Medical expense accruals	1,058	9,125	10,978
IBNR accruals	-	1,231	1,259
Stop-loss reimbursements	-	2,684	990
Cash claims, per GL detail	(565)	(10,937)	(12,651)
Stop-loss premiums paid	(196)	(1,104)	(1,117)
Variance	-	(25)	0
Ending self-insured medical accrual [0]	297	1,270	(882)

Source (all): Management provided information

Pro forma adjustments – [15] GSC initiated material cost savings

[15] GSC initiated material cost savings - Detail												
\$'000	Acq. / start date	Material COGS, excl. freight ⁽¹⁾					Materials, as % of gross revenue					
		LTM			YTD		LTM			YTD		
		2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	Jun-22	Jun-21	Jun-22	
Acquisitions												
FRWC	Jan-20	508	888	1,191	393	696	13.3%	13.8%	13.6%	14.5%	13.9%	
AFS	Jun-20	11,947	17,256	19,302	7,696	9,743	15.7%	16.6%	16.8%	16.1%	16.7%	
FSM	Jul-20	8,433	10,398	10,994	5,041	5,637	17.7%	17.6%	18.7%	16.8%	19.1%	
AG	Dec-20	8,039	7,103	7,105	3,980	3,982	18.7%	15.2%	13.8%	17.2%	14.3%	
DryPro	Dec-20	4,570	5,616	5,649	2,784	2,817	19.0%	17.4%	16.6%	18.3%	16.5%	
Baker's	May-21	2,964	2,977	3,265	1,253	1,541	20.6%	19.8%	15.4%	20.4%	12.6%	
ITG	Jul-21	2,598	2,995	2,756	1,546	1,307	27.1%	26.6%	21.2%	25.7%	16.9%	
BQ	Nov-21	2,134	3,552	3,506	1,523	1,477	21.2%	22.7%	18.1%	21.7%	13.7%	
Alpha	Dec-21	8,853	13,389	13,942	6,510	7,063	21.5%	19.9%	18.6%	19.8%	17.4%	
CLS	Dec-21	676	1,024	1,205	515	695	23.3%	23.4%	21.3%	23.9%	20.3%	
Peak - Denver/CO Springs	Apr-22	1,567	2,193	1,735	1,006	548	16.4%	17.0%	16.4%	18.1%	17.0%	
BAWV	Jul-22	1,133	1,188	1,529	476	817	22.0%	26.1%	25.1%	25.3%	24.0%	
FSS	Jul-22	1,163	1,689	2,178	641	1,129	23.0%	24.7%	22.9%	20.8%	19.6%	
Acquisitions		54,587	70,268	74,357	33,363	37,452	18.7%	18.2%	17.4%	18.2%	16.6%	
Legacy branches		41,041	54,762	59,346	24,968	29,552	15.1%	15.3%	15.6%	14.6%	15.4%	
Greenfield expansions		1,215	5,845	10,030	1,865	6,050	11.7%	15.2%	16.1%	14.6%	16.5%	
Corporate		(2,173)	(3,471)	(1,301)	(1,467)	703	(216.9)%	n.m.	n.m.	-	-	
Total		94,671	127,403	142,431	58,729	73,756	16.5%	16.3%	16.4%	16.0%	16.3%	
EBITDA impact												

Materials savings adjustment ^(C)					
		LTM		YTD	
2020	2021	Jun-22	Jun-21	Jun-22	Jun-21
(7)	-	-	-	-	-
(244)	-	-	-	-	-
(223)	-	-	-	-	-
(1,952)	(133)	-	(133)	-	-
(1,161)	(220)	-	(220)	-	-
(727)	(414)	(101)	(313)	-	-
(537)	(358)	(81)	(276)	-	-
(694)	(965)	(534)	(431)	-	-
(1,568)	(2,554)	(1,797)	(1,248)	(492)	-
(159)	(240)	(135)	(118)	(13)	-
(369)	(506)	(500)	(232)	(226)	-
(254)	(269)	(344)	(108)	(183)	-
(152)	(229)	(322)	(87)	(180)	-
(8,049)	(5,886)	(3,815)	(3,166)	(1,095)	-
(5)	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
(8,053)	(5,886)	(3,815)	(3,166)	(1,095)	-
8,053	5,886	3,815	3,166	1,095	-

Material COGS, excl. freight, as adjusted						Materials, as % of gross revenue, as adjusted					
		LTM		YTD				LTM		YTD	
2020	2021	Jun-22	Jun-21	Jun-22	Jun-21	2020	2021	Jun-22	Jun-21	Jun-22	Jun-21
501	888	1,191	393	696	13.1%	13.8%	13.6%	14.5%	13.9%		
11,703	17,256	19,302	7,696	9,743	15.4%	16.6%	16.8%	16.1%	16.7%		
8,210	10,398	10,994	5,041	5,637	17.3%	17.6%	18.7%	16.8%	19.1%		
6,087	6,970	7,105	3,847	3,982	14.2%	14.9%	13.8%	16.6%	14.3%		
3,409	5,396	5,649	2,565	2,817	14.2%	16.7%	16.6%	16.8%	16.5%		
2,237	2,564	3,164	941	1,541	15.6%	17.0%	14.9%	15.3%	12.6%		
2,061	2,637	2,675	1,269	1,307	21.5%	23.4%	20.6%	21.1%	16.9%		
1,440	2,588	2,973	1,092	1,477	14.3%	16.6%	15.3%	15.5%	13.7%		
7,285	10,835	12,145	5,262	6,571	17.7%	17.1%	16.2%	16.0%	16.2%		
517	785	1,070	397	682	17.8%	19.9%	18.9%	18.4%	19.9%		
1,199	1,686	1,235	774	322	12.5%	13.1%	11.7%	13.9%	10.0%		
879	919	1,185	368	634	17.0%	20.2%	19.5%	19.6%	18.6%		
1,011	1,460	1,856	554	949	20.0%	21.4%	19.5%	18.0%	16.4%		
46,538	64,382	70,542	30,197	36,358	15.9%	16.7%	16.5%	16.4%	16.2%		
41,037	54,762	59,346	24,968	29,552	15.1%	15.3%	15.6%	14.6%	15.4%		
1,215	5,845	10,030	1,865	6,050	11.7%	15.2%	16.1%	14.6%	16.5%		
(2,173)	(3,471)	(1,301)	(1,467)	703	(216.9)%	n.m.	n.m.	-	-		
86,617	121,517	138,616	55,563	72,662	15.1%	15.5%	15.9%	15.1%	16.0%		

Source: Management provided information

Materials savings adjustment ^(C)					
	LTM			YTD	
	2020	2021	Jun-22	Jun-21	Jun-22
	(7)	-	-	-	-
	(244)	-	-	-	-
	(223)	-	-	-	-
	(1,952)	(133)	-	(133)	-
	(1,161)	(220)	-	(220)	-
	(727)	(414)	(101)	(313)	-
	(537)	(358)	(81)	(276)	-
	(694)	(965)	(534)	(431)	-
	(1,568)	(2,554)	(1,797)	(1,248)	(492)
	(159)	(240)	(135)	(118)	(13)
	(369)	(506)	(500)	(232)	(226)
	(254)	(269)	(344)	(108)	(183)
	(152)	(229)	(322)	(87)	(180)
	(8,049)	(5,886)	(3,815)	(3,166)	(1,095)
	(5)	-	-	-	-
	-	-	-	-	-
	-	-	-	-	-
	(8,053)	(5,886)	(3,815)	(3,166)	(1,095)
	8,053	5,886	3,815	3,166	1,095

						Materials, as % of gross revenue, as adjusted					
Material COGS, excl. freight, as adjusted											
		LTM	YTD	YTD							
2020	2021	Jun-22	Jun-21	Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22		
501	888	1,191	393	696	13.1%	13.8%	13.6%	14.5%	13.9%		
11,703	17,256	19,302	7,696	9,743	15.4%	16.6%	16.8%	16.1%	16.7%		
8,210	10,398	10,994	5,041	5,637	17.3%	17.6%	18.7%	16.8%	19.1%		
6,087	6,970	7,105	3,847	3,982	14.2%	14.9%	13.8%	16.6%	14.3%		
3,409	5,396	5,649	2,565	2,817	14.2%	16.7%	16.6%	16.8%	16.5%		
2,237	2,564	3,164	941	1,541	15.6%	17.0%	14.9%	15.3%	12.6%		
2,061	2,637	2,675	1,269	1,307	21.5%	23.4%	20.6%	21.1%	16.9%		
1,440	2,588	2,973	1,092	1,477	14.3%	16.6%	15.3%	15.5%	13.7%		
7,285	10,835	12,145	5,262	6,571	17.7%	16.1%	16.2%	16.0%	16.2%		
517	785	1,070	397	682	17.8%	17.9%	18.9%	18.4%	19.9%		
1,199	1,686	1,235	774	322	12.5%	13.1%	11.7%	13.9%	10.0%		
879	919	1,185	368	634	17.0%	20.2%	19.5%	19.6%	18.6%		
1,011	1,460	1,856	554	949	20.0%	21.4%	19.5%	18.0%	16.4%		
46,538	64,382	70,542	30,197	36,358	15.9%	16.7%	16.5%	16.4%	16.2%		
41,037	54,762	59,346	24,968	29,552	15.1%	15.3%	15.6%	14.6%	15.4%		
1,215	5,845	10,030	1,865	6,050	11.7%	15.2%	16.1%	14.6%	16.5%		
(2,173)	(3,471)	(1,301)	(1,467)	703	(216.9)%	n.m.	n.m.	-	-		
86,617	121,517	138,616	55,563	72,662	15.1%	15.5%	15.9%	15.1%	16.0%		

Branches begin sourcing inventory through GSC day 1 post-acquisition; however, management noted that it generally requires acquisitions to have approximately two months' worth of inventory upon close to support pre-acquisition contracted jobs which require usage of primarily non GSC sourced inventory. Further, inventory turns are approximately 60 days and as such, it takes approximately two months following acquisition for materials savings to be realized from an accounting perspective.

On a reported basis, acquired branches have historically achieved a decrease in materials cost as a percent of revenue post-close, after sourcing materials from GSC, further supporting the GSC material cost savings presented above in the pre-acquisition period.

This adjustment reflects the anticipated pro forma cost savings as if the acquisition had always purchased from GSC.

Subsequent increase in material prices were driven by inflationary commodity price increases in the market, which was partly offset by customer pricing increases.

Material cost savings adjustment was calculated based on the pro forma material cost savings percentage, calculated as part of the buy-side diligence report, applied to the pre-acquisition period and two months following the acquisition which represents pre-acquisition contracted jobs that utilized non-GSC inventory.

Pro forma adjustments – [17] Pro forma personnel expense

Presented below is a summary of the pre-acquisition buy-side diligence adjustments [1], management [2], and pro forma [4] adjustments included in Quality of Earnings pertaining to individuals highlighted in the workforce reduction and corporate function adjustments.

EBITDA impact - personnel					
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Total EBITDA impact - Summary					
Buy-side potential adjustments - workforce reduction	1,843	860	366	548	54
Personnel adjustments [1]	1,843	860	366	548	54
Management adjustments - workforce reduction	-	1,273	1,378	632	737
Personnel adjustments [2]	-	1,273	1,378	632	737
Pro forma adjustment - workforce reduction	2,948	1,511	860	749	98
Pro forma adjustment - corporate function	(1,628)	(671)	(417)	(413)	(159)
Personnel adjustments [4]	1,320	840	444	335	(61)
EBITDA impact - personnel	3,163	2,974	2,188	1,515	729

Source: Management provided information

Pro forma adjustments – [17] Pro forma personnel expense (2) – *Workforce reduction*

[17.i] Workforce reduction																							
		Compensation [A]			Buy-side report potential adjs [B]			Compensation [1] [C] = [A] + [B]			Management adj [2.i] [D]			Compensation [2] [E] = [C] + [D]			Pro forma adj [17] [F]			Compensation [4] [G] = [E] + [F]			
		2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	
\$'000	Acquisition	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	
Former owners																							
A	Owner/CEO	Alpha	198	204	214	-	-	-	198	204	214	-	-	(112)	198	204	102	(198)	(204)	(102)	-	-	-
	Owner	DryPro	266	285	280	-	-	-	266	285	280	-	(281)	(271)	266	5	9	(266)	(5)	(9)	-	-	-
	Owner family	AFS	90	15	15	(75)	-	-	15	15	15	-	-	(7)	15	15	8	(15)	(15)	(8)	-	-	-
	Owner	BQ	180	150	130	(180)	(132)	(57)	-	18	73	-	(17)	(67)	-	2	7	-	(2)	(7)	-	-	-
	Owner/CEO	IBS	126	132	132	-	-	-	126	132	132	-	(132)	(127)	126	0	5	(126)	(0)	(5)	-	-	-
	Owner	FFA	152	159	160	-	-	-	152	159	160	-	(165)	(156)	152	(6)	4	(152)	6	(4)	-	-	-
	Owner	AG	230	102	100	(130)	-	-	100	102	100	-	(102)	(98)	100	(0)	2	(100)	0	(2)	-	-	-
	Owner	OBS	47	50	50	-	-	-	47	50	50	-	(50)	(48)	47	(0)	2	(47)	0	(2)	-	-	-
	Owner/President	AFS	245	15	15	(225)	-	-	20	15	15	-	(14)	(14)	20	1	1	(20)	(1)	(1)	-	-	-
	Owner family	AFS	15	-	-	(15)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
B	Owner/President	FSM	389	-	-	(389)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner	AG	150	249	132	98	-	-	248	249	132	-	(251)	(152)	248	(2)	(20)	(248)	2	20	-	-	-
	Owner/President	Baker's	105	49	-	(105)	(49)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner	CLS	98	117	59	(98)	(117)	(59)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner	CLS	44	56	29	(44)	(56)	(29)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner	Peak	191	191	143	(191)	(191)	(143)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Other owner	Other	-	-	-	-	-	-	-	-	-	-	-	(84)	-	-	(84)	-	-	84	-	-	-
	Former owners		2,527	1,774	1,459	(1,354)	(545)	(288)	1,173	1,230	1,171	-	(1,011)	(1,136)	1,173	218	35	(1,173)	(218)	(35)	-	-	-
	Redundant roles / non-retained		1,377	1,332	857	(254)	(91)	(30)	1,123	1,241	827	-	(262)	(197)	1,123	979	630	(1,123)	(979)	(630)	-	-	-
	Transitioned and retained		752	898	937	377	110	55	1,129	1,008	992	-	-	-	1,129	1,008	992	(96)	48	6	1,033	1,057	998
Non-operational employees		453	269	72	(453)	(269)	(72)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Salaries and wages		5,109	4,274	3,326	(1,683)	(795)	(335)	3,425	3,479	2,990	-	(1,273)	(1,333)	3,425	2,206	1,657	(2,393)	(1,149)	(659)	1,033	1,057	998	
Benefits		565	384	276	(160)	(66)	(31)	406	318	245	-	-	(45)	406	318	200	(265)	(212)	(115)	141	108	84	
Taxes		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(290)	(150)	(86)	(290)	(150)	(86)	
Workforce reduction		5,674	4,658	3,601	(1,843)	(860)	(366)	3,831	3,797	3,235	-	(1,273)	(1,378)	3,831	2,524	1,857	(2,948)	(1,511)	(860)	883	1,015	997	

Source: Management provided information

Note 1: Buy-side diligence report potential adjustments are included in EBITDA [1]. Refer to the Appendix – Basis of presentation for further details.

Note 2: Compensation presented above reflect amounts which are sourced via payroll registers.

A

Former owner compensation was not included in management's QofE Adjustment [2]. As such, we have included this adjustment in pro forma adjustments in 2020.

The LTM Jun-22 adjustment primarily relates to the former owner of Alpha as he was not considered in the buy-side potential adjustments and his role and responsibilities were absorbed by the existing general manager and corporate leadership team post-acquisition.

B

Post-acquisition compensation were made through direct payments via AP and were added back as part of management's QofE Adjustment [2].

As such, no payroll register compensation and pro forma adjustment were considered herein.

C

Amount relates to management's add back in QofE Adjustment [2] for founders compensation accrual which was not allocated to a specific former owner.

Pro forma adjustments – [17] Pro forma personnel expense (3) – *Workforce reduction* (2)

[17.i] Workforce reduction																						
		Compensation [A]			Buy-side report potential adjs [B]			Compensation [1] [C] = [A] + [B]			Management adj [2.i] [D]			Compensation [2] [E] = [C] + [D]			Pro forma adj [17] [F]			Compensation [4] [G] = [E] + [F]		
		LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22	LTM 2020	LTM 2021	LTM Jun-22
\$'000	Acquisition	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22
Former owners		2,527	1,774	1,459	(1,354)	(545)	(288)	1,173	1,230	1,171	-	(1,011)	(1,136)	1,173	218	35	(1,173)	(218)	(35)	-	-	-
Redundant roles / non-retained																						
Peak employees	Peak	48	219	251	-	-	-	48	219	251	-	-	(21)	48	219	230	(48)	(219)	(230)	-	-	-
Marketing Director	Alpha	158	252	119	-	-	-	158	252	119	-	-	-	158	252	119	(158)	(252)	(119)	-	-	-
Marketing Director	DryPro	118	92	91	-	-	-	118	92	91	-	-	(91)	118	1	45	(118)	(1)	(45)	-	-	-
Recruiting Manager	Alpha	92	93	44	-	-	-	92	93	44	-	-	-	92	93	44	(92)	(93)	(44)	-	-	-
General Manager	BQ	124	113	109	-	-	-	124	113	109	-	-	(18)	124	95	43	(124)	(95)	(43)	-	-	-
Business Development Manager	Alpha	58	75	36	-	-	-	58	75	36	-	-	-	58	75	36	(58)	(75)	(36)	-	-	-
Marketing Director	AG	98	23	-	-	-	-	98	23	-	-	-	(22)	98	1	-	(98)	(1)	-	-	-	-
Graphic designer	FSM	8	-	-	-	-	-	8	-	-	-	-	-	8	-	-	(8)	-	-	-	-	-
Appointment center manager	FSM	10	-	-	-	-	-	10	-	-	-	-	-	10	-	-	(10)	-	-	-	-	-
DryPro admin employees	DryPro	159	89	26	-	-	-	159	89	26	-	-	(131)	159	(42)	(37)	(159)	42	37	-	-	-
Controller	AFS	65	-	-	(65)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Controller	AG	55	-	-	(55)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Controller	Alpha	120	91	30	(120)	(91)	(30)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounting Manager	Peak	14	-	-	(14)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accountant	Redundant	76	75	36	-	-	-	76	75	36	-	-	-	76	75	36	(76)	(75)	(36)	-	-	-
Accountant	Redundant	68	88	39	-	-	-	68	88	39	-	-	-	68	88	39	(68)	(88)	(39)	-	-	-
Accountant	Redundant	106	123	77	-	-	-	106	123	77	-	-	-	106	123	77	(106)	(123)	(77)	-	-	-
Redundant roles / non-retained		1,377	1,332	857	(254)	(91)	(30)	1,123	1,241	827	-	(262)	(197)	1,123	979	630	(1,123)	(979)	(630)	-	-	-
Transitioned and retained		752	898	937	377	110	55	1,129	1,008	992	-	-	-	1,129	1,008	992	(96)	48	6	1,033	1,057	998
Non-operational employees		453	269	72	(453)	(269)	(72)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Salaries and wages		5,109	4,274	3,326	(1,683)	(795)	(335)	3,425	3,479	2,990	-	(1,273)	(1,333)	3,425	2,206	1,657	(2,393)	(1,149)	(659)	1,033	1,057	998
Benefits		565	384	276	(160)	(66)	(31)	406	318	245	-	-	(45)	406	318	200	(265)	(212)	(115)	141	108	84
Taxes		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(290)	(150)	(86)	(290)	(150)	(86)
Workforce reduction		5,674	4,658	3,601	(1,843)	(860)	(366)	3,831	3,797	3,235	-	(1,273)	(1,378)	3,831	2,524	1,857	(2,948)	(1,511)	(860)	883	1,015	997

Source: Management provided information

Note 1: Buy-side diligence report potential adjustments are included in EBITDA [1]. Refer to the Appendix – Basis of presentation for further details.

Note 2: Compensation presented above reflect amounts which are sourced via payroll registers.

A Employees transferred with the acquired business and have since been terminated; however roles and responsibilities were transitioned and absorbed by existing Company employees. Specifically, marketing roles were absorbed by the existing marketing team and administrative roles by the G&A team. Peak employees in this adjustment relate to employees in accounting and customer care and managers in fleet, sales, and marketing.

B Employees did not transition with the acquired business and roles were absorbed by the existing finance team. Historical expenses were added back as part of the buy-side diligence report and included in EBITDA [1].

C Management stated the three corporate accountants were replaced and absorbed by AFS and AG transitioned employees and these positions were considered redundant.

Pro forma adjustments – [17] Pro forma personnel expense (4) – *Workforce reduction* (3)

[17.i] Workforce reduction																							
		Compensation [A]			Buy-side report potential adjs [B]			Compensation [1] [C] = [A] + [B]			Management adj [2.i] [D]			Compensation [2] [E] = [C] + [D]			Pro forma adj [17] [F]			Compensation [4] [G] = [E] + [F]			
		LTM			LTM			LTM			LTM			LTM			LTM						
\$'000	Acquisition	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	
	Former owners	2,527	1,774	1,459	(1,354)	(545)	(288)	1,173	1,230	1,171	-	(1,011)	(1,136)	1,173	218	35	(1,173)	(218)	(35)	-	-	-	
	Redundant roles / non-retained	1,377	1,332	857	(254)	(91)	(30)	1,123	1,241	827	-	(262)	(197)	1,123	979	630	(1,123)	(979)	(630)	-	-	-	
	Transitioned and retained																						
	Division Finance Officer	GW retained	51	92	103	60	-	-	111	92	103	-	-	-	111	92	103	(10)	11	4	101	103	107
	General Manager	FSM	229	128	136	-	-	-	229	128	136	-	-	-	229	128	136	(96)	8	(0)	133	136	136
	Division Finance Officer	GW retained	40	88	105	56	-	-	96	88	105	-	-	-	96	88	105	5	14	-	100	102	105
	Director of Human Resources	GW retained	104	94	107	-	-	-	104	94	107	-	-	-	104	94	107	5	15	-	109	110	107
A	General Manager	IBS	96	102	106	-	-	-	96	102	106	-	-	-	96	102	106	-	-	-	96	102	106
	Payroll Specialist	Drypro	37	41	41	-	-	-	37	41	41	-	-	-	37	41	41	-	-	-	37	41	41
	Controller	GW retained	160	170	168	-	-	-	160	170	168	-	-	-	160	170	168	-	-	-	160	170	168
	Fleet and Safety Manager	Alpha	-	112	103	116	-	-	116	112	103	-	-	-	116	112	103	-	-	-	116	112	103
	General Manager	CLS	-	-	-	110	110	55	110	110	55	-	-	-	110	110	55	-	-	-	110	110	55
	Finance Business Partner	GW retained	35	70	67	35	(0)	(0)	70	70	67	-	-	-	70	70	67	-	-	3	70	70	70
	Transitioned and retained	752	898	937	377	110	55	1,129	1,008	992	-	-	-	1,129	1,008	992	(96)	48	6	1,033	1,057	998	
	Non-operational employees	453	269	72	(453)	(269)	(72)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
	Salaries and wages	5,109	4,274	3,326	(1,683)	(795)	(335)	3,425	3,479	2,990	-	(1,273)	(1,333)	3,425	2,206	1,657	(2,393)	(1,149)	(659)	1,033	1,057	998	
	Benefits	565	384	276	(160)	(66)	(31)	406	318	245	-	-	(45)	406	318	200	(265)	(212)	(115)	141	108	84	
	Taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(290)	(150)	(86)	(290)	(150)	(86)	
	Workforce reduction	5,674	4,658	3,601	(1,843)	(860)	(366)	3,831	3,797	3,235	-	(1,273)	(1,378)	3,831	2,524	1,857	(2,948)	(1,511)	(860)	883	1,015	997	

Source: Management provided information

Note 1: Buy-side diligence report potential adjustments are included in EBITDA [1]. Refer to the Appendix – Basis of presentation for further details.

Note 2: Compensation presented above reflect amounts which are sourced via payroll registers.

A

Employees were included in the buy-side diligence reports as a pro forma adjustment as these roles were expected to be eliminated. However, roles were ultimately retained post acquisition.

Pro forma adjustments – [17] Pro forma personnel expense (5) – *Workforce reduction* (4)

[17.i] Workforce reduction																						
		Compensation [A]			Buy-side report potential adjs [B]			Compensation [1] [C] = [A] + [B]			Management adj [2.i] [D]			Compensation [2] [E] = [C] + [D]			Pro forma adj [17] [F]			Compensation [4] [G] = [E] + [F]		
		LTM			LTM			LTM			LTM			LTM			LTM					
\$'000	Acquisition	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22
	Former owners	2,527	1,774	1,459	(1,354)	(545)	(288)	1,173	1,230	1,171	-	(1,011)	(1,136)	1,173	218	35	(1,173)	(218)	(35)	-	-	-
	Redundant roles / non-retained	1,377	1,332	857	(254)	(91)	(30)	1,123	1,241	827	-	(262)	(197)	1,123	979	630	(1,123)	(979)	(630)	-	-	-
	Transitioned and retained	752	898	937	377	110	55	1,129	1,008	992	-	-	-	1,129	1,008	992	(96)	48	6	1,033	1,057	998
Non-operational employees																						
A	Owner's family AFS	23	-	-	(23)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's relatives AG	14	-	-	(14)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner/no operation duties AG	25	-	-	(25)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's relatives AG	93	-	-	(93)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's family Baker's	84	84	-	(84)	(84)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's family Baker's	80	-	-	(80)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's wife Baker's	5	10	-	(5)	(10)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's mother BQ	58	69	28	(58)	(69)	(28)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner's girlfriend BQ	26	21	9	(26)	(21)	(9)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner relative Alpha	15	42	20	(15)	(42)	(20)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Owner personal employee Alpha	30	34	16	(30)	(34)	(16)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Fitness trainer Alpha	-	9	-	-	(9)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-operational employees		453	269	72	(453)	(269)	(72)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Salaries and wages		5,109	4,274	3,326	(1,683)	(795)	(335)	3,425	3,479	2,990	-	(1,273)	(1,333)	3,425	2,206	1,657	(2,393)	(1,149)	(659)	1,033	1,057	998
Benefits		565	384	276	(160)	(66)	(31)	406	318	245	-	-	(45)	406	318	200	(265)	(212)	(115)	141	108	84
Taxes		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(290)	(150)	(86)	(290)	(150)	(86)
Workforce reduction		5,674	4,658	3,601	(1,843)	(860)	(366)	3,831	3,797	3,235	-	(1,273)	(1,378)	3,831	2,524	1,857	(2,948)	(1,511)	(860)	883	1,015	997

Source: Management provided information

Note 1: Buy-side diligence report potential adjustments are included in EBITDA [1]. Refer to the Appendix – Basis of presentation for further details.

Note 2: Compensation presented above reflect amounts which are sourced via payroll registers.

Primarily represent family members of former owners who did not have an operational role in the acquired entities. Compensation adjustments are included as part of the buy-side diligence adjustments in EBITDA [1] as these individuals did not transfer with the business following close.

Pro forma adjustments – [17] Pro forma personnel expense (6) – Corporate function

[17.ii] Corporate function					
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
\$'000					
Corporate function leadership compensation [3]	1,009	2,017	2,284	930	1,197
Corporate function leadership adjustment					
Executives					
Chief Human Resources Officer	248	253	181	127	54
Chief Information Officer	207	59	88	30	58
Chief Marketing Officer	99	-	-	-	-
Executives	554	312	269	156	113
Operational VPs					
VP of Human Resource	68	-	-	-	-
Managing Director of IMG	67	-	-	-	-
Vice President of Brand Marketing	150	154	152	78	76
Operational VPs	284	154	152	78	76
Finance team					
Vice President of Finance	211	6	-	6	-
Senior Director of Finance	162	83	-	83	-
Sr Vice-President of Finance	(178)	(181)	(173)	(90)	(82)
Finance team	195	(93)	(173)	(2)	(82)
Alpha					
General Manager (previously sales)	117	50	17	38	6
General Manager (previously production)	54	28	28	8	9
General Manager (backfilled production)	55	22	17	11	6
General Manager (transferred GM from AFS)	118	94	42	60	8
Alpha general managers	344	194	104	118	28
Total salaries and wages, adjustment	1,377	567	352	350	135
Taxes, adjustment	133	55	34	34	13
Benefits, adjustment	118	49	30	30	12
Corporate function leadership adjustment	1,628	671	417	413	159
Corporate function leadership compensation [4]	2,637	2,688	2,701	1,343	1,356

Source: Management provided information

Pro forma adjustments – [18] Pro forma rent expense

[18] Pro forma rent expense - Detail																					
\$'000	Rent expense [2] incl. revisions					Reclass from G&A					Adjustment					Rent expense, as adjusted [3]					
	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Straight-line of existing leases	5,481	6,899	8,100	3,078	4,279	105	-	-	-	-	338	238	154	188	104	5,925	7,137	8,254	3,266	4,383	
Straight-line & duplicative rent	544	838	1,130	264	556	27	-	-	-	-	(46)	165	106	114	55	525	1,003	1,236	378	611	
Straight-line & subleased / unused facilities																					
Denver	308	394	666	163	435	-	-	-	-	-	(40)	(78)	(65)	(29)	(16)	268	317	602	135	419	
St Louis	65	246	378	68	200	-	-	-	-	-	12	33	39	3	9	77	279	416	71	208	
Central Pennsylvania	156	130	274	65	209	-	-	-	-	-	0	32	(20)	13	(39)	156	162	254	78	170	
Minneapolis	82	165	170	79	83	-	-	-	-	-	26	(15)	(19)	(3)	(8)	108	151	151	75	75	
Columbia	129	104	83	66	45	-	-	-	-	-	(56)	(31)	(10)	(29)	(9)	73	73	73	37	37	
Straight-line & subleased / unused facilities	740	1,039	1,571	440	973	-	-	-	-	-	(58)	(58)	(76)	(45)	(64)	682	981	1,495	395	909	
Total	6,765	8,776	10,801	3,782	5,807	132	-	-	-	-	234	345	184	256	96	7,132	9,121	10,985	4,039	5,903	
EBITDA Impact																					

Source: Management provided information

The rent expense adjustment was calculated on a by branch, by lease basis and is primarily adjusted as follows:

- Straight-line of existing leases* – Represents straight-line rent for leases that existed in the diligence period based on lease start and end dates. For acquired branches we have approximated straight-line rent expense by recognizing the total rent expense from the pre-acquisition period beginning Jan-20 to acquisition date ratably across the period.
- Straight-line & duplicative rent* – Incremental to (i) above, this adjustment also includes the elimination of any overlapping periods of rent based on lease start and end dates where there was a facility transition.
- Straight-line & subleased / unused facilities* – Incremental to (i) above, this adjustment also excludes the impact of facilities that have been subleased or stand vacant for periods that overlap with the branch's primary facility.

Adjusted rent expense presented above includes CAM costs based on a similar approach.

Other considerations – [19] ASC 606 – Revenue recognition

[19] ASC 606 - Revenue recognition - Summary						
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	
Revenue impact						
Revenue impact incl. pre-acq.	330	3,001	2,474	1,366	838	
ASC 606 - Pre-acquisition periods	(73)	(94)	(86)	(8)	-	
Revenue impact	257	2,907	2,388	1,358	838	
EBITDA impact						
EBITDA impact incl. pre-acq.						
LTM Jun-22 adjustment	-	-	2,060	-	1,213	
2021 adjustment	-	2,717	(707)	707	(707)	
2020 adjustment	1,162	(1,162)	-	-	-	
2019 adjustment	(937)	-	-	-	-	
EBITDA impact incl. pre-acq.	225	1,555	1,353	707	505	
ASC 606 - Pre-acquisition periods	(52)	(45)	(41)	(5)	-	
EBITDA impact	173	1,510	1,312	703	505	

Source (all): Management provided information

Represents the annual passed adjustment per the audit.

Management's estimated impact of ASC 606 represents the passed adjustment amount per the audit, as presented above. Calculations are performed annually based on open jobs at December 31 and reported margins; however, the rolling impact of these calculations does not take into account the impact of in-process jobs related to businesses acquired in the year (for which there was no comparable in-process consideration for the prior year's adjustment).

As such, we have applied an adjustment to the estimated ASC 606 impact in order to illustratively present the ASC 606 adjustment on a comparable basis, estimating a year-end adjustment as if all acquisitions were owned by the Company since January 1, 2020.

[19] ASC 606 - Revenue recognition - Summary - Monthly																			
\$'000	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22		
Income statement data																			
Gross profit [0]																			
Revenue, net	57,763	59,306	58,187	62,022	59,512	59,074	62,046	63,660	75,781	73,587	74,655	81,502	351,290	652,912	787,094	297,050	431,232		
COGS	28,148	28,159	27,868	31,373	31,652	29,318	32,149	31,937	36,051	36,478	36,142	40,375	170,178	318,889	389,649	142,370	213,131		
Gross profit [0]	29,614	31,147	30,319	30,649	27,860	29,755	29,898	31,723	39,731	37,109	38,513	41,127	181,112	334,024	397,445	154,679	218,101		
% of total revenue	8.8%	9.1%	8.9%	9.5%	9.1%	9.0%	14.4%	14.8%	17.6%	17.1%	17.3%	18.9%	100.0%	100.0%	100.0%	100.0%	100.0%		
2020 Acquisitions [0]																			
Revenue, net	-	-	-	-	-	-	-	-	-	-	-	-	77,776	-	-	-	-		
COGS	-	-	-	-	-	-	-	-	-	-	-	-	35,643	-	-	-	-		
2020 Acquisitions [0]													42,132						
2021 Acquisitions [0]																			
Revenue, net	1,726	2,230	2,066	2,750	3,667	6,297	-	-	-	-	-	-	-	20,469	18,736	1,733	-		
COGS	935	1,378	1,048	1,370	2,103	3,366	-	-	-	-	-	-	-	10,956	10,200	756	-		
2021 Acquisitions [0]	791	852	1,019	1,380	1,564	2,931								9,514	8,536	977			
Acquisition as % of consolidated																			
Revenue, net	3.0%	3.8%	3.6%	4.4%	6.2%	10.7%	-	-	-	-	-	-	22.1%	3.1%	2.4%	0.6%	-		
COGS	3.3%	4.9%	3.8%	4.4%	6.6%	11.5%	-	-	-	-	-	-	20.9%	3.4%	2.6%	0.5%	-		
Gross profit	2.7%	2.7%	3.4%	4.5%	5.6%	9.8%							23.3%	2.8%	2.1%	0.6%			
Consolidated, excl. acquisitions																			
Revenue, net	56,037	57,076	56,120	59,272	55,845	52,776	62,046	63,660	75,781	73,587	74,655	81,502	273,515	632,443	768,358	295,317	431,232		
COGS	27,213	26,781	26,820	30,003	29,549	25,952	32,149	31,937	36,051	36,478	36,142	40,375	134,535	307,933	379,449	141,615	213,131		
Consol. excl acq. [0]	28,824	30,295	29,300	29,268	26,296	26,825	29,898	31,723	39,731	37,109	38,513	41,127	138,980	324,510	388,909	153,702	218,101		
Adjustment																			
Revenue impact																			
Revenue impact incl. pre-acq.																			
LTM Jun-22 adjustment	-	-	-	-	-	-	317	325	387	376	381	416	-	-	2,203	-	2,203		
2021 adjustment	266	273	267	285	274	272	(190)	(192)	(226)	(243)	(241)	(274)	-	3,001	270	1,366	(1,366)		
2020 adjustment	-	-	-	-	-	-	-	-	-	-	-	-	330	-	-	-	-		
2019 adjustment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Revenue impact incl. pre-acq.	266	273	267	285	274	272	127	133	161	133	141	143	330	3,001	2,474	1,366	838		
ASC 606 pre-acquisition periods	(8)	(10)	(9)	(13)	(17)	(29)	-	-	-	-	-	-	(73)	(94)	(86)	(8)	-		
Revenue impact	258	262	258	272	257	243	127	133	161	133	141	143	257	2,907	2,388	1,358	838		
EBITDA impact																			
EBITDA impact incl. pre-acq.																			
LTM Jun-22 adjustment	-	-	-	-	-	-	174	179	213	207	210	229	-	-	1,213	-	1,213		
2021 adjustment	138	141	139	148	142	141	(98)	(100)	(117)	(126)	(125)	(142)	-	1,555	140	707	(707)		
2020 adjustment	-	-	-	-	-	-	-	-	-	-	-	-	225	-	-	-	-		
2019 adjustment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
EBITDA impact incl. pre-acq.	138	141	139	148	142	141	76	80	96	81	85	87	225	1,555	1,353	707	505		
ASC 606 pre-acquisition periods	(4)	(4)	(5)	(7)	(8)	(14)	-	-	-	-	-	-	(52)	(45)	(41)	(5)	-		
EBITDA impact	134	137	134	141	134	127	76	80	96	81	85	87	173	1,510	1,312	703	505		

Appendix | Balance sheet

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3.3

Balance sheet composition and trends – Assets

Balance sheet, reported - Consolidated			
\$'000	Dec-20	Dec-21	Jun-22
Assets			
Current assets			
Cash and cash equivalents	21,337	28,039	73,575
Accounts receivable, net	14,212	18,059	22,305
Inventory	19,464	40,787	44,719
Prepaid expenses	7,826	15,247	10,610
Other current assets	(656)	2,836	1,873
Current assets	62,182	104,969	153,082
Non-current assets			
Fixed assets, net	38,354	73,725	87,549
Intangible assets, net	701,058	817,447	774,036
Deposits	293	2,802	2,806
Investment	21	21	21
Right-of-use asset	-	-	5,113
Non-current assets	739,725	893,994	869,525
Assets	801,908	998,962	1,022,607
Liabilities			
Current liabilities			
Accounts payable and accrued expenses	32,413	43,277	57,519
Deferred revenue	24,643	45,174	53,071
Current portion of capital lease obligations	2,210	7,836	12,868
Current portion of note payable	3,374	4,989	4,913
Current liabilities	62,639	101,277	128,371
Non-current liabilities			
Long-term portion of note payable	323,159	464,456	465,979
Long-term portion of capital lease obligations	7,191	21,054	30,215
Non-current liabilities	330,350	485,510	496,194
Liabilities	392,989	586,786	624,565
Equity			
Stock	452,203	487,515	491,391
Retained earnings	20,379	(41,775)	(77,257)
Net income	(63,664)	(33,564)	(16,092)
Equity	408,919	412,176	398,042
Liabilities & equity	801,908	998,962	1,022,607

Source (all): Management provided information

Basis of presentation

- The table presented at left represents the Company's consolidated balance sheet, as reported, prepared using monthly trial balances, as provided by management.
- Information is presented on a consolidated basis as the Company does not maintain separate balance sheets at the branch or brand level. All acquisitions are consolidated into Groundworks on day one following the acquisition date.
- Refer to the *Appendix – Reconciliations and detailed procedures* for a reconciliation to the audited financials.

Cash and cash equivalents

- Represents reported cash from the Company's operating accounts, restricted cash related to escrows from acquisitions (offset by accrued expenses), and cash that hasn't yet cleared the bank. The Company has a corporate operating account with Fifth Third Bank where the majority of cash sits, as well as separate bank accounts for each branch for day-to-day cash needs. Separate bank accounts are also maintained for payroll and permits.

Cash and cash equivalents			
\$'000	Dec-20	Dec-21	Jun-22
Checking / savings	21,200	25,443	70,826
Restricted funds	-	-	1,468
Undeposited funds	119	2,583	1,266
Petty cash	18	13	16
Cash and cash equivalents	21,337	28,039	73,575

Accounts receivable, net

Accounts receivable, net				
\$'000	Ref.	Dec-20	Dec-21	Jun-22
Accounts receivable, gross	i	14,668	18,918	25,462
Accrued revenue	ii	1,141	2,637	1,194
Allowance for doubtful accounts	iii	(1,596)	(3,496)	(4,351)
Accounts receivable, net		14,212	18,059	22,305

- Accounts receivable, gross* – Tracked at the branch level within BizWiz and are recognized when a job end date is entered, consistent with invoicing and as revenue is recognized. Customers typically pay a deposit in advance, with the remainder balance due at job completion. Upon job completion, an invoice is generated and sent to the customer, with any deposits received applied against the outstanding receivable. No payment terms are extended to customers – invoices are due upon receipt.

Balance sheet composition and trends (2) – Assets (2)

Accounts receivable, net (continued)

- i. *Accounts receivable, gross (continued)* – Checks collected at the customer site are submitted to branch administrators for electronic deposit via check scanning machines, while field technicians also have handheld credit card scanners for credit card payments on-site. To the extent there is a financing arrangement with GreenSky, payment is typically received within one day of job completion.

AR Aging Summary - Consolidated								
\$'000	Days outstanding					Total	Variance	Per BS (Consol)
	0-30	31-60	61-90	91-120	Over 121			
Jun-22	16,459	2,391	1,847	1,105	3,425	25,227	235	25,462
% of total	65.2%	9.5%	7.3%	4.4%	13.6%	100.0%	0.9%	
Dec-21	9,511	2,145	2,478	1,643	1,762	17,539	1,380	18,918
% of total	54.2%	12.2%	14.1%	9.4%	10.0%	100.0%	7.3%	

Source: Management provided information

Note: Aging in table above is based on invoice date

Note: Variance in Dec-21 primarily relates to aging schedules which were not received for CLS and GSC Rosewood (Other AR).

- ii. *Accrued revenue* – Represents expenses incurred for in-process jobs at month-end, inclusive of materials, labor, and other overhead (such as permitting, engineering, etc.). Month-end balances are based on open jobs and costs incurred to date.

Accounts receivable, net (continued)

- iii. *Allowance for doubtful accounts* – Calculated as 50% of gross AR aged 61-120 days, and 100% of AR aged over 120 days, excluding any commercial or city contracts. Write-offs are evaluated and recorded at year-end. Historically, the Company has been conservative in their allowance balance as actual write-off experience was lower than bad debt expense.

To improve collections, the Company implemented procedures, including: (i) the use of handheld credit card scanners by on-site crews, which were initially introduced in 2021 and rolled out throughout 2021 and into 2022; (ii) utilizing real-time AR aging reports to analyze aged balances; and (iii) holding enhanced weekly follow up discussions through the operations finance team, which reduced YTD Jun-22 DSO.

Adjusted DSO averaged 12 days in 2021 and 10 days in YTD Jun-22. Refer to the *Net working capital* section for further details on AR / DSO.

Balance sheet composition and trends (3) – Assets (3)

Inventory

Inventory						
\$'000	Dec-20	Dec-21	Jun-22	% of total		
				Dec-20	Dec-21	Jun-22
Inventory - GSC	15,885	34,980	40,271	81.6%	85.8%	90.1%
Inventory - Big box & local	1,863	3,972	3,058	9.6%	9.7%	6.8%
Inventory - PM	1,716	1,834	1,390	8.8%	4.5%	3.1%
Inventory	19,464	40,787	44,719	100.0%	100.0%	100.0%

Source (all): Management provided information

- Primarily comprised of supplies, finished goods on hand, and in-transit inventory sourced through GSC. Labor and freight are not capitalized to inventory; as inventory turns relatively quickly, the impact of capitalizing these costs would be minimal compared to currently recognizing them as period expenses. Management noted a limited amount of inventory requires assembly prior to being used in jobs.
- The Company primarily sources inventory through GSC, with a portion of on-hand inventory relating to pre-merger inventory acquired for contracted jobs prior to businesses being acquired priced based on non-GSC inventory. The Company also purchases some inventory from local retailers (e.g. gravel and lumber) and big box stores, primarily relating to consumables. Refer to the *Appendix – Income statement overview* section for further details on each inventory category.
- Beginning in Feb-22, inventory is valued based on the weighted average cost methodology, while inventory was previously valued based on last cost which approximated first in, first out (FIFO). Refer to the *Appendix – Basis of presentation* for further details on the change in inventory valuation.
- Full inventory counts are performed at all branches on a monthly basis by the warehouse manager on the last day of the month, with differences in inventory counts expensed directly to the P&L.
- The Company does not maintain a reserve for excess and obsolete inventory, however, management indicated a reserve was not considered necessary given monthly inventory counts, monthly book-to-actual true-ups recorded and relatively quick inventory turns (average 105 days of inventory on hand in LTM Jun-22). Unsaleable inventory (e.g. scrap, obsolete) is disposed of regularly with the corresponding costs captured in the monthly book-to-actual true-up.

Prepaid expenses

Prepaid expenses							
\$'000	Ref.	Dec-20	Dec-21	Jun-22	% of total		
					Dec-20	Dec-21	Jun-22
Prepaid expenses	i	3,625	8,829	6,819	46.3%	57.9%	64.3%
Prepaid commissions	ii	3,701	5,667	3,282	47.3%	37.2%	30.9%
Prepaid marketing		501	502	372	6.4%	3.3%	3.5%
Prepaid expenses - PMI & A1		-	250	136	-	1.6%	1.3%
Prepaid expenses		7,826	15,247	10,610	100.0%	100.0%	100.0%

- Prepaid expenses* – Primarily comprised of prepaid insurance balances for the Company's worker's compensation policy, prepaid software for Workday, the Company's HR system, and prepayments for the Company's annual office party. Refer to the *Net working capital* section for further details on non-recurring prepaid office party balances maintained from Nov-21 through Jun-22.
- Prepaid commissions* – Represent 50% of commissions paid to CFIs on initial customer deposits received for jobs not yet complete and as such, expense recognition is deferred (concurrent with revenue and materials expense recognition). For any job cancellations, a portion of this balance can be clawed back from CFIs which management noted was limited in the historical period. Refer to the *Appendix – Income statement overview* section for further details on the commission paid.

Other current assets

Other current assets				
\$'000	Ref.	Dec-20	Dec-21	Jun-22
Non-trade AR	i	(847)	2,593	1,500
Sales rep advance	ii	187	234	369
Employee loans		4	8	5
Other current assets		(656)	2,836	1,873

- Non-trade AR* – Primarily includes (i) the GreenSky rebate receivable, which was accrued beginning Jul-21; (ii) acquisition related receivables such as bank reconciling items; and (iii) amounts receivable from prior owners. Refer to the *Net working capital* and *Quality of earnings* sections for further details. Management indicated the net credit balance at Dec-20 was primarily related to post-acquisition AquaGuard payroll costs that were paid from the former owner's bank account, resulting in a net payable balance.

Balance sheet composition and trends (4) – Assets (4)

Other current assets (continued)

- ii. *Sales representative advance* – Represents advance payments of future commissions to new CFIs while they undergo the mandatory two weeks of training prior to generating sales and earning commissions. The advance payment is repaid through commissions earned by the CFI at ~20% of commissions earned each period until the total advance is repaid.

Fixed assets, net

Fixed assets, net							
\$'000	Ref.	Dec-20	Dec-21	Jun-22	% of total		
					Dec-20	Dec-21	Jun-22
Fixed assets, gross							
Transportation equipment	i	30,202	62,368	73,403	78.7%	84.6%	83.8%
Machinery and equipment	ii	6,229	12,869	15,872	16.2%	17.5%	18.1%
Computer hardware	iii	2,105	3,650	6,124	5.5%	5.0%	7.0%
Fixed assets - PMI & A1	iv	-	-	6,096	-	-	7.0%
Leaseholds	v	3,427	5,176	5,677	8.9%	7.0%	6.5%
Furniture and fixtures	v	1,300	3,045	2,728	3.4%	4.1%	3.1%
CIP	vi	-	2,670	2,316	-	3.6%	2.6%
Fixed assets, gross		43,264	89,780	112,215	112.8%	121.8%	128.2%
Accumulated depreciation		(4,910)	(16,055)	(24,666)	(12.8)%	(21.8)%	(28.2)%
Fixed assets, net		38,354	73,725	87,549	100.0%	100.0%	100.0%

Source (all): Management provided information

- The Company's fixed assets are amortized using the straight-line method over their useful lives which is the lesser of 15 years or life of lease for leasehold improvements; 5-7 year for furniture & fixtures and machinery and equipment; and 5 years for vehicles. The Company's capitalization threshold is \$5,000.

Capex, as reported - By fixed asset type										
\$'000	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22	% of total				
						2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Transportation equipment	12,185	27,177	31,716	11,483	16,022	79.3%	69.8%	67.9%	71.3%	67.1%
Machinery and equipment	1,414	4,963	6,278	2,767	4,082	9.2%	12.8%	13.4%	17.2%	17.1%
Computer hardware	844	2,314	3,754	1,025	2,464	5.5%	5.9%	8.0%	6.4%	10.3%
CIP	356	1,673	1,960	-	287	2.3%	4.3%	4.2%	-	1.2%
Leaseholds	367	1,664	1,943	466	744	2.4%	4.3%	4.2%	2.9%	3.1%
Furniture and fixtures	205	1,122	1,043	362	284	1.3%	2.9%	2.2%	2.2%	1.2%
Total capex	15,371	38,913	46,694	16,103	23,883	100.0%	100.0%	100.0%	100.0%	100.0%

Note: The Company's detailed fixed asset register at Jun-22, was utilized to calculate capex at an individual asset level / by branch. To arrive at reported capex presented above, we excluded all assets with placed in service dates the day of or day after an acquisition in order to exclude any opening balance sheet additions.

Fixed assets, net (continued)

- i. *Transportation equipment* – Primarily made up of the Company's fleet; the growth is primarily related to the Company's acquired businesses, while the legacy business' capex spend is limited. True transportation capex was \$27.2 million in 2021 and \$16.0 million in YTD Jun-22 for additional purchases of financed vehicles to support the Company's sales growth, increase in execution of jobs, and expansion into new markets. As shown below, the Company's fleet is primarily made up of box and pickup trucks. The majority of vehicles are leased, with the average age of the fleet less than 2 years.

Fleet detail - Vehicle type (as of Jun-22)						
\$'000	Leased		Owned		Total	
	Vehicle count (#)	Avg age (years)	Vehicle count (#)	Avg age (years)	Vehicle count (#)	Avg age (years)
Box	547	1.4	206	2.2	753	1.6
Pickup	240	1.2	157	2.1	397	1.6
Passenger vehicle	146	1.1	137	2.3	283	1.7
Van	155	1.7	82	2.0	237	1.8
Poly	33	1.4	57	1.6	90	1.5
Pickup flatbed	3	1.3	38	0.6	41	0.7
Flatbed	4	3.1	9	2.6	13	2.8
Gutter	2	0.3	1	0.7	3	0.4
Dump truck	1	1.5	18	4.3	19	4.1
Total	1,131	1.4	705	2.1	1,836	1.1
Summary by branch						
Legacy branches	704	1.6	298	2.7	1,002	1.9
Acquired branches	418	1.0	395	1.6	813	1.3
Corporate	9	0.9	12	2.3	21	1.7
Total	1,131	1.4	705	2.1	1,836	1.1

- ii. *Machinery & equipment* – Represents machinery and equipment needed to complete jobs, such as excavators, poly rigs, compact track loaders etc. A portion of these assets relate to equipment at GSC and corporate warehouses.
- iii. *Computer hardware and software* – Primarily relates to computers and laptops, as well as certain capitalized software costs for Business Central ERP and Workday HR systems. Hardware capex has increased due to overall headcount growth and acquisitions.

Balance sheet composition and trends (5) – Assets (5)

Fixed assets, net (continued)

- iv. *Fixed assets - PMI & A1* – Primarily represents the acquired fixed assets of Alpha, which management broke out into a separate account in Jan-22.
- v. *Leaseholds and Furniture & fixtures* – The increase in capex in 2021 was driven by the Company's investments in its facilities, primarily relating to the corporate headquarters in Virginia Beach, as the JES brand was moved to a separate facility to create more corporate office space.
- vi. *CIP* – Represent capitalized software expenses, including two IT personnel's cost, amounting to approximately \$200,000 and \$250,000 in 2021 and LTM Jun-22, respectively. Also includes third party capitalized ERP expenses. Upon completion of a project, the capitalized balance is transferred to the computer hardware and software account, above.

Intangible assets, net

Intangible assets, net						
\$'000	Dec-20	Dec-21	Jun-22	% of total		
				Dec-20	Dec-21	Jun-22
Goodwill, net						
Goodwill, gross	483,692	607,203	614,123	69.0%	74.3%	79.3%
Accumulated amortization	(35,615)	(85,830)		(5.1)%	(10.5)%	-
Goodwill, net	448,077	521,373	614,123	63.9%	63.8%	79.3%
Intangibles, net						
Tradenames	262,120	336,280	336,280	37.4%	41.1%	43.4%
Backlogs	8,980	11,180	11,180	1.3%	1.4%	1.4%
Non-compete agreements	4,070	4,740	4,740	0.6%	0.6%	0.6%
Developed technology	3,900	3,900	3,900	0.6%	0.5%	0.5%
Other intangibles	998	1,543	1,651	0.1%	0.2%	0.2%
Accumulated amortization	(27,088)	(61,569)	(197,838)	(3.9)%	(7.5)%	(25.6)%
Intangibles, net	252,981	296,074	159,913	36.1%	36.2%	20.7%
Intangible assets, net	701,058	817,447	774,036	100.0%	100.0%	100.0%

Source: Management provided information

Note: Accumulated amortization for goodwill at Jun-22 is included within the caption under Intangibles, net.

- Primarily consists of goodwill and intangible tradenames, as well as backlogs, non-compete agreements, internally developed software primarily relating to BizWiz.

Intangible assets, net (continued)

- Goodwill is being amortized straight-line over 10 years. Other intangible assets are amortized straight-line over their useful life which is generally 5-10 years.

Right-of-use asset

- Represents as asset recorded related to the Company's implementation of ASC 842 – Leases relating to capital leases related to the Company's fleet of vehicles, large equipment and small tools.

Deposits

- Primarily represent security deposits for the Company's leased facilities and an escrow balance held in connection with the Company's low premium high deductible insurance plan.

Balance sheet composition and trends (6) – Liabilities

Accounts payable and accrued expenses

Accounts payable & accrued expenses			
\$'000	Dec-20	Dec-21	Jun-22
Accounts payable	11,248	23,863	17,074
Credit card payable	596	1,062	1,637
Accrued expenses	20,568	18,352	38,808
Accounts payable & accrued expenses	32,413	43,277	57,519

Source (all): Management provided information

Accounts payable

AP Aging Summary - Consolidated								
Days outstanding						Total	Variance	Per BS (Consol)
\$'000	Current	1-30	31-60	61-90	Over 90			
Jun-22	19,056	40	(1,415)	(666)	386	17,401	(328)	17,074
% of total	109.5%	0.2%	(8.1%)	(3.8%)	2.2%	100.0%	(1.9%)	
Dec-21	16,170	7,782	1,359	(5)	75	25,380	(1,517)	23,863
% of total	63.7%	30.7%	5.4%	(0.0%)	0.3%	100.0%	(6.4%)	

- Represents trade payables for amounts due to vendors primarily for materials purchases, marketing spend, small tools, and application software expenses. Vendor payments terms are typically net 30-day with a small subset offering early pay discounts.
- The debit balances in certain aging buckets relate to a specific program with one vendor where only one payment was entered per location which resulted in a mismatch of individually aged invoices and payments.
- As discussed in the *Appendix - Basis of presentation*, the Company has a separate centralized AP department to manage the Company's payables. Management noted that payments are run multiple times per week, with an increased AP payment cadence in Jan-22 with the transition to Business Central. The Company's consolidated adjusted DPO averaged 32 and 31 days in 2021, and YTD Jun-22, respectively. Refer to *Net working capital* for other AP considerations.

Credit cards payable

- Represents the Company's AMEX credit card payables. Both office and field personnel may have their own company credit cards. The Company implemented Concur in Oct-20 for T&E to more efficiently manage the expense reimbursement process.

Accrued expenses

- Accruals are recorded at a detailed level on a monthly basis and include the items below:

Accrued expenses					% of total		
\$'000	Ref.	Dec-20	Dec-21	Jun-22	Dec-20	Dec-21	Jun-22
Accrued payroll-related expenses	i	16,876	10,910	21,738	82.1%	59.4%	56.0%
Accrued insurance	ii	11	1,486	4,613	0.1%	8.1%	11.9%
Accrued expenses	iii	3,160	3,914	4,563	15.4%	21.3%	11.8%
Accrued marketing	iv	-	-	3,274	-	-	8.4%
Goods received but not invoiced	v	-	-	2,405	-	-	6.2%
Deferred rent	vi	-	1,008	1,460	-	5.5%	3.8%
Other accrued expenses	vii	521	1,035	755	2.5%	5.6%	1.9%
Accrued expenses		20,568	18,352	38,808	100.0%	100.0%	100.0%

- i. *Accrued payroll-related expenses* – Represents accrued salaries and wages, benefits and payroll taxes, commissions, bonus expense and IBNR. Payroll accruals are recorded monthly. The increase at Jun-22 of total accrued payroll is primarily attributable to the timing of month-end. In 2022, the Company implemented a new PTO policy where employees can rollover up to 40 hours of PTO to the next calendar year; historically, unused PTO was paid out at year-end. Refer to the *Quality of earnings* and *Net working capital* sections for adjustments proposed to payroll accruals, as well as the *Appendix – Income statement* for further details on the IBNR expense recorded in the historical period.

[i] Accrued payroll-related expenses						
\$'000	Dec-20	Dec-21	Jun-22	% of total		
				Dec-20	Dec-21	Jun-22
Accrued payroll						
Payroll accruals	1,479	3,545	13,357	8.8%	32.5%	61.4%
Bonus & gainshare	9,536	1,733	3,046	56.5%	15.9%	14.0%
Other	393	898	180	2.3%	8.2%	0.8%
Accrued payroll	11,408	6,176	16,584	67.6%	56.6%	76.3%
Accrued commissions	899	1,404	4,484	5.3%	12.9%	20.6%
Accrued payroll taxes	4,240	2,125	2,125	25.1%	19.5%	9.8%
Accrued self-funding insurance	297	1,270	(882)	1.8%	11.6%	(4.1)%
Other	32	(65)	(573)	0.2%	(0.6)%	(2.6)%
Accrued payroll-related	16,876	10,910	21,738	100.0%	100.0%	100.0%

Balance sheet composition and trends (7) – Liabilities (2)

Accrued expenses (continued)

- ii. *Accrued insurance* – Represents workers compensation, general liability, auto expense, and expected loss (Loss Pick) accruals relating to the Company's insurance policies. We understand premiums are paid over a 10-month period, and expenses are recognized ratably over a 12 month period. The increase in the historical period is driven by the alignment of insurance policies as acquisitions are complete and brought onto the Company's existing insurance policies. Refer to the *Appendix – Income statement overview* for further details on the Company's insurance policies.
- iii. *Accrued expenses* – Represents (i) cash held in escrow related to the Company's acquisitions; (ii) accrued GreenSky financing fees that are paid in the month following loan funding; (iii) warranty accrual, representing accrued labor costs related to warranty claims from customers (materials are largely pass through), updated annually and covering one year of estimated costs; and (iv) other vendor accruals primarily for professional fees, property taxes, and hosting expenses. Management also records accrued expenses from the opening balance sheets of acquisitions within this account for tracking purposes which we understand were limited.

[iii] Accrued expenses						
\$'000				% of total		
	Dec-20	Dec-21	Jun-22	Dec-20	Dec-21	Jun-22
Escrow accrual	-	-	1,468	-	-	32.2%
Accrued GreenSky fee	523	640	1,347	16.6%	16.4%	29.5%
Warranty accrual	840	1,056	1,056	26.6%	27.0%	23.1%
Other accruals	1,796	2,217	693	56.8%	56.7%	15.2%
Accrued expenses	3,160	3,914	4,563	100.0%	100.0%	100.0%

Source: Management provided information

- iv. *Accrued marketing* – Represents marketing expense accruals that were previously captured within accrued expenses discussed above. Prior to Apr-22, accrued marketing was captured within accrued expenses (iii) above.

Accrued expenses (continued)

- v. *Goods received not invoiced (GRNI)* – With the implementation of Business Central, the Company began to track inventory received at its warehouses for which an invoice was not yet received, separately. Due to procedural changes, duplicative entries were recorded in accounts payable rather than relieving the GRNI balance, resulting in the build-up of this balance. Management has since retroactively corrected the entries and implemented measures to remediate the issue. We understand the Company historically included the GRNI balances within inventory and accounts payable, and only separately tracked this following the transition to Business Central. Refer to *Quality of earnings – Management adjustments* for additional information on GRNI.
- vi. *Deferred rent* – Represents the variance between straight-line rent expense and cash rent paid for the Company's leased facilities in accordance with US GAAP. As discussed in the *Appendix – Income statement*, the Company historically recognized rent expense on a cash basis, but beginning in 2021 any newly entered leases were recorded straight-line. As of the date of this report, all leases are being recorded on a straight-line basis; refer to *Quality of earnings – Pro forma adjustments* for the estimated impact on the historical period of recording straight-line across all periods.

Balance sheet composition and trends (8) – Liabilities (3)

Deferred revenue

- Primarily consists of customer deposits and service revenue for which the Company does not bifurcate between short and long-term deferred revenue.

Deferred revenue				
\$'000	Ref.	Dec-20	Dec-21	Jun-22
Customer deposits	i	21,158	32,861	32,996
Prepaid service revenue	ii	3,485	12,313	20,074
Deferred revenue		24,643	45,174	53,071

Source (all): Management provided information

- i. *Customer deposits* – Represent upfront cash payments made typically at the time of contract execution of approximately 30% of the contract value, with slight variation between branches. Customer deposits increased in 2021 and YTD Jun-22 largely due to business growth, pricing increases leading to higher customer deposits and the inclusion of acquired businesses on a reported basis.

The volume of customer deposits are partly driven by lead times between deposit collection, job scheduling, and job completion. Management noted that the lag between contract signing to job scheduling is typically 60 days. Management is not contractually obligated to return deposits to customers after the three-day cancellation policy; however, management noted deposits are usually returned in good faith when requested, net of any costs incurred (e.g. permit costs); however, management indicated the majority of jobs for which a deposit is collected are completed. Refer to the *Key findings – Cash considerations* section for further details.

- ii. *Prepaid service revenue* – Represents the deferred portion of revenue related to the Company's multi-year service plans. As discussed in *Basis of presentation*, this revenue is collected up front and recognized ratably over the period of the plan.

Capital lease obligations – Current & long-term

- Represents \$43.1 million of current and long-term lease liabilities for capital leases related to the Company's fleet of vehicles, large equipment and small tools.
- Additionally, management began to capitalize certain small tools leasing arrangements in 2022; refer to *Quality of earnings – Potential adjustments* for additional information.

Notes payable – Current & long-term debt

- At Jun-22, the Company has \$484.1 million of current and long-term debt from its term loan credit facility with Twin Brook Capital Partners, LLC, partially offset by \$13.2 million of deferred financing fees. The Company entered into the current agreement in Jan-20 after the Company's sale to the current shareholders. Principal and interest payments are paid on a quarterly basis.
- The Company also has a revolving line of credit with Twin Brook, from which no amount is drawn as of Jun-22.
- Refer to *Key findings – Indebtedness* section for additional considerations regarding these balances.

Note payable				
\$'000	Ref.	Dec-20	Dec-21	Jun-22
Note payable, current		3,374	4,989	4,913
Note payable, long-term	i	332,596	477,650	479,173
Note payable		335,971	482,639	484,086
Less: deferred financing fees	ii	(9,437)	(13,194)	(13,194)
Note payable, net of deferred financing fees		326,533	469,445	470,892
Long-term note payable, net of deferred financing fees	[i + ii]	323,159	464,456	465,979

Appendix | Net working capital

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3.4

Pro forma adjustments – [11] Pro forma working capital

[11.i] Pro forma accounts receivable					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM
					Jun-22
Gross sales, pre-acquisition adjusted	A	2,636	1,497	9,451	5,271
DSO	B	10	9	12	11
Days	C	31	30	30	30
NWC Impact	(A/C) * B	837	453	3,604	2,034

[11.ii] Pro forma inventory					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM
					Jun-22
Materials costs, pre-acquisition adjusted	A	525	347	1,572	876
DOH	B	127	111	98	111
Days	C	31	30	30	30
NWC Impact	(A/C) * B	2,146	1,279	4,984	3,064

[11.iii] Pro forma prepaid expenses					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM
					Jun-22
Adjusted prepaid expenses	A	11,015	5,905	7,561	8,465
LTM gross sales [0]	B	666,461	803,445	536,844	680,578
Prepaid as a % of LTM revenue	C = A/B	1.7%	0.7%	1.4%	1.2%
LTM Gross sales, pre-acquisition adjusted	D	24,297	15,608	96,333	54,256
NWC Impact	C * D	402	115	1,344	739

Source (all): Management provided information

Note: DSO, DPO, and DOH as presented are rounded to the nearest day.

A DPO incorporates both accounts payable and accrued expense accounts, adjusted for any normalizations or non-recurring items within potential adjustments, as noted in the net working capital analysis.

B Days accrued at month-end represents the number of days between month-end and the last pay date per the Company's reported payroll registers.

[11.iv] Pro forma accounts payable and accrued expenses					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM Jun-22
Income statement					
COGS, pre-acquisition adjusted		1,495	824	4,626	2,622
Opex, pre-acquisition adjusted		722	351	2,940	1,601
Less:					
Labor costs (COGS), pre-acquisition adjusted		(685)	(434)	(2,529)	(1,375)
Labor costs (Opex), pre-acquisition adjusted		(264)	(17)	(754)	(406)
Opex + COGS - Salaries, pre-acquisition adjusted	A	1,268	724	4,284	2,443
DPO	B	37	28	35	34
Days	C	31	30	30	30
NWC Impact	- (A/C) * B	(1,526)	(686)	(4,960)	(2,810)

[11.v] Pro forma accrued payroll					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM
					Jun-22
Labor costs, pre-acquisition adjusted	A	949	451	3,282	1,780
Days accrued at month-end	B	6	18	11	11
Days	C	31	30	30	30
NWC Impact	(A/C) * B	(184)	(271)	(1,209)	(640)

[11.vi] Pro forma customer deposits					
\$'000	Ref.	Dec-21	Jun-22	Average	
				2021	LTM
					Jun-22
Customer deposits [0]	A	32,861	32,996	29,546	33,590
LTM gross sales [0]	B	666,461	803,445	536,844	680,578
Customer deposits as a % of LTM revenue	C = A/B	4.9%	4.1%	5.5%	4.9%
LTM Gross sales, pre-acquisition adjusted	D	24,297	15,608	96,333	54,256
NWC Impact	C * D	(1,198)	(641)	(5,344)	(2,921)

Appendix | Reconciliations and detailed procedures

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3.5

Reconciliations – Audit reconciliation – Income statement

As presented below, we reconciled the Company reported income statements [0] to audited financials for 2020 and 2021 with de minimis differences. Variances by line item to the audited financials are primarily classification related.

Audit reconciliation - Income statement										
	Per Audit		Per TB - Company		Amort. /		Other		Per TB, adjusted	
	2020	2021	rpt results [0]		interest		expense			
	(Combined)	(Successor)	2020	2021	2020	2021	2020	2021	2020	2021
\$'000										
Revenue, net	352,025	654,419	351,290	652,912	-	-	-	-	351,290	652,912
Cost of revenue	171,760	321,396	170,178	318,889	-	-	352	500	170,530	319,388
Gross profit	180,265	333,023	181,112	334,024	-	-	(352)	(500)	180,760	333,524
Gross margin %	51.2%	50.9%	51.6%	51.2%	-	-	-	-	51.5%	51.1%
Operating expenses										
Selling, general, and administrative ⁽¹⁾	146,499	252,064	157,792	253,059	-	-	(10,807)	(500)	146,985	252,559
Amortization	61,927	82,095	63,079	82,095	(1,149)	-	-	-	61,930	82,095
Management fees	783	750	33	750	-	-	750	-	783	750
Acquisition-related costs	17,557	5,233	7,855	5,233	-	-	9,705	-	17,560	5,233
Operating expenses	226,766	340,142	228,759	341,137	(1,149)	-	(352)	(500)	227,257	340,637
Operating loss	(46,501)	(7,119)	(47,646)	(7,113)	1,149	-	0	-	(46,497)	(7,113)
Non-operating expense/income										
Interest expense	17,167	26,449	16,018	26,450	1,149	-	-	-	17,167	26,450
Other income	(4)	(4)	-	-	-	-	-	-	-	-
Non-operating expense/income	17,163	26,445	16,018	26,450	1,149	-	-	-	17,167	26,450
Net loss	(63,664)	(33,564)	(63,664)	(33,563)	-	-	0	-	(63,664)	(33,563)
Net margin %	(18.1)%	(5.1)%	(18.1)%	(5.1)%	-	-	-	-	(18.1)%	(5.1)%
Reconciliation to EBITDA										
Net loss	(63,664)	(33,564)	(63,664)	(33,563)	-	-	0	-	(63,664)	(33,563)
Interest	17,167	26,449	16,018	26,450	1,149	-	-	-	17,167	26,450
Depreciation and amortization	66,906	93,425	68,057	93,425	(1,149)	-	-	-	66,908	93,425
EBITDA	20,408	86,310	20,411	86,312	-	-	0	-	20,411	86,312
EBITDA margin %	5.8%	13.2%	5.8%	13.2%	-	-	-	-	5.8%	13.2%

Remaining variance is related to classification of certain accounts between the three FS captions.

Source: Management provided information

Note (1): Includes depreciation expense

Other reclassifications include: (i) reclassification of Rackspace hosting expenses from SG&A per the trial balance to COGS for the audit for both periods; (ii) reclassification of management fees in 2020; and (iii) reclassification of transaction-related expenses related to the Company sale in Jan-20.

Reconciliations (2) – Audit reconciliation – Balance sheet

As presented below, we reconciled the Company reported balance sheet [0] to audited financials for 2020 and 2021 with de minimis differences. Variances by line item to the audited financials are primarily classification related.

Audit reconciliation - Balance sheet																
	Per audit		Per TB [0]		Accr. Revenue & expense		Escrow accounts		Amortization reclass		Other reclassification		TB, adjusted		Variance	
	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21	Dec-20	Dec-21
	(Succ.)	(Succ.)														
\$'000																
Assets																
Current assets																
Cash	21,487	28,475	21,337	28,039	-	-	151	2,021	-	-	-	(1,585)	21,487	28,475	(0)	-
Accounts receivable - Trade, net	12,954	16,465	14,212	18,059	(1,141)	(2,637)	-	-	-	-	-	1,585	13,072	17,008	(118)	(543)
Accounts receivable - Related party	16	-	-	-	-	-	-	-	-	-	16	-	16	-	-	-
Inventory	19,437	40,787	19,464	40,787	-	-	-	-	-	-	-	-	19,464	40,787	(27)	-
Accrued revenue	1,420	2,637	-	-	1,141	2,637	-	-	-	-	280	-	1,420	2,637	0	-
Prepaid expenses	7,573	15,247	7,826	15,247	-	-	-	-	-	-	(280)	-	7,546	15,247	27	-
Other current assets	405	3,378	(656)	2,836	-	-	-	-	-	-	1,077	-	421	2,836	(16)	543
Current assets	63,292	106,990	62,182	104,969	-	-	151	2,021	-	-	1,093	-	63,426	106,990	(134)	-
Total property and equipment, net	38,476	73,725	38,354	73,725	-	-	-	-	-	-	-	-	38,354	73,725	122	-
Other assets	702,449	823,936	701,371	820,269	-	-	-	-	1,082	3,667	-	-	702,454	823,936	(5)	0
Assets	804,218	1,004,650	801,908	998,962	-	-	151	2,021	1,082	3,667	1,093	-	804,234	1,004,650	(16)	0
Liabilities and members' equity																
Current liabilities																
Capital leases	2,375	7,836	2,210	7,836	-	-	-	-	-	-	166	-	2,375	7,836	-	-
Notes payable	3,374	4,989	3,374	4,989	-	-	-	-	-	-	-	-	3,374	4,989	(0)	-
Accounts payable - Trade	11,730	24,577	32,413	43,277	(20,568)	(18,352)	-	-	-	-	-	-	11,845	24,925	(115)	(347)
Accounts payable - Related party	1,093	347	-	-	-	-	-	-	-	-	1,093	-	1,093	-	0	347
Accrued expenses	20,666	18,352	-	-	20,568	18,352	-	-	-	-	-	-	20,568	18,352	98	(0)
Deferred revenue	24,643	45,174	24,643	45,174	-	-	-	-	-	-	-	-	24,643	45,174	0	-
Other current liabilities	151	2,021	-	-	-	-	151	2,021	-	-	-	-	151	2,021	-	-
Current liabilities	64,033	103,297	62,639	101,277	-	-	151	2,021	-	-	1,259	-	64,049	103,298	(16)	(0)
Long-term liabilities	331,266	489,177	330,350	485,510	-	-	-	-	1,082	3,667	(166)	-	331,266	489,177	0	0
Liabilities	395,299	592,474	392,989	586,786	-	-	151	2,021	1,082	3,667	1,093	-	395,315	592,474	(16)	(0)
Members' equity	408,919	412,176	408,919	412,176	-	-	-	-	-	-	-	-	408,919	412,176	0	0
Liabilities and member's equity	804,218	1,004,650	801,908	998,962	-	-	151	2,021	1,082	3,667	1,093	-	804,234	1,004,650	(16)	0

Source: Management provided information

Note (1): Escrow accounts relate to cash held in escrow for closed acquisitions. Amounts were agreed to the audit. Refer to the Appendix – Balance sheet section for further details.

While deferred revenue is captured within short term liabilities, a portion is long-term given there are three and five year contracts.

Other reclassifications for Dec-20 include: (i) \$1.0 million of related party payables netted against other current assets in the trial balance; (ii) \$0.3 million related to prepaid permits from prepaids to accrued revenue; and (iii) \$0.2 million of capital lease liabilities between current and long-term.

The reclassification for Dec-21 is related to \$1.6 million of undeposited funds included within AR per the audit.

Reconciliations (3) – EBITDA [3] (before reclassifications) to EBITDA [3]

Potential adjustments - Reclasses															
	EBITDA, as potentially adjusted, before reclass			FSM health insurance reclass			Subcontractor reclass			Direct materials reclass			EBITDA, as potentially adjusted [3]		
	LTM			LTM			LTM			LTM			LTM		
\$'000	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22
Revenue, net															
Gross revenue	573,759	776,642	862,263	-	-	-	-	-	-	-	-	-	573,759	776,642	862,263
Adjustments to revenue	(11,322)	(14,693)	(16,567)	-	-	-	-	-	-	-	-	-	(11,322)	(14,693)	(16,567)
Revenue, net	562,437	761,949	845,696	-	-	-	-	-	-	-	-	-	562,437	761,949	845,696
Cost of goods sold															
Materials															
Direct materials	79,508	109,224	108,357	-	-	-	-	-	-	-	-	7,272	79,508	109,224	115,628
Job materials	15,570	18,458	33,729	-	-	-	-	-	-	-	-	(7,272)	15,570	18,458	26,458
Materials discount	(579)	(1,405)	(1,348)	-	-	-	-	-	-	-	-	-	(579)	(1,405)	(1,348)
Freight	1,771	4,659	3,536	-	-	-	-	-	-	-	-	-	1,771	4,659	3,536
Materials	96,270	130,937	144,273	-	-	-	-	-	-	-	-	-	96,270	130,937	144,273
Labor	153,093	207,118	230,712	-	-	-	-	-	-	-	-	-	153,093	207,118	230,712
Other cost of goods sold															
Subcontractors	14,996	20,463	21,719	-	-	-	-	-	446	-	-	-	14,996	20,463	22,165
All others	14,642	20,289	25,169	-	-	-	-	-	(446)	-	-	-	14,642	20,289	24,723
Other cost of goods sold	29,638	40,752	46,888	-	-	-	-	-	-	-	-	-	29,638	40,752	46,888
Cost of goods sold	279,000	378,806	421,874	-	-	-	-	-	-	-	-	-	279,000	378,806	421,874
Gross profit	283,437	383,143	423,823	-	-	-	-	-	-	-	-	-	283,437	383,143	423,823
Gross margin %	50.4%	50.3%	50.1%	-	-	-	-	-	-	-	-	-	50.4%	50.3%	50.1%
Operating expenses															
General & administrative	66,947	96,130	108,442	(128)	(508)	(301)	-	-	-	-	-	-	66,819	95,622	108,142
Depreciation & amortization	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payroll expenses	69,106	86,260	94,880	128	508	301	-	-	-	-	-	-	69,234	86,768	95,181
Marketing	51,243	78,355	82,000	-	-	-	-	-	-	-	-	-	51,243	78,355	82,000
Operating expenses	187,297	260,745	285,322	-	-	-	-	-	-	-	-	-	187,297	260,745	285,322
EBITDA	96,140	122,398	138,500	-	-	-	-	-	-	-	-	-	96,140	122,398	138,500
EBITDA margin %	17.1%	16.1%	16.4%	-	-	-	-	-	-	-	-	-	17.1%	16.1%	16.4%

Source: Management provided information

Note: Refer to Executive Summary – Company overview for a reconciliation from EBITDA [3] to EBITDA [4]

Direct materials include a correcting entry in the corporate function of \$2.0 million related to GRNI as the balance was not directly attributable to branches. We reflected a reclassification of this balance from corporate to the branches, having a net zero impact on a consolidated basis. Refer to *Quality of earnings – Management adjustments* and *Appendix – Basis of presentation* for additional information on GRNI.

As part of pro forma adjustments, we have proposed a reclassification from branches to corporate for the historical cost of positions that are included in corporate today, with no impact on a consolidated basis, to reflect comparable year over year costs. Refer to the *Appendix – Basis of presentation* for additional information on costs included in corporate vs. branches.

A

Certain employee health insurance and benefits related costs in FSM were recorded incorrectly in insurance expense prior to the full transition to Business Central; as such, we reclassified these balances to the employee benefits caption.

B

In YTD Jun-22, certain subcontractor costs were incorrectly categorized within other cost of goods sold.

C

As part of the transition to Business Central in YTD Jun-22, certain material expenses were incorrectly recorded to the consumable materials account. As such, we have reclassified these month-end adjustments to direct materials based on journal entries posted.

Reconciliations (4) – Payroll

The below table presents the reconciliation of compensation costs per the payroll registers to the total compensation per the adjusted income statement [4].

Payroll reconciliation to adjusted IS [4]												
\$'000	Brands with complete registers			Brands with partial registers			Brands with no pre-GW registers provided			Total compensation		
	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22	2020	2021	LTM Jun-22
Salaries and wages	99,317	127,860	137,615	6,511	5,622	5,869	3	4,682	10,226	105,830	138,164	153,710
Bonus	15,937	16,061	14,814	135	300	285	-	305	675	16,071	16,666	15,773
Commission	50,045	70,433	75,488	2,253	2,552	2,762	5	2,013	5,310	52,303	74,997	83,561
Pay for performance	5,564	16,781	24,422	-	1,455	2,353	0	465	1,937	5,565	18,701	28,711
Taxes	15,934	19,455	20,845	1,463	641	773	1	892	2,021	17,397	20,988	23,639
401ER	1,309	2,874	2,951	-	105	136	-	72	210	1,309	3,051	3,297
Total compensation	188,105	253,463	276,134	10,361	10,675	12,179	9	8,429	20,378	198,475	272,568	308,692
Reconciling items												
D Add: Periods with no registers										16,057	14,722	5,309
E Add: Change in prepaid commission										(2,744)	(1,966)	197
F Add: Benefits and other										8,486	10,903	11,796
Total compensation										220,274	296,227	325,994
Variance (\$)										733	(3,182)	(545)
Variance (%)										0.3%	(1.1%)	(0.2%)
Compensation [4]										221,007	293,045	325,449

Source: Management provided information

Note (1): Employees were classified to specific branches, brands, and departments based on the classification noted on the last payroll register for each month.

Note (2): Payroll costs presented are adjusted for non-recurring payroll amounts and pro forma personnel adjustments from the Quality of Earnings analysis.

A Brands with complete registers – Those in which payroll registers were obtained (both pre and post-acquisition) for the entire historical period from Jan-20 to Jun-22.

B Brands with partial registers – Those in which payroll registers were obtained for a portion of the pre-transition period.

C Brands with no pre-GW registers – Pre-acquisition legacy registers were not available, and only the post-transition period is presented.

Note: A reconciling item for the change in accrued payroll is not included as the Company records entries based on period end dates while the compensation presented above is based on pay dates. As such, the accrual period is shortened.

D Periods with no registers – Represents periods in which payroll registers were not available. Brands analyzed are classified into the following categories. We did not seek to estimate payroll costs for the periods in which registers were not available. Presented above includes a reconciling balance for brands per compensation expenses as pro forma adjusted [4].

E Change in prepaid commission – Represents commissions paid to CFIs in advance of job completion which result in monthly variances to expense recognition.

F Benefits and others – Represents benefits expense per the adjusted P&L [4] for expenses not included in the payroll register detail by employee, primarily relating to health insurance, and workers compensation.

- The information presented is primarily sourced from pre-acquisition payroll registers and post-integration payroll registers. Monthly costs were determined based on the payment date per register.
- Upon acquisition, there is a period of one to eight months in which the acquired business continues to utilize the legacy business payroll systems prior to transitioning to the Company's payroll processing. During the transition period, entries are uploaded to the general ledger by the Company's accounting team at month end. Refer to the *Appendix – Basis of presentation* for further details on the integration period in the historical period.

Reconciliations (5) – Trial balance to the Transaction level revenue

We reconciled the transaction level gross revenue to the trial balances, as presented below.

Trial balance to transaction database bridge - Gross revenue						
\$'000	2019	2020	2021	LTM Jun-22	YTD Jun-21	YTD Jun-22
Gross revenues, per TBs [1]	470,322	574,761	783,498	869,971	367,181	453,654
Less:						
1 Service plan revenue	-	(672)	(3,089)	(5,326)	(1,043)	(3,279)
2 Pre-acquisition management/QofE adjs. to revenue	4,809	459	(1,158)	(11)	(1,121)	27
Brands / branches entirely excluded from analysis						
3a A-1	(4,032)	(5,823)	(8,490)	(9,415)	(4,111)	(5,036)
3b Corporate	(2,419)	(1,002)	-	-	-	-
3c FSS	-	(5,057)	(6,814)	(9,535)	(3,079)	(5,800)
3d BAWV	-	(5,159)	(4,556)	(6,087)	(1,878)	(3,409)
3e CLS (Omaha)	(2,299)	(3,139)	(4,153)	(5,647)	(1,931)	(3,426)
3 Brands / branches entirely excluded from analysis	(8,750)	(20,179)	(24,013)	(30,685)	(10,999)	(17,671)
Brands / branches w/ pre-acq activity excluded from analysis						
4a CBS + FRWC + Peak	(31,551)	(1,187)	1,430	1,943	631	1,145
4b AG	(41,543)	(43,786)	374	287	689	602
4c DryPro	(20,551)	(24,002)	376	(456)	521	(312)
4d IBS	(11,122)	688	(951)	(458)	(988)	(495)
4 Brands / branches - pre-acq activity excluded from analysis	(104,768)	(68,288)	1,229	1,316	853	940
5 Reconciling variance - brands included across all periods	(5,225)	(5,686)	(3,716)	670	(3,698)	688
Gross revenue, per transaction database	356,389	480,395	752,750	835,936	351,173	434,359

Source: Management provided information

Note: For (4a) above, only 2019 pre-acquisition activity has been excluded from the analysis for these brands.

Basis of presentation

- The transaction data presented at left was sourced from the Company's CRM system, BizWiz, which tracks job-level revenue details. For purposes of the reconciliation, we have grouped certain branches together in similar geographies as the system tracks historical information by zip codes which can move between branches year over year resulting in offsetting variances between branches.
- Typically, the Company also works to layer in one year of pre-acquisition revenues into the system; however, given different pre-acquisition systems, details and accuracy of pre-acquisition revenue vary by acquisition.

Reconciling items relate to the following:

[1] Service revenue – The transaction dataset does not include service-related revenues.

[2] Pre-acquisition management / QofE adjs. to revenue – Represents *Quality of earnings* adjustments to revenue proposed by management or the Company's buy-side diligence provider, which are not reflected in this reconciliation.

[3/4] Brands / branches excluded from analysis – Due to the reallocation of zip codes between branches in regions with acquisitions, and limited pre-acquisition transactional data, we excluded all historical activity for certain branches [3] and the pre-acquisition activity for certain branches [4] from the transaction data presented.

[5] Reconciling variance - brands included across all periods – Represents reconciling variances between revenue per the trial balances vs. transactional data for branches included across all periods.

Appendix | Basis of presentation

DRAFT

3.6

Basis of presentation – Due diligence process

We were granted full access to management throughout the diligence process and did not encounter any significant limitations in performing the work outlined in the scope of procedures in the *Appendix* of this report.

Topic	Findings
Adjusted financial statement presentation	- Financial statements presented throughout this report are on a pro forma adjusted [4] basis, unless otherwise stated, for normalization and comparability purposes. Refer to the <i>Executive summary – Company overview</i> for an income statement bridge from Reported, incl. pre-acquisition [1] to Pro forma adjusted [4], and the following <i>Acquired business presentation</i> section for a reconciliation of EBITDA, as reported [0] to EBITDA, as reported incl. pre-acquisition [1]. - The financial statements presented throughout this report include the pre-acquisition results of the Company's thirteen acquisitions since Jan-20, as outlined on the following pages. Refer to the <i>Executive summary – Company overview</i> for details of acquisitions and acquisition dates.
Due diligence process	- Diligence was conducted over a series of in-person and virtual meetings, as well as various phone and email exchanges. Financial due diligence findings outlined throughout this report are for the period from Jan-20 through Jun-22. - We were granted full access to management throughout the diligence process and did not encounter any significant limitations in performing the work outlined in the scope of procedures in the <i>Appendix</i> of this report. - Buy-side financial diligence for all acquisitions of the Company, thirteen of which closed since Jan-20, was performed by Forvis, LLP (formerly known as Dixon Hughes Goodman LLP). We received the underlying buy-side diligence reports and data packs for all acquisitions (the "buy-side diligence reports") and held conversations with the Forvis LLP diligence teams on procedures performed. We performed our own assessment of the adjustments proposed in these reports, and agreed with all proposed diligence adjustments excluding diligence adjustments related to COVID-19 shutdown normalizations for consistency in presentation with the consolidated business, where no COVID-19 related normalizations were considered. - We independently assessed all pro forma adjustments from the buy-side diligence reports; as such, buy-side diligence proposed pro forma adjustments are not included in EBITDA [4]. Refer to the following <i>Acquired business presentation</i> section for discussion of the financial data presented in this report, which includes pre-acquisition financials obtained from the buy-side diligence reports, as well as "stub period" pre-acquisition financials (results between buy-side diligence reviewed periods and acquisition dates). - Based on access to financial data across all months of the historical period for all businesses, knowledge of each acquisition gained during reading of the buy-side diligence reports and detailed discussions with management and Forvis, LLP, we presented, to the best of our ability, a consistent mapping of pre- and post-acquisition financial information as shown throughout this report.

Basis of presentation (2) – Acquired businesses presentation

The table below presents an income statement bridge from Company reported results [0] to Reported, including pre-acquisition results [1], as presented throughout this report. Company reported results [0] were reconciled to the audited financial statements.

Topic	Findings														
Acquired businesses presentation	Income statement walk - Company reported [0] to Consolidated reported results [1]														
	2020					2021					LTM Jun-22				
	Company rpt results [0]	Pre-acq (Buy-sides)	Pre-acq (Buy-side adjs)	Pre-acq (Stubs)	2020 [1]	Company rpt results [0]	Pre-acq (Buy-sides)	Pre-acq (Buy-side adjs)	Pre-acq (Stubs)	2021 [1]	Company rpt results [0]	Pre-acq (Buy-sides)	Pre-acq (Buy-side adjs)	Pre-acq (Stubs)	LTM Jun-22 [1]
	Revenue, net														
	Gross revenue	361,684	198,368	(459)	15,167	574,761	666,461	100,927	1,158	14,952	783,498	803,445	49,442	11	17,074
	Adjustments to revenue	(10,394)	(3,560)	(439)	-	(14,393)	(13,549)	(1,668)	-	(213)	(15,430)	(16,351)	(897)	-	(297)
	Revenue, net	351,290	194,808	(898)	15,167	560,368	652,912	99,259	1,158	14,739	768,068	787,094	48,545	11	16,777
	Cost of goods sold														
	Materials	53,806	39,160	268	3,208	96,442	106,655	21,093	914	3,401	132,062	131,627	10,544	(37)	3,832
	Labor	95,474	52,925	841	3,608	152,847	176,562	27,633	218	4,500	208,913	214,810	12,631	424	4,937
	Other cost of goods sold	20,899	10,229	(2,321)	831	29,638	35,672	5,065	70	373	41,180	43,212	3,308	-	719
	Cost of goods sold	170,178	102,314	(1,212)	7,647	278,927	318,889	53,791	1,202	8,274	382,155	389,649	26,484	387	9,488
	Gross profit	181,112	92,494	314	7,521	281,441	334,024	45,468	(44)	6,465	385,914	397,445	22,060	(377)	7,289
	Gross margin %	51.6%	47.5%	n/a	49.6%	50.2%	51.2%	45.8%	n/a	43.9%	50.2%	50.5%	45.4%	n/a	43.4%
	Operating expenses														
	General & administrative	43,596	23,232	(276)	1,798	68,350	88,067	12,003	304	2,018	102,392	105,892	5,732	71	2,461
	Depreciation & amortization	68,057	3,090	-	172	71,319	93,425	833	-	72	94,330	108,886	543	-	89
	Payroll expenses	40,248	25,696	(1,449)	1,542	66,038	73,456	10,782	(778)	1,241	84,701	86,979	4,649	(258)	2,097
	Marketing	33,517	16,389	28	1,309	51,243	67,534	11,394	37	1,755	80,721	76,315	5,262	(93)	1,933
	Corporate OH allocations	0	-	-	-	0	-	-	-	-	-	60	-	-	-
	Operating expenses	185,419	68,407	(1,697)	4,822	256,951	322,483	35,012	(437)	5,087	362,144	378,133	16,186	(280)	6,581
	Operating income	(4,307)	24,087	2,011	2,699	24,490	11,541	10,457	394	1,379	23,770	19,312	5,874	(97)	708
	Operating margin %	(1.2)%	12.4%	n/a	17.8%	4.4%	1.8%	10.5%	n/a	9.4%	3.1%	2.5%	12.1%	n/a	4.2%
	Other (income) / expense	59,357	(5,332)	5,705	379	60,109	45,104	(1,711)	2,077	11,239	56,708	51,685	(152)	312	11,246
	Net income	(63,664)	29,419	(3,694)	2,320	(35,619)	(33,563)	12,168	(1,684)	(9,860)	(32,938)	(32,372)	6,026	(409)	(10,538)
	Net margin %	(18.1)%	15.1%	n/a	15.3%	(6.4)%	(5.1)%	12.3%	n/a	(66.9)%	(4.3)%	(4.1)%	12.4%	n/a	(62.8)%
	Reconciliation to EBITDA														
	Net income	(63,664)	29,419	(3,694)	2,320	(35,619)	(33,563)	12,168	(1,684)	(9,860)	(32,938)	(32,372)	6,026	(409)	(10,538)
	Interest, net	16,018	407	-	82	16,506	26,450	366	-	27	26,842	30,938	158	-	34
	Depreciation & amortization	68,057	3,090	-	172	71,319	93,425	833	-	72	94,330	108,886	543	-	89
	EBITDA	20,411	32,916	(3,694)	2,574	52,206	86,312	13,367	(1,684)	(9,761)	88,234	107,453	6,728	(409)	(10,415)
	EBITDA margin %	5.8%	16.9%	n/a	17.0%	9.3%	13.2%	13.5%	n/a	(66.2)%	11.5%	13.7%	13.9%	n/a	(62.1)%

Source: Management provided information; Note: EBITDA, as presented above, excludes all adjustments presented within Quality of earnings, including management, potential, and pro forma adjustments.

- The income statements presented throughout this report were derived from the Company's Business Central ERP system, buy-side diligence reports, and interim stub period data provided by management. The balance sheets presented in this report were derived from Business Central and do not include any pre-acquisition reported information.
- The above schedule presents a reconciliation from Company reported [0] to Reported incl. pre-acquisition [1] income statements presented throughout this report. The following defines the above columns, highlighting the various sources of information provided by management and our procedures performed to arrive at the financials presented:
 - Company reported results [0]* – The Company provided reported monthly trial balances from the Business Central ERP system which included all financial results under the Company's ownership (i.e., financials after the date of acquisition). Information presented was reconciled to the audited financial statements for 2020 and 2021. Refer to the *Appendix – Reconciliations and detailed procedures*.

Basis of presentation (3) – Acquired businesses presentation (2)

Topic	Findings
Acquired businesses presentation (continued)	▪ <i>Pre-acquisition (buy-sides)</i> – Monthly reported account level pre-acquisition financial statements were obtained from buy-side diligence reports for each acquisition. The FSM, Alpha, and Peak buy-side trial balances were provided by legal entity. While we understand branch-level tracking was maintained internally for revenue and sales, separate trial balances were not maintained by branch prior to acquisition. As such, we mapped pre-acquisition legal entity income statements to the largest branches based on post-acquisition results. All pre-acquisition trial balances were mapped to the Business Central chart of accounts for comparability across periods. ▪ <i>Pre-acquisition (buy-side adjustments)</i> – Represents diligence adjustments identified in buy-side diligence reports, excluding (i) COVID-19 normalization adjustments (totaling +\$1.8 million in 2020) and (ii) pro forma adjustments. Adjustments were reconciled to pre-acquisition diligence work completed and have been rolled forward through the acquisition date. ▪ <i>Pre-acquisition (stubs)</i> – Represents management provided income statement activity for the stub period, generally one to two months, between the buy-side diligence report and the acquisition date. Data provided primarily included (i) summary level income statements for the majority of acquisitions and (ii) account level data for recent acquisitions, specifically Alpha, Peak, FSS an BAWV. Data included the roll-forward of diligence adjustments and were provided by acquisition.
Acquisition onboarding	▪ The Company's finance and accounting team performs purchase accounting and onboards acquired branches onto Business Central, typically within 90 days of closing, while day-to-day accounting responsibilities remain at the branch. Prior to the Business Central implementation, each acquired business was maintained in a separate QuickBooks instance, with branch tracking. After the acquisition date, the Company maintains and manages branch-level financial statements using a consistent set of Business Central accounts. Certain businesses continued to track and bookkeep under the legacy system (usually QuickBooks), with the corporate finance team reviewing and manually uploading monthly results onto Business Central. ▪ The Company performs opening balance sheet procedures on each acquisition. Adjustments may be posted to goodwill within one year of the date of acquisition; thereafter, adjustments to the opening balance sheet, which we understand have been de minimis, are expensed to the income statement. These are de minimis, given opening balance sheet inventory is recognized at the lower of cost or net realizable value, changes in fixed assets have no impact on EBITDA, and any bad debt from the opening AR balances is generally identified within the year. ▪ Transition onto the Company's systems are generally completed on day one. Any variations for acquisitions are summarized below: ▪ BizWiz (Project management / CRM system): Each acquired entity records all CRM activity on the Company's existing platform on day 1 post-acquisition. The majority of acquired business operated on BizWiz prior to acquisition. ▪ Insurance: Each acquired entity is transferred onto the Company's business insurance policies on day one. Health insurance integration aligns with the payroll integration presented on the following page, with the exception of AFS, which remain on its pre-acquisition health insurance plan with no plan to integrate onto GW health insurance.

Basis of presentation (4) – Acquired businesses presentation (3)

Topic

Findings

Acquisition onboarding (continued)

General ledger system (Business Central): The following represents the source of information and the respective systems in the periods presented.

General ledger financial reporting transition matrix

\$'000	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21	Apr-21	May-21	Jun-21	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22
A-1	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS
FRWC	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
AFS						LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
FSM							LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
AG								LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
DryPro													LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
Baker's																		LS	LS	LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
ITG																				LS	LS	LS	LS	LS	LS	LS	BC	BC	BC	BC
BQ																								LS	LS	LS	BC	BC	BC	BC
Alpha																									LS	LS	LS	LS	BC	BC
CLS																									LS	BC	BC	BC	BC	BC
Peak																														
BAWV																														
FSS																														

Legend

Pre-acquisition due diligence period based on prior systems

LS Legacy general ledger system in a separate instance of QuickBooks

BC Business Central ERP system

Source (all): Management provided information

Note (1): Management has no plans to integrate A-1 into BC

Note (2): BAWV and FSS were acquired in Jul-22 and as such, the information presented in this report are obtained from the pre-acquisition due diligence based on prior systems. Refer to the Appendix – Acquisition and greenfield location summary for details on dates of acquisition.

Payroll & benefits (Workday):

Payroll transition matrix

\$'000	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21	Apr-21	May-21	Jun-21	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22
A-1	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
FRWC	LS	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-K	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
AFS							LS	LS	LS	LS	LS	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
FSM								LS	LS	LS	LS	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
AG													LS	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
DryPro													LS	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
Baker's																	LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
ITG																				LS	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W	GW-W
BQ																								LS	LS	GW-W	GW-W	GW-W	GW-W	GW-W
Alpha																									LS	GW-W	GW-W	GW-W	GW-W	GW-W
CLS																										LS	GW-W	GW-W	GW-W	GW-W
Peak																														
BAWV																														
FSS																														

Legend

Pre-acquisition due diligence period based on prior systems

LS Legacy payroll registers, not yet transitioned to Groundworks systems

GW-K Post-acquisition Groundworks payroll on Kronos

GW-W Post-acquisition Groundworks payroll on Workday

Note: BAWV and FSS were acquired in Jul-22 and as such, the information presented in this report are obtained from the pre-acquisition due diligence based on prior systems. Refer to the Appendix – Acquisition and greenfield location summary for details on dates of acquisition.

Basis of presentation (5) – Branch vs. corporate

The Company tracks income statement activity by branch and balance sheet activity on a consolidated basis, with certain subledger activity available by branch (including AR, AP, and inventory). Branch specific costs are recorded directly to branches, while corporate costs represent shared costs allocated to branches as outlined below.

Topic	Findings									
Branch vs. corporate tracking	Consolidating IS - Branch vs. Corporate [4]									
	\$'000	Branches	Corp.	2020	Branches	Corp.	2021	Branches	Corp.	LTM Jun-22
	Revenue, net									
	Gross revenue	573,759	-	573,759	776,642	(0)	776,642	862,263	(0)	862,263
	Adjustments to revenue	(11,322)	0	(11,322)	(14,693)	-	(14,693)	(16,567)	0	(16,567)
	Revenue, net	562,437	0	562,437	761,949	(0)	761,949	845,696	(0)	845,696
	Cost of goods sold	271,321	(374)	270,947	371,469	1,452	372,921	417,244	815	418,059
	Gross profit	291,116	374	291,490	390,480	(1,452)	389,028	428,453	(815)	427,637
	Gross margin %	51.8%	n.m.	51.8%	51.2%	n.m.	51.1%	50.7%	n.m.	50.6%
	Operating expenses									
	General & administrative	56,440	10,613	67,053	81,058	14,909	95,967	93,243	15,023	108,266
	Payroll expenses	49,584	18,330	67,914	59,655	26,273	85,928	64,016	30,720	94,737
	Marketing	51,350	-	51,350	77,051	-	77,051	81,370	30	81,399
	Opex, excl. corp. alloc.	157,375	28,943	186,318	217,764	41,181	258,945	238,629	45,773	284,402
	Corporate OH allocations	19,104	(19,104)	0	36,312	(36,312)	-	42,110	(42,050)	60
	Operating expenses	176,479	9,839	186,318	254,076	4,869	258,945	280,739	3,723	284,462
	EBITDA [4]	114,637	(9,465)	105,172	136,404	(6,321)	130,083	147,713	(4,538)	143,175
	EBITDA margin %	20.4%	n.m.	18.7%	17.9%	n.m.	17.1%	17.5%	n.m.	16.9%
Source: Management provided information										
▪ Branches – Represents a location with a physical facility and results tracked discretely. As of June 30, 2022, the Company had 50 branches, including two acquisitions completed in Jul-22 and Appomattox (which has been largely merged with Roanoke as of the date of this report), in addition to GW corporate and GSC.										
The following is a summary of expenses recorded between branches and corporate:										
▪ Cost of goods sold – Expenses are recorded directly to branches based on direct transactions and activities in the period. Corporate expenses are primarily rebates received and freight expenses. Activity between branches and GSC is recorded directly. ▪ General & administrative – G&A is primarily directly recorded to branches with the exception of the below items. Greenfield locations are only allocated costs after the initial three months of operations when staff and physical operations are established. ▪ Insurance expenses – Recorded directly to branches and corporate based on the policy coverage. Policy providers determine insurance premiums based on region. To the extent a region includes multiple branches, management allocates premiums to branches based on fleet size, number of employees, or percent of budgeted revenue. Loss Pick accruals are allocated based on branch premiums, and D&O and cyber related policies are recorded only at corporate. Monthly expenses are recorded directly to the P&L.										
▪ Corporate – Represents the Company's headquarters, certain shared personnel, and IT-related functions including BizWiz, as well as the Company's internal materials sourcing function, Groundworks Supply Center (GSC). Expenses are allocated based on a branch's percent of total monthly revenue for the prior month (prior to Jan-22, based on the previous quarter's revenue), and as described below. Management tracks corporate allocations in separate GL accounts within corporate OH allocations, as presented left, to view branch performance pre- and post-allocations. Refer to the following Branch vs. Corporate P&L in this section for a detailed breakout of expenses recorded at Corporate.										

Basis of presentation (6) – Branch vs. corporate (2)

Topic	Findings
Branch vs. corporate tracking (continued)	▪ General & administrative (continued) ▪ <i>Payroll expense</i> – Corporate management payroll expenses are initially recorded to corporate and allocated on a monthly basis to branches based on a percent of revenue. Divisional and regional VP and manager costs are initially recorded at corporate and allocated to the branches they manage based on revenue. ▪ <i>Marketing expense</i> – Personnel-related marketing costs are primarily recorded at corporate and allocated to the branches, similar to other overhead allocations (i.e. percentage of total revenue). Other marketing expenses are largely brand specific and allocated to branches within a brand based on percentage of total brand revenue; these expenses are recorded directly to the branch P&L (i.e. not captured within the corporate overhead allocation). Certain lead-driven spend is directly attributable to branches and is recorded directly to branches. ▪ <i>Other Opex</i> – Predominantly includes amortization, interest, training, IBNR, and hosting fees allocated based on revenue. ▪ Branch P&L reporting has evolved over the historical period as summarized below. Branch-level tracking was maintained internally for revenue and sales pre-acquisition. ▪ Greenfield locations – Greenfield locations represent adjacent service areas of existing locations where the Company opened a new physical location to expand its presence. Upon establishing a physical location, the Company creates a separate branch code within the GL. These typically include certain zip codes previously serviced by an existing branch; however historical activity remains under the existing branch until the new greenfield location's facility is operational, with the exception of Colorado Springs where historical activity was reclassified to the greenfield branch code. ▪ FSM – Pre-acquisition trial balances were not provided by location; as such, branch-level tracking began in Jul-20 after acquisition. ▪ CLS – Although the Omaha branch was an acquisition, this branch is treated as a greenfield location as this branch has had significant operational changes following acquisition. Refer to <i>Quality of earnings</i> for further details. ▪ Alpha – Pre-acquisition trial balances were not provided by location; as such, branch-level tracking began in Jan-22 after acquisition. As part of the update, the existing Orlando branch for the FFA brand was consolidated into Alpha's Orlando Sanford branch. ▪ Peak – Pre-acquisition trial balances were not provided by location. This acquisition services the Denver and Colorado Springs markets; as such, beginning Apr-22, post-acquisition operations were recorded in the existing Denver and Colorado Springs branches. ▪ Appomattox – This branch ceased operations in Jul-22. All resources and operations were shifted to Roanoke, and to a lesser extent, Chester and Manassas. Through Jun-22, this location is included in the branch count and is tracked and presented discretely.

Basis of presentation (7) – Branch vs. corporate (3)

Income statement - Branch vs. Corporate [4]																					
	Branches			Corporate			Consolidated			Branches, as % of consol. net revenue			Corporate, as % of consol. net revenue			Branches, as % of total			Corporate, as % of total		
	[A]			[B]			[C]									[A] / [C]			[B] / [C]		
	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	LTM	
\$'000	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22	2020	2021	Jun-22
Revenue, net	562,437	761,949	845,696	-	(0)	(0)	562,437	761,949	845,696	100.0%	100.0%	100.0%	-	(0.0)%	(0.0)%	100.0%	100.0%	100.0%	-	(0.0)%	(0.0)%
Cost of goods sold																					
Materials	89,221	124,787	140,635	(1,005)	264	(176)	88,216	125,051	140,459	15.9%	16.4%	16.6%	(0.2)%	0.0%	(0.0)%	101.1%	99.8%	100.1%	(1.1)%	0.2%	(0.1)%
Labor	152,483	205,935	229,755	610	1,182	957	153,093	207,118	230,712	27.1%	27.0%	27.2%	0.1%	0.2%	0.1%	99.6%	99.4%	99.6%	0.4%	0.6%	0.4%
Other cost of goods sold	29,617	40,747	46,854	21	5	34	29,638	40,752	46,888	5.3%	5.3%	5.5%	0.0%	0.0%	0.0%	99.9%	100.0%	99.9%	0.1%	0.0%	0.1%
Cost of goods sold	271,321	371,469	417,244	(374)	1,452	815	270,947	372,921	418,059	48.2%	48.8%	49.3%	(0.1)%	0.2%	0.1%	100.1%	99.6%	99.8%	(0.1)%	0.4%	0.2%
Gross profit	291,116	390,480	428,453	374	(1,452)	(815)	291,490	389,028	427,637	51.8%	51.2%	50.7%	0.1%	(0.2)%	(0.1)%	99.9%	100.4%	100.2%	0.1%	(0.4)%	(0.2)%
Gross margin %	51.8%	51.2%	50.7%	-	n.m.	n.m.	51.8%	51.1%	50.6%												
Operating expenses																					
General & administrative																					
Vehicle expenses	10,938	17,443	21,143	316	407	314	11,255	17,850	21,457	1.9%	2.3%	2.5%	0.1%	0.1%	0.0%	97.2%	97.7%	98.5%	2.8%	2.3%	1.5%
Occupancy costs	12,509	16,130	18,545	1,987	2,363	2,669	14,496	18,493	21,214	2.2%	2.1%	2.2%	0.4%	0.3%	0.3%	86.3%	87.2%	87.4%	13.7%	12.8%	12.6%
Insurance	5,943	11,076	14,025	872	1,227	422	6,816	12,303	14,447	1.1%	1.5%	1.7%	0.2%	0.2%	0.0%	87.2%	90.0%	97.1%	12.8%	10.0%	2.9%
Taxes & licenses	6,119	10,054	11,226	487	1,264	1,536	6,606	11,318	12,762	1.1%	1.3%	1.3%	0.1%	0.2%	0.2%	92.6%	88.8%	88.0%	7.4%	11.2%	12.0%
Office expenses	4,640	5,923	6,397	2,043	2,955	4,048	6,683	8,878	10,444	0.8%	0.8%	0.8%	0.4%	0.4%	0.5%	69.4%	66.7%	61.2%	30.6%	33.3%	38.8%
Tools & equipment	5,079	5,709	5,775	301	395	502	5,381	6,105	6,278	0.9%	0.7%	0.7%	0.1%	0.1%	0.1%	94.4%	93.5%	92.0%	5.6%	6.5%	8.0%
Other employee-related expense	2,762	4,046	4,619	2,442	2,958	1,913	5,203	7,004	6,532	0.5%	0.5%	0.5%	0.4%	0.4%	0.2%	53.1%	57.8%	70.7%	46.9%	42.2%	29.3%
Travel, meals, & entertainment	2,103	3,001	3,197	704	1,108	1,426	2,807	4,109	4,623	0.4%	0.4%	0.4%	0.1%	0.1%	0.2%	74.9%	73.0%	69.1%	25.1%	27.0%	30.9%
Bad debt expense	1,721	2,330	2,587	3	(0)	(0)	1,724	2,330	2,587	0.3%	0.3%	0.3%	0.0%	(0.0)%	(0.0)%	99.8%	100.0%	100.0%	0.2%	(0.0)%	(0.0)%
Shipping / freight	1,534	3,050	3,619	7	10	152	1,540	3,060	3,771	0.3%	0.4%	0.4%	0.0%	0.0%	0.0%	99.6%	99.7%	96.0%	0.4%	0.3%	4.0%
Professional fees	1,109	1,297	1,295	1,116	1,443	1,801	2,225	2,739	3,096	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	49.9%	47.3%	41.8%	50.1%	52.7%	58.2%
Other G&A expenses	1,983	998	816	336	779	239	2,319	1,777	1,055	0.4%	0.1%	0.1%	0.1%	0.1%	0.0%	85.5%	56.2%	77.3%	14.5%	43.8%	22.7%
General & administrative	56,440	81,058	93,243	10,613	14,909	15,023	67,053	95,967	108,266	10.0%	10.6%	11.0%	1.9%	2.0%	1.8%	84.2%	84.5%	86.1%	15.8%	15.5%	13.9%
Depreciation & amortization	(0)	0	(0)	(0)	0	0	(0)	0	(0)	(0.0)%	0.0%	(0.0)%	(0.0)%	0.0%	0.0%	8.6%	98.9%	106.9%	91.4%	1.1%	(6.9)%
Payroll expenses	49,584	59,655	64,016	18,330	26,273	30,720	67,914	85,928	94,737	8.8%	7.8%	7.6%	3.3%	3.4%	3.6%	73.0%	69.4%	67.6%	27.0%	30.6%	32.4%
Marketing	51,350	77,051	81,370	-	-	30	51,350	77,051	81,399	9.1%	10.1%	9.6%	-	-	0.0%	100.0%	100.0%	100.0%	-	-	0.0%
Opex, excl. corp. allocations	157,375	217,764	238,629	28,943	41,181	45,773	186,318	258,945	284,402	28.0%	28.6%	28.2%	5.1%	5.4%	5.4%	84.5%	84.1%	83.9%	15.5%	15.9%	16.1%
Corporate OH allocations	19,104	36,312	42,110	(19,104)	(36,312)	(42,050)	0	-	60	3.4%	4.8%	5.0%	(3.4)%	(4.8)%	(5.0)%	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Operating expenses	176,479	254,076	280,739	9,839	4,869	3,723	186,318	258,945	284,462	31.4%	33.3%	33.2%	1.7%	0.6%	0.4%	94.7%	98.1%	98.7%	5.3%	1.9%	1.3%
EBITDA [4]	114,637	136,404	147,713	(9,465)	(6,321)	(4,538)	105,172	130,083	143,175	20.4%	17.9%	17.5%	(1.7)%	(0.8)%	(0.5)%	109.0%	104.9%	103.2%	(9.0)%	(4.9)%	(3.2)%
EBITDA margin %	20.4%	17.9%	17.5%	-	n.m.	n.m.	18.7%	17.1%	16.9%												

Source: Management provided information

A

Insurance cost remaining in corporate includes the Quality of earnings adjustment which has not been allocated to branches.

B

The Company changed the shipping / freight tracking methodology in 2022 whereby historically freight was charged through GSC to branches, with an offsetting contra-expense, as included in COGS. In 2022, costs were directly recorded to the branch.

C

Remaining operating expense are recorded direct to branches which are directly attributable. Remaining costs in GW corporate are allocated as part of the Corporate OH allocations monthly based on percentage of prior month's total monthly revenue.

Remaining expenses in Corporate in YTD Jun-22 predominantly relate to GSC expenses and QofE adjustments (insurance expense and personnel reclassifications) which are not allocated to branches. Further, in 2020 and 2021, the Company had a different allocation methodology whereby BizWiz and certain GSC expenses were not allocated, but are allocated beginning in 2022.

Basis of presentation (8) – Accounting overview

The financial statements are audited for 2020 and 2021 (unqualified opinions) and presented in accordance with US GAAP.

Topic	Findings
Audit / US GAAP financials	- Financial statements for the Company were audited by Grant Thornton LLP ('GT' or 'auditor') for 2020 and 2021, each with an unqualified opinion. - The Company prepares its results in accordance with US GAAP. Certain non-cash US GAAP accruals are recorded annually, including stock compensation, and accordingly no expense is captured on a monthly basis.
Revenue recognition	- Revenue is generated predominantly from production jobs, primarily for foundation repair and water management solutions and services, and service revenue, including service appointments and multi-year plans spanning 1 to 5 years. Production revenue - Recognized under the completed contract method upon job completion, as tracked within BizWiz. Completed jobs are identified by the job end dates (determined by "Stamped Complete" by the sales manager) in the month of reporting from the "Completed Status Report". Certain jobs are made up of multiple projects; however, (i) the span of each project is 1-3 days on average, (ii) projects are typically performed concurrently, and (iii) no revenue is recognized until all projects within a job are complete. - Customer deposits of 25% to 30% of the contracted job amount are typically required at the time of signing. These deposits are captured within deferred revenue on the balance sheet and are recognized upon job completion. We understand the timing between customer deposit receipt and job completion is typically two months or less. - Given the short job duration, we understand there would be a limited timing impact if revenue were to be recognized on a percentage of completion basis. The Company's auditors review an analysis performed by management on in process jobs at each fiscal year end and reflect the amount quantified as a passed audit adjustment; refer to the <i>Quality of earnings – Other considerations</i> section for an estimated quantification of the impact to revenue under ASC 606 – Revenue recognition. - Job materials expense are also recognized upon job completion, consistent with production revenue recognition, including specific third-party contractor costs (such as plumbing, electricians, etc.), labor, and commissions expense for open jobs at period-end. - We understand processing expenses and labor associated with the assembly of BOM products and galvanizing pipes, primarily incurred at GSC, are not capitalized to inventory; however we understand the expense is limited as the process is simple and relatively short (on average completed the same day). Service revenue – For proactive appointments, a flat fee is charged, and revenue is recognized at the time of the service appointment when service is complete, which is typically the same day. Service plan revenue is collected in full upfront and recognized ratably over the service period (primarily three and five year terms and to a lesser extent one year). Service plan revenue was \$0.7 million in 2020, \$3.1 million in 2021, and \$5.3 million LTM Jun-22. Ancillary revenue – Primarily relating to plumbing jobs at A-1, revenue and expenses are recognized at the time of service completion and invoicing, which on average is completed on the same day of service.

Basis of presentation (9) – Accounting overview (2)

Topic	Findings
Accounting policy changes	▪ Inventory – Following the ERP change in Feb-22, the Company began to value inventory utilizing the weighted average cost method. Prior to this, we understand the Company utilized the last cost methodology, which typically approximates the first-in, first-out (FIFO) method. Inventory is largely comprised of finished goods materials costs. Refer to the following <i>Financial systems</i> for discussion of the impacts of this change. ▪ Leases – The Company implemented ASC 842 – Leases, in 2022 which required the Company to capitalize operating leases greater than 12 months on the balance sheet. Previously, the Company recorded rent / lease expense in a combination of cash and straight-line. In 2022, the Company also began to capitalize certain small tools leasing arrangements based on capitalization thresholds achieved via bulk purchases, as discussed within the <i>Quality of earnings</i>. ▪ Refer to the <i>Appendix – Income statement overview</i> and <i>Appendix – Balance sheet</i> sections of this report for additional information on accounting policies relevant to the various financials statement captions.

Basis of presentation (10) – Related parties

While the Company has related party activity, management indicated all transactions are performed at arms-length.

Topic	Findings
Related parties	▪ The Company noted all related party transactions are completed at arms-length at market rates. Further, the Company reports to external investors outside of those with a related party relationship, and as such, has an obligation to transact at arms-length. Below is a summary of related party relationships: ▪ Leases – The Company leases certain facilities from related parties, including (i) former founders of acquired entities who are now consultants or investors in the Company, and (ii) Succession Capital Partners (“SCP”), a minority shareholder of the Company. As of Jun-22, there are 24 active leases with related parties. We understand all leases to be at market rates. ▪ Succession Capital Partners – Certain executives of the Company are partners at SCP, including the following. These individuals’ compensation, which we understand to be at market rates, are fully burdened in adjusted EBITDA [4] as presented in this report. ▪ Matt Malone, CEO at Groundworks and Managing Partner at SCP; ▪ Steve Frey, CFO at Groundworks and Partner at SCP; ▪ Kim McDonald, CSO at Groundworks and Partner at SCP; and ▪ James (Jimmy) Flowers, Director of Real Estate at Groundworks and Partner at SCP. ▪ Transaction fees – The Company pays transaction fees for each of its acquisitions to the two main shareholders. Additionally, management fees of 1% of revenue up to \$750,000 annually, plus out of pocket expenses are paid to the majority shareholder. ▪ Referral fees – Referral fees may be paid to individuals who assist in introduction to add-on acquisition targets that successfully close. These have historically been paid to former owners of acquired businesses and other investors in the Company. ▪ Consulting fees / former owner benefits payments – Amounts are paid to former owners that have become investors in the Company for assistance in certain transition-related activities of the business, and in certain cases being available to appear in marketing content specific to the service area. Management adjustments include \$1.8 million of payments made to former owners in LTM Jun-22; refer to <i>Quality of earnings</i> for more detail. ▪ Leasing bonuses – James Flowers and his team have historically provided support in locating and negotiating real estate leases, for which a fee for each completed lease is paid. Prior to becoming Director of Real Estate at the Company in Nov-20, he was paid bonuses through his consulting company; after becoming an employee, certain payments continue to be made to his consulting company to compensate two associates assisting him in his duties at the Company.

Basis of presentation (11) – Finance organization

The Company's finance and accounting departments are largely centralized, with limited support provided in each market focused on AR / collections and sales operations support.

Entity	Findings																																												
Financial organization	Steve Frey CFO Kelly Rich VP of Finance Rose Pereira Sr. Dir. Finance Tricia Morgan Sr. Controller Libi Henley Controller Laura Stokes DFO (West) Jenni Kuhlers DFO (East) Marcus Ladd DFO (South) <table><tr><th colspan="4">Finance organization (as of Jun-22)</th></tr><tr><th>#count</th><th>Corp.</th><th>Branch</th><th>Total</th></tr><tr><td>Chief Financial Officer</td><td>1</td><td>-</td><td>1</td></tr><tr><td>Vice President of Finance</td><td>1</td><td>-</td><td>1</td></tr><tr><td>Senior Director of Finance</td><td>1</td><td>-</td><td>1</td></tr><tr><td>Controllers</td><td>2</td><td>-</td><td>2</td></tr><tr><td>Division Finance Officers</td><td>3</td><td>-</td><td>3</td></tr><tr><td>Sr. Accountants / Accountants</td><td>4</td><td>13</td><td>17</td></tr><tr><td>AP Manager / Specialists</td><td>6</td><td>-</td><td>6</td></tr><tr><td>Others</td><td>3</td><td>5</td><td>8</td></tr><tr><td>Total</td><td>21</td><td>18</td><td>39</td></tr></table> Source (all): Management provided information - The finance and accounting function is largely centralized at the corporate headquarters in Virginia Beach, VA, and is primarily comprised of four main divisions: Finance, Supply Chain, Engineering and Real Estate, all of which report to Steve Frey, CFO. - The finance function is comprised of the following four departments, all of which fall under Steve Frey, CFO, hired in Jan-20 but who operated in a CFO capacity as an external consultant previously, and is supported by Kelly Rich, VP Finance, hired in Jan-21 replacing the former VP Finance. Corporate accounting – Comprised of two Controllers with key responsibilities outlined below: - Senior Controller (Sep-15) – Manages the Company’s corporate reporting, including consolidation entries, payroll, allocations, and all branch reporting to the corporate team; and - Controller (Feb-15) – Primarily focuses on acquisition post-merger integration activity, ERP implementation, and accounts receivable. Corporate finance – Led by the Senior Director of Finance hired in Jun-21. Responsibilities include external bank reporting, managing indirect procurement such as credit cards, IT spend, tax, PPJ, commissions tracking, treasury, and the annual audit and budget processes. Operations finance – Divisional reporting structure was expanded in Q4-21 in support of the regional reporting structure and is led by Divisional Finance Officers, supported by branch accounting and administrative personnel. Branch support is primarily operations focused and is responsible for branch reporting, in addition to MD&A analysis, budgeting and forecasting, AR tracking and bad debt reporting, sales forecasting, and processing and reviewing field personnel account change requests. - Field-level employees are key to driving a portion of branch-level accounting based on job status reporting; (e.g., CFIs are responsible for tracking project sales that drive revenue recognition as well as collections, but do not have the ability to record entries). Accounts payable – Centralized in Virginia Beach, this function handles all vendor payments, including reconciliations of credit card statements. Led by the AP Manager, the department reports directly to the VP of Finance. We understand the Company is in process of automating certain AP functions and may reduce headcount in the near future. - External support includes Wall, Einhorn & Chernitzer, P.C. for tax preparation services, Forvis for audited financial statement footnote preparation, and Grant Thornton for annual audits. - The GSC team is primarily focused on materials procurement, including month-end inventory counts and tracking of the subledger for the GSC Rosewood location.	Finance organization (as of Jun-22)				#count	Corp.	Branch	Total	Chief Financial Officer	1	-	1	Vice President of Finance	1	-	1	Senior Director of Finance	1	-	1	Controllers	2	-	2	Division Finance Officers	3	-	3	Sr. Accountants / Accountants	4	13	17	AP Manager / Specialists	6	-	6	Others	3	5	8	Total	21	18	39
	Finance organization (as of Jun-22)																																												
#count	Corp.	Branch	Total																																										
Chief Financial Officer	1	-	1																																										
Vice President of Finance	1	-	1																																										
Senior Director of Finance	1	-	1																																										
Controllers	2	-	2																																										
Division Finance Officers	3	-	3																																										
Sr. Accountants / Accountants	4	13	17																																										
AP Manager / Specialists	6	-	6																																										
Others	3	5	8																																										
Total	21	18	39																																										

Basis of presentation (12) – Close process

The Company typically closes its books within 11 business days of month-end at the branch and corporate levels.

Entity	Findings
Close process	▪ The Company performs a hard monthly close, typically finalized within eleven business days of month-end, at which time the financial package is reviewed by the management team. ▪ Timing of close procedures include: ▪ <i>By Day 3</i> – Branches perform close procedures, which include (i) the review and approval of BizWiz workflows, driving revenue recognition, (ii) AR reconciliations and collections, (iii) inventory counts on the last day of the month, and (iv) submission of all vendor invoices. ▪ <i>By Day 5</i> – Accounts payable are complete; ▪ <i>Day 5 to close</i> – Corporate accounting team begins to perform bank reconciliations, records entries for prepaids, accruals, allowance for doubtful accounts, and performs manual consolidations. Corporate overhead and payroll allocations to branches are calculated and recorded. ▪ Insurance expenses are generally held in overall policies, for which a breakdown of expenses is calculated by region or by state as provided from the insurance provider, and further recorded to branches based on fleet count, employee count, and proportion of premium. These insurance expenses are recorded directly to the branches (rather than recorded at corporate and allocated via the corporate allocation), while Corporate insurance policies such as D&O are recorded at corporate. ▪ Management indicated limited differences between month-end, quarter-end, and year-end close processes which are not anticipated to drive impacts on an adjusted basis. At quarter-end, the Company adjusts material differences between accruals and actuals such as bonus and vendor rebates, and prepares MD&A and compliance agreement calculations. At year-end, true-ups are recognized for annual bonuses, stock compensation expense, bad debt write-offs, and audit related entries (as applicable). ▪ The majority of journal entries are recorded manually, and are reviewed as part of the close process on a monthly basis; management noted systematic entries in Business Central are currently limited to revenue, materials expense, inventory and AR. ▪ The majority of intercompany activity is related to the centralized purchasing of inventory at GSC. Management noted that inventory is transferred at cost (i.e. an equivalent material expense and contra-expense is recorded at the branch, with no AR and AP impact) in the historical period (i.e. no margin is made at GSC). GSC historically recorded a margin on branch transfers up to Q1-20; however, this margin is eliminated in the P&Ls presented.

Basis of presentation (13) – Financial systems

The Company transitioned from QuickBooks to the Microsoft's Business Central ERP system in 2022 in order to better scale for future growth and improve reporting functionality.

Topic	Findings
Business Central	- Utilized as the Company's ERP and general ledger accounting system for financial reporting. The transition to Business Central from QuickBooks was completed in Feb-22. The Company retroactively loaded 2020 financial data into Business Central, and ran the general ledger in parallel under both systems until Feb-22. - As a result of the Business Central implementation, the Company recorded certain correcting entries, as summarized below. Inventory valuation – As a result of the change from last direct cost to weighted average cost ("WAC") methodology, the Jan-22 month-end inventory was revalued on February 1st, 2022. The Company loaded historical purchases into Business Central which systematically calculated the weighted average cost as of Jan-22 based on historical quantities and purchase costs. At the same time, a SKU consolidation exercise was performed to combine all like SKUs to conform to a single unique SKU across all branches, including the use of pre-acquisition SKU identifiers. While we understand there was initially a \$2.9 million variance (lower inventory) immediately upon transition (increasing materials costs at GSC), management noted this was primarily due to (i) certain SKUs not being captured in the initial subledger upload but that were subsequently added and included in the Feb-22 inventory count (offsetting material costs at a branch level) and (ii) dated purchases detail was utilized for the initial upload resulting in understated prices (which was offset by inventory being revalued as additional purchases were made in Feb-22 and subsequent months). As part of ensuring the accuracy of the inventory calculation in Business Central, the Company engaged RSM US to perform accuracy and controls testing over the system. As part of diligence, to support proper LTM Jun-22 cut-off, we obtained historical GSC purchases and noted (i) inventory at Jun-22 largely aligned with recent historical purchases and (ii) purchase costs in L3M Jun-21 were largely flat (i.e. last direct cost would have approximated WAC). Refer to the following <i>Inventory valuation</i> section for additional details Goods received not invoiced (GRNI) – Separate tracking began in Feb-22; however, due to procedural changes, certain invoices paid were not matched to open purchase orders (POs) which resulted in duplicative accrued expense and materials expense recorded in YTD Jun-22. The Company performed a detailed review in May-22 and Sep-22 to match all open POs to invoices paid, in addition to confirming unpaid balances with vendors and recorded \$4.4 million of adjustments (which are reflected within the financials within this report). Management has since implemented procedures requiring that vendor payments and accounts payable entries can no longer be recorded without a matched open purchase order in the system. Refer to <i>Quality of earnings</i> for further details. Accounts receivable – As a result of unmatched customer payments to outstanding invoices in Business Central as part of the ERP implementation, the Company recorded duplicative revenue in Feb-22, and accordingly, overstated the AFDA balance and bad debt as existing outstanding invoices aged past 60 days through YTD April-22. The Company performed a detailed review in Jun-22 of the outstanding balances, and matched the outstanding receivables to payments collected resulted in a reclassification from bad debt expense to revenue in Jun-22. As such, the YTD Jun-22 P&L and Jun-22 balances were corrected with no LTM Jun-22 impact. Sales tax accrual – Transfer order activity from GSC to branches were inadvertently excluded from the sales tax accrual calculations resulting in under accrued sales tax expenses and corresponding accrual in YTD Jun-22. The Company identified all specific transfer orders from GSC to branches that were excluded in the accrual calculation and recorded a \$0.4 million correcting entry for the liability and expense as of Jun-22 in the respective monthly periods.

Basis of presentation (14) – Financial systems (2)

Topic	Findings
BizWiz	▪ BizWiz is an internally developed system used as the Company's CRM, and also provides workflow scheduling and tracking that drives revenue recognition, AR & collections, and certain job costing fields, including commissions, field-level pay-per-job or pay-for-performance bonuses (PPJ). ▪ Job level revenue is primarily tracked in this system, including project types, project start and end dates, contract details, upsells and descopes, field and sales manager approvals, customer information, branch details, and financed vs non-financed revenue. ▪ BizWiz software capabilities were previously sold to third parties; however, beginning in 2020, the Company terminated all third party sales. Several acquired branches were previously using the BizWiz system, and as such upon transition to the Company, have historical transaction information available in a similar format. ▪ The Company incurred certain software development costs to build out capabilities of the software and these have historically been capitalized on the balance sheet. The Company has both in-house developers in the corporate function in Virginia Beach, as well as a third-party support from Colan, a company based in India. Third party expenses for specific projects are capitalized while remaining expenses are expensed as incurred, while two internal IT employee costs were capitalized to the balance sheet in the historical period. Internal IT labor capex was \$0.2 million and \$0.25 million in 2021 and LTM Jun-22.
Workday & One Source Virtual (OSV)	▪ Workday is leveraged as the Company's HR system for personnel management. One Source Virtual is utilized as the payroll processor. ▪ The Company previously utilized Kronos in 2020 for both HR management and payroll processing.
Microsoft Access	▪ Utilized as the Company's primary database management system. Information from BizWiz is imported into Access for ease of data retrieval and KPI dashboards. Licensing is managed through a third party, RSM US, which functions as a reseller.

Basis of presentation (15) – Financial systems (3) - *Inventory valuation*

Inventory valuation analysis																							
															Inv. as of Jan-22		Inv. as of Jun-22						
															Per unit (per BC)	WAC (avg purch.)	Per unit (per BS)	WAC (avg purch.)	As reported	% coverage			
Average purchase price												Average Price - Jun-22											
S'000s	BC SKU	Ⓐ	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Jun-22	Ⓑ	L3M	L6M	LTM	Vaue	Jan-22	Jun-22	Ⓒ	Jun-22	Jun-22	Jun-22
MPP-3036-BRO	113036		-	-	-	-	-	98.8	98.8	87.3	87.3	89.0		87.9	92.2	92.2	81.1	-	89.0		88.0	2,096.6	4.7%
220107	220107		708.1	708.3	702.5	702.4	733.3	743.7	734.2	741.7	799.6	790.1		777.2	757.1	724.7	741.3	712.5	764.5		788.8	1,803.5	4.0%
MPP-0359-IMG	100359		-	-	-	-	-	28.9	29.5	29.5	29.5	29.1		29.4	29.3	29.3	18.8	-	23.2		29.5	1,562.4	3.5%
MSU-3049-GLE	103049		383.4	383.4	383.4	383.4	383.4	383.4	389.2	398.9	398.0	398.9		398.6	392.0	385.4	384.5	383.4	395.0		398.7	862.8	1.9%
MWR-3375-RPI	103375		960.0	960.0	960.0	960.0	960.0	960.0	960.0	960.0	960.0	960.0		960.0	960.0	960.0	960.0	960.0	959.9		960.0	591.5	1.3%
MSU-1506-GLE	101506		-	89.8	89.8	89.8	89.8	89.8	89.8	94.1	94.1	94.1		94.1	92.6	89.9	80.2	89.8	91.4		94.1	570.0	1.3%
MWR-0116-GPT	100116		24.4	24.5	24.8	24.9	24.9	24.9	24.9	24.9	24.9	24.9		24.9	24.9	24.7	22.8	24.9	23.5		24.9	547.3	1.2%
MSU-0405-ISB	120405		158.3	158.3	158.3	158.3	146.1	145.0	147.8	155.7	151.1	154.9		153.9	150.1	154.2	154.1	150.8	154.5		153.9	543.9	1.2%
MEN-0082-REE	100082		317.3	324.1	334.2	333.9	333.9	333.9	333.9	333.9	333.9	333.9		333.9	333.9	326.8	333.4	334.0	333.7		333.9	534.9	1.2%
MHP-0039-GPT	100039		70.7	80.6	80.6	80.6	-	80.6	72.1	72.1	72.1	78.9		74.4	75.2	75.2	56.2	80.6	71.9		76.3	506.3	1.1%
MPP-0346-IMG	100346		-	-	-	-	-	16.3	-	-	17.3	16.4		16.8	16.6	16.6	15.2	-	16.0		17.0	483.5	1.1%
MEN-0091-TPI	120091		78.7	82.6	82.6	-	86.6	86.6	-	86.6	91.0	-		88.8	87.7	83.2	75.0	84.6	82.9		88.8	474.5	1.1%
MWM-0211-NDS	100211		2.9	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.4	3.3		3.4	3.3	3.1	3.3	3.3	7.9		3.4	445.4	1.0%
MWR-1301-GPT	101301		39.5	43.6	43.7	45.3	48.8	49.7	48.2	42.2	42.2	42.3		42.2	45.6	44.3	43.8	45.3	44.4		42.2	409.7	0.9%
MJK-0140-WHE	120140		69.5	68.3	79.6	68.3	85.8	68.3	75.3	69.9	75.1	65.8		70.3	73.4	71.8	75.3	52.0	70.4		70.5	409.2	0.9%
MJK-0147-EZC	100147		36.6	36.6	-	36.6	36.6	37.6	38.0	38.0	38.0	38.0		38.0	37.7	37.2	37.9	36.6	37.9		38.0	408.3	0.9%
200113	200113		-	2.4	2.5	-	-	-	-	-	-	2.8		2.8	2.8	2.5	2.0	2.5	4.5		2.8	391.8	0.9%
MWM-0068-LBP	120068		11.3	12.4	12.4	12.2	11.7	12.2	12.4	12.5	12.8	12.9		12.7	12.4	12.2	11.8	12.4	12.5		12.6	377.8	0.8%
MPP-3161-GPT	103161		26.8	26.8	26.8	26.4	26.8	26.3	26.8	26.8	26.8	27.8		27.1	26.9	26.4	24.5	26.4	26.2		27.0	368.0	0.8%
200036	200036		-	66.0	-	66.0	98.3	98.3	98.3	103.8	100.5	103.8		102.7	100.5	89.4	82.9	85.4	96.1		103.1	362.8	0.8%
Top 20			64.0	36.6	47.5	58.6	72.3	47.7	84.9	81.1	62.6	39.9		61.2	64.7	55.9						13,750.1	30.7%
Others			18.0	13.6	25.2	15.9	22.7	23.0	27.3	16.7	19.5	20.4		18.9	21.6	19.9						23,373.6	52.3%
Total			22.0	17.1	29.7	22.2	29.2	26.9	34.9	23.8	25.7	24.1		24.6	27.5	24.8						37,123.7	83.0%
Inventory not in purchase data																						6,265.7	14.0%
Reconciling items																						1,329.3	3.0%
Total inventory																						44,718.7	100.0%

Source: Management provided information

Note: Inventory not in purchase data predominantly relates to pre-merger inventory, consumable purchases and add-ons which were not included in the purchases GSC. Other reconciling items predominantly relate to inventory that had negative inventory values and A-1 inventory not included in purchases from GSC.

A Based on purchases in the L4M Dec-21, average purchase prices for the top 20 purchased SKUs are fairly stable, with limited price movements. As such, any price movements would largely align with the prices at period end, with monthly fluctuations.

B Based on the average L3M Jan-22 and L3M Jun-22 purchases, inventory appeared to largely approximate the inventory value per Business Central.

Based on monthly average purchase prices in YTD Jun-22, inventory prices appear to be accurately stated at Jun-22.

Given the Company's average DOH is three to four months and the Company performs monthly inventory counts, (i) the inventory as of Jan-22 was trued up from Feb-22 to Jun-22 through the month over month consumption of inventory; (ii) the Business Central per unit inventory value would have been trued up through the monthly weighted average revaluation in YTD Jun-22; and (iii) the materials expense would only result in monthly cost fluctuations.

Basis of presentation (16) – Order-to-cash

The Company historically maintained a 60 day sales cycle from appointment to installation, with projects averaging 1-3 days. 83% of qualified leads result in booked appointments, and 32% result in a job sold (net close rate on issued leads) in LTM Jun-22.

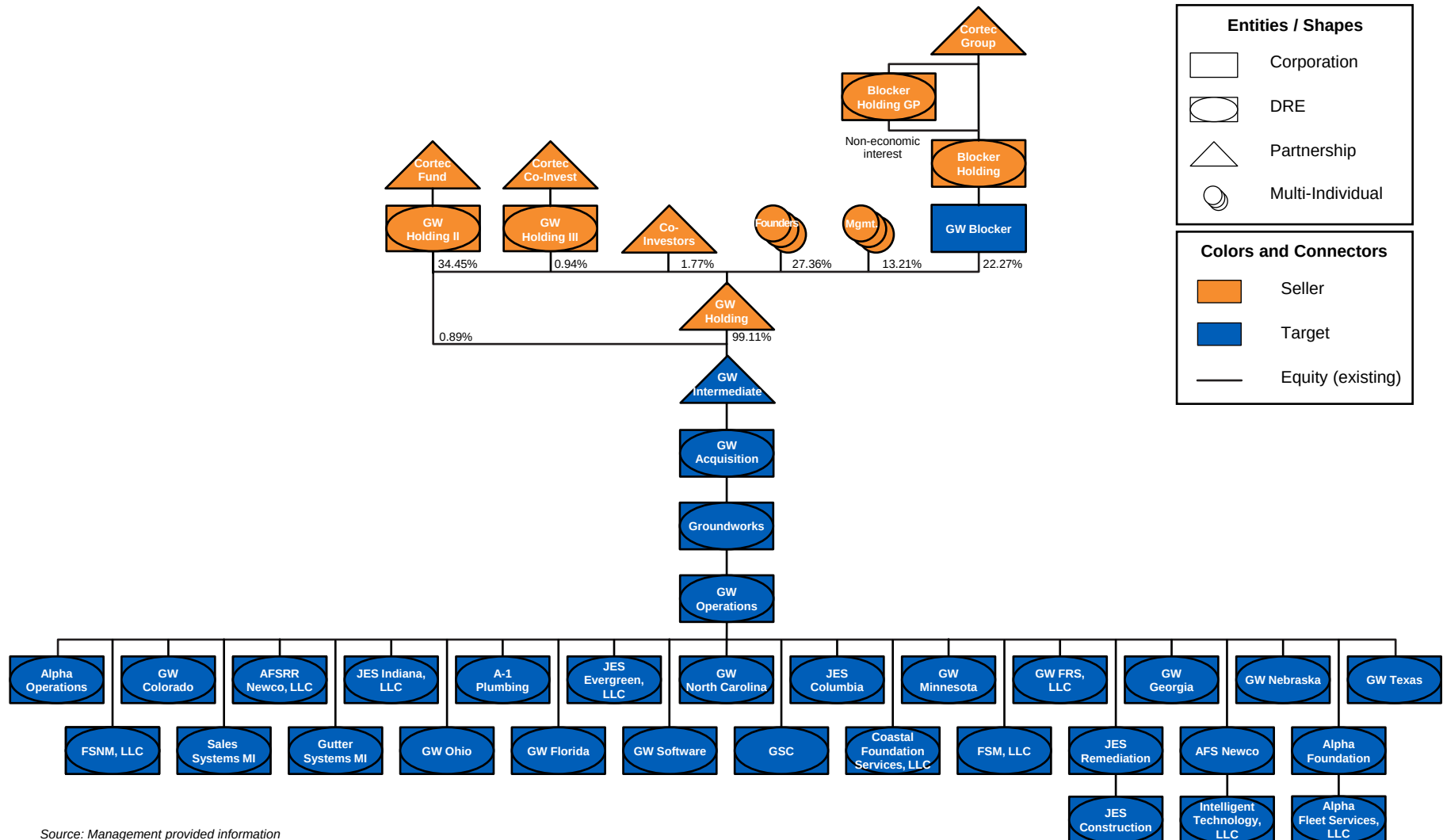
	Topic	Findings
Outlined below are the sales and accounting processes and steps typically performed to execute a production transaction, provide the products and services, and recognize revenue, expense, assets, and liabilities in the Company's financial statements. Metrics quoted are based on LTM Jun-22.		
1	Lead generation and initial customer appointment	The Company's leads are generated via multiple inbound and outbound channels. Sales are generated through four key channels – (i) core sales which are primarily marketing driven leads, (ii) self-generated sales direct from sales representatives without the use of marketing spend, (iii) production sales generated by foremen on-site prior to installation; and (iv) service sales generated from proactive and reactive appointments. When a lead is first generated it is "qualified" to ensure the Company provides the services requested, the lead is within the Company's service area, and the lead is not a duplicate (e.g. customer fills out form on Home Advisor, then fills out a form directly on Company's website). Approximately 83% of qualified leads result in an appointment booked, and approximately 67% of qualified leads result in an appointment run and dispositioned by a salesperson (i.e. a unique issued lead). - Appointment – Customers contact the Company and schedule a sales appointment. A CFI or sales representative will create a contract including estimated pricing and go over terms that make up the work order during the appointment. Upon agreement of terms of the contract and issuance of the appointment, the CFI enters the specific quote information into BizWiz based on discussions with the customer. - Customer contract generated – The Company issues a final customer quote which is signed by the customer, and a deposit of 30% of the contract value is typically collected. The customer provides a deposit via check or credit card, which is recorded as unearned revenue on the balance sheet until the job is completed. The customer generally has three days to cancel the sale and receive a full refund, after which the deposit is kept and recognized into revenue as a deposit forfeiture refund; however, in practice we understand the Company typically provides customer refunds beyond the three day window outlined in the customer contract.
2	Opportunity validation / sale	- Sale date – Following the signed contract and receipt of the customer deposit, a new job is created in Business Central to be scheduled. A sales manager is then required to review and approve the sales economics of the transaction within BizWiz, including whether the pricing is aligned to the Company's pricing requirements. Project economics are validated, including review of estimated gross margin (with mandatory approvals for discounts beyond established allowable thresholds), financing, permit / HOA requirements, etc. Management indicated approximately ~99% of sales reach installation. The contract and pricing are then approved by the sales manager, at which point the job costing begins and the warehouse can prepare materials for the job or project. No expenses are recognized at this time. Following the sales manager approval, the CFI receives 50% of eligible commissions which are recognized as a prepaid commission until the job is complete. - Scheduled installation – A scheduled installation date is set which is generally seven days prior to the project start date, and if needed, specialists, permits or utility needs are scheduled as part of this process. There may be a significant gap between the initial customer appointment and the scheduled installation date; however, jobs must be scheduled within 60 days after sale date, after which the job is cancelled from the system and all commissions paid are charged back to the CFI.

Basis of presentation (17) – Order-to-cash (2)

	Topic	Findings
3	Installation	- Occasionally, during installation, a field technician may determine additional work needs to be done (with customer approval, an upsell) or the customer decides to have less work done than the original quote (a descope); a formal request to change the customer quote must be submitted and approved before the change in approved project. - During the installation process, no revenue or expenses are recorded.
4	Job completion	- Job end date – Upon completion of a job, the sales manager will review the final details in BizWiz and mark the job as “Stamped Complete.” The accounting and finance team will pull the “Completed Status Report” to recognize revenue on a batch level based on job type and job end date, and a corresponding AR is recognized, partly offset by any corresponding deposits received. - Confirmed done date – The technician marks the job as complete and provides the check / credit card information to the Company. For financed jobs, the lender disburses funds typically within a day. Field representatives also have point of sales devices for on-site payments via credit card. - Once jobs are complete and the sales manager has reviewed the completed job, final commissions are approved for sales representatives and corresponding expense is recognized. Upon receipt of all funds, commissions are paid and warranties are sent out to the customer. - Upon the job end date being entered, it must be approved by the local operations finance/accounting team where a final review of the job is completed, at which point the job is closed out in Business Central and BizWiz.
5	Revenue recognition	The job end date is utilized as part of monthly reporting, to recognize revenue (including customer deposit), and expenses (including prepaid commissions). Revenue and expenses on incomplete or “open jobs” are not recognized until completion. Given jobs are typically less than a week in duration, the impact of recognizing revenue at the job end date date vs. ratably over the job is minimal.
6	Vendor payment	The Company typically pays vendors upon receipt of vendor invoices. Refer to the <i>Appendix – Income statement overview</i> for details on historical expenses.

Basis of presentation (18) – Current organizational structure

Organizational structure is presented as of the date of this report.



Source: Management provided information

Note (1): All ownership is 100%, unless otherwise noted.

Note (2): All entities are US, unless otherwise noted

Note (3): Refer to the Tax Due Diligence Report for the contemplated transaction legal structure

Basis of presentation (19) – Acquisition and greenfield location summary

The following is a summary of the Company's acquisitions and greenfield locations from Jan-20 forward and their related acquisition dates, expansion start dates, and corresponding net revenue [4] and EBITDA [4], excluding corporate allocations.

Acquisitions - Revenue & EBITDA [4]												
\$'000	Brand	Acq. date	Net revenue					EBITDA, excl. corp. allocations				
			2020	2021	LTM	YTD Jun-21	YTD Jun-22	2020	2021	LTM	YTD Jun-21	YTD Jun-22
					Jun-22					Jun-22		
Foundation Support Specialists ("FSS")	FSS	7/31/2022	4,951	6,758	9,420	3,040	5,702	132	(122)	699	194	1,015
Basement Authority of West Virginia ("BAWV")	BAWV	7/31/2022	5,117	4,519	6,038	1,863	3,382	772	493	1,259	122	888
Peak Structural ("Peak") ⁽¹⁾	Groundworks	4/30/2022	9,410	12,730	10,423	5,481	3,174	323	2,046	1,974	480	407
CLS Foundation Repair & Waterproofing ("CLS") ⁽²⁾	Groundworks	12/31/2021	2,885	4,345	2,204	2,141	-	170	799	400	477	78
Alpha Foundations ("Alpha")	Alpha	12/31/2021	40,639	66,181	73,739	32,335	39,893	6,668	14,679	17,612	7,044	9,977
BQ Basement & Concrete ("BQ")	BQ	11/30/2021	9,940	15,437	19,168	6,930	10,662	1,695	2,599	3,083	1,287	1,771
I'm The Guy ("ITG")	Baker's	7/31/2021	9,554	11,150	12,782	5,980	7,613	1,151	651	1,344	695	1,389
Baker's Waterproofing ("Baker's")	Baker's	5/31/2021	14,295	14,910	20,871	6,105	12,067	5,547	4,024	5,825	1,967	3,768
DryPro ("DryPro")	DryPro	12/31/2020	23,615	31,639	33,497	14,923	16,780	5,213	6,115	7,971	2,408	4,265
AquaGuard ("AG")	AG	12/31/2020	42,648	45,748	50,394	22,703	27,349	10,309	9,870	11,905	4,665	6,700
Foundation Systems of Michigan ("FSM") ⁽³⁾	FSM	7/31/2020	46,761	58,638	57,509	29,705	28,576	13,087	14,528	10,003	8,312	3,787
AFS Foundation & Waterproofing Specialists ("AFS")	AFS	6/30/2020	74,797	102,529	112,671	47,149	57,291	23,234	29,941	32,926	14,012	16,996
Foundation Repaired of Western Colorado ("FRWC")	FRWC	1/31/2020	3,750	6,329	8,614	2,651	4,936	780	1,389	2,097	498	1,206
Total [4]			288,361	380,912	417,330	181,007	217,426	69,082	87,012	97,099	42,162	52,248

Greenfield - Revenue & EBITDA [4]												
\$'000	Brand	Expansion start date ⁽⁴⁾	Net revenue					EBITDA, excl. corp. allocations				
			2020	2021	LTM	YTD Jun-21	YTD Jun-22	2020	2021	LTM	YTD Jun-21	YTD Jun-22
					Jun-22					Jun-22		
Auburn	AFS	Jan-22	-	-	3,868	-	3,868	-	-	1,673	-	1,673
Charleston	Mount Valley Foundation Services ("MVFS")	Jun-21	-	1,565	6,448	-	4,882	-	66	758	15	707
Des Moines	Foundation Recovery Systems ("FRS")	Jun-21	-	1,133	4,902	0	3,769	-	211	587	7	382
Cincinnati	Ohio Basement Authority ("OBA")	Feb-21	-	2,701	5,908	(0)	3,207	-	129	268	28	168
Colorado Springs ⁽⁵⁾	Complete Basement Systems ("CBS")	Jan-21	985	3,225	8,430	(0)	5,205	477	731	499	20	(211)
Baltimore	JES Foundation Repair ("JES")	Jan-20	3,695	8,488	10,914	3,805	6,231	777	321	1,044	231	954
St Louis	FRS	Jan-20	5,517	13,730	16,283	6,118	8,671	797	2,228	2,939	897	1,608
Total [4]			10,196	30,842	56,753	9,922	35,833	2,051	3,686	7,769	1,198	5,281

Greenfield locations as presented in this report only include locations established Jan-20 and forward under GW ownership. We understand Greenville, Roanoke, Raleigh, and Springfield were greenfield expansions in prior periods.

Source (all): Management provided information

Note (1): Post-acquisition, Peak operations are consolidated into the existing Denver and Colorado Springs locations, resulting in a decline in the revenue and EBITDA as presented above.

Note (2): CLS is an acquisition that is treated as a Greenfield location post-acquisition; as such, revenue and EBITDA decline in YTD-22 due to the first six months of operations under GW ownership added back as a Greenfield location; Refer to Quality of earnings – Management adjustments for more detail.

Note (3): FSM as presented here includes Grand Rapids, which was expanded in Jul-20, concurrent with acquisition.

Note (4): Expansion start date represents the date a physical location was opened for the new branch.

Note (5): Colorado Springs has activity prior to its expansion start date of Jan-21, as service to the branch area began to be tracked prior to opening of the physical location; however, the expansion start date is treated as the beginning of the Greenfield location; refer to Quality of earnings – Management adjustments for more detail.

Appendix | Scope of work

DRAFT

3.7

Engagement letter procedures

Financial due diligence assistance

Certain periods and procedures, bolded below, were not considered or performed based on discussions with you.

*Unless otherwise noted, our work will concentrate on the **2019, 2020, and 2021** fiscal years ("initial diligence period") and the most recent year-to-date and last-twelve-months **2022** period ("rollforward period") financial information. The rollforward period (if any) will be within three months of the initial diligence period.*

- 1) Meet with the Company's officers and management to obtain background information about the Company, including its:
 - History;
 - Organizational structure and management reporting relationships;
 - Vendor / supplier / financing partner relationships and agreements;
 - Range of products;
 - Range of states and regions served;
 - Acquisition integration;
 - Business risks and opportunities; and
 - Information systems.
- 2) Obtain and read the financial due diligence reports, prepared by Dixon Hughes Goodman, LLP, ("DHG") for all acquisitions completed during 2019, 2020, 2021 and 2022.
- 3) Read the Company's financial statements and discuss the Company's accounting policies and practices with management, including:
 - Performance trends;
 - Accounting policies, including recent or contemplated changes in accounting principles, procedures, or estimates;
 - Consolidation process across locations (as applicable);
 - Reporting methodology (including manual vs. automated reporting activities, and information prepared outside of the accounting system);
 - Basis for cost allocations by geography and/or entity (as applicable);
 - Significant accounting estimates (e.g. warranty);
 - Impact of foreign currencies, if any;
 - Key business systems and their integration with the financial systems (e.g., BizWiz);
 - Intercompany accounts and related party transactions; and
 - Internal control environment.
- 4) Read the Company's auditors' workpapers, management letters, and reports to the audit committee for the **2020** and 2021 (when available) audits.
- 5) Comment on the Company's monthly, quarterly and annual closing procedures and timing. Provide a summary overview of the accounting system, including key software utilized.
- 6) Obtain and read materials outlining the Company's historical bookings and revenues, and inquire about the following:
 - Revenue recognition policies and deferred revenue (including differences by revenue stream (i.e., repair jobs vs. service contracts vs. software revenues));
 - Unusual or non-standard contracts;
 - Gross-to-net adjustments (e.g., allowances, discounts, credits, returns, warranties, rebates, co-op credits, financing fees, etc., including returns and rebates by vendor);
 - Pricing model (by customer, by service line, by market, etc.) including a review of new pricing strategies, major supplier arrangements and associated sales and margin trends as well as the impact of customer/vendor discounting and rebates;
 - Bookings, revenue and gross margin trends by service line (e.g. foundation repair, crawl space encapsulation, basement waterproofing, annual service contracts, etc.) and by location / region;
 - Bookings, revenue and profit/margin seasonality, by geography, by service line;
 - Non-recurring revenue;
 - Out-of-period adjustments;
 - Reserves for doubtful accounts; and
 - Sales cut off.
- 7) Obtain and read an analysis of the Company's historical expenses and inquire about:
 - Direct product costs (including the potential impact of tariffs; amounts capitalized to inventory vs. expensed to-date; and annual impact);
 - Manufacturing costs, if applicable;
 - Customer financing arrangements, related expenses and their impact on gross margin;
 - Marketing and advertising costs by program type / media channel and location;
 - Composition of headcount, employee costs by function, trends in personnel salary and wages, and run-rate expense levels;
 - Employee benefits and related changes / impact to run-rate expense levels;
 - In-bound costs;
 - Freight / shipping arrangements, related costs, and trends in freight margin;
 - Supplier rebates;
 - Other costs of goods sold (variances to standard costing, etc.);
 - Distribution cost trends;
 - Labor costs and compensation programs by function;
 - Incentive compensation programs (executive bonuses, commissions, the gainshare program(s), any other employee bonus / commission / compensation programs);
 - Selling, general, and administrative expenses;
 - Lease renewals and expense impact upon renewal;
 - Returns, warranty claims, etc.;

Engagement letter procedures (2)

- Expenditures for websites, CRM systems, accounting systems, system integration / customization (if applicable);
 - Capitalized software and information technology costs;
 - Corporate expenses, and their allocation among regions and locations;
 - Unusual and extraordinary items; and
 - Expense cut off.
- 8) Summarize potential adjustments identified regarding the profit and loss performance of the Company in the form of a quality of earnings analysis, summarizing the risks that may impact net sales and earnings before interest, taxes, depreciation and amortization ("EBITDA"), including but not limited to the following:
- Management adjustments;
 - One-time, non-recurring, and out-of-period items; and
 - Pro forma impact of acquisitions, as well as new/recently opened de novo location ramp-up/maturation (inclusive of start-up/launch costs). For greenfield locations, review and quantify revenue and profitability ramp as well as capital / operating costs required during the ramp period.
- 9) Obtain and read an analysis of historical monthly working capital levels, adjust for non-recurring, non-operational, and pro forma items and discuss with management trends and the impact on cash. Review the proposed working capital definitions per the proposed purchase agreement for and provide comments on consistency with our findings or areas for clarifications. **Procedures not performed on 2020.**
- 10) Obtain and read an analysis of the Company's accounts receivable, prepaid expenses, and other current assets by region, and inquire about:
- Credit memos;
 - Aging analysis;
 - Trade and non-trade balances;
 - Allowance for uncollectible accounts and write-offs;
 - Credit terms;
 - Reserves and adjustments; and
 - Prepaid commission composition, accounting, and trends over the historical period;
- 11) Obtain and read an analysis of the Company's inventory and inquire about the following:
- Inventory costing, including labor absorption and freight capitalization;
 - Inventory composition by region and product;
 - Inventory aging and turnover;
 - Slow-moving, excess, and obsolete inventory; and
 - Inventory reserve and adjustments.
- 12) Obtain and read an analysis of the Company's fixed assets, capital expenditures, and other assets, including a detailed schedule of historical capital expenditures (categorized by growth vs. maintenance (including supporting growth capital expenditures for acquisitions and greenfield locations), or by asset type, or using other classifications based on discussions with management). Inquire about:
- General condition of vehicle fleet and other assets including their original and replacement costs;
 - Historical, deferred, and planned capital expenditures;
 - Impairment write-downs and issues;
 - Fleet capacity; and
 - Maintenance procedures and expenditures.
- 13) Obtain and read an analysis of the Company's accounts payable and accrued liabilities and inquire about:
- Accounts payable aging;
 - Accrued liabilities;
 - Other current and non-current liabilities;
 - Customer credits, deposits and deferred revenue; and
 - Major suppliers.
- 14) Inquire about significant commitments and contingent liabilities including:
- Letters of credit, performance bonds or other contingencies;
 - Self-insurance;
 - Post-retirement benefits;
 - Unfunded pension;
 - Minimum purchase / sales guarantees for third-party supplied products;
 - Warranty and repairs;
 - Incentive compensation;
 - Pending or threatened litigation or investigations by regulatory or other authorities; and
 - Capital expenditures.
- 15) Inquire into the Company's relationship with its employees and independent contractors, as applicable. Understand the composition of key management compensation, including base salary, bonus and other variable compensation, and other compensation arrangements (including the Company's "gainshare" program.
- 16) Inquire about whether the Company has entered into leases, sales and purchase commitments or contracts, or has otherwise restricted the use of the Company's assets or has incurred liabilities not disclosed.
- 17) Read an analysis of the Company's balance sheet at the most recently available date and discuss with management any debt and debt-like items and other commitments and contingencies.
- 18) Advise management in the identification and nature of analysis of information which bidders would expect to be provided in a data room. This includes commenting on the data room index, phasing of provision of data room materials and further information to be considered for inclusion in the data room.

Engagement letter procedures (3)

Transaction financial performance procedures

Unless otherwise noted, our work will concentrate on the fiscal years 2017 through 2021 and the most recent year-to-date and last-twelve-months 2022 period ('rollforward period') financial information. Analyses will be completed on a pro forma basis for historical acquisitions where possible.

- 1) Obtain two transaction-based database(s) including: (i) Financial database for all installed jobs ('Financial database'), and **(ii) Bookings database including sales leads ('Bookings database')**, and discuss with management the basis of presentation, systems leveraged, consistency of data, and reconciliation to the financial statements.
- 2) Obtain from management and summarize reconciliations of the (i) Financial database to the financial statements for revenue, COGS, gross profit and EBITDA, and **(ii) Bookings database to internal monthly reporting packages**, for fiscal years 2017-2021, and the most recent available year-to-date financial information. Where possible, also obtain and summarize a reconciliation from the Financial database to Bookings database, for installed jobs only.
- 3) Summarize and discuss with management the following trends, as relevant, focused primarily on 2017-2021 and the most recent available year-to-date and last-twelve-months financial information. Analyses will be performed by location / region and service category. Completion of the below scope items will be determined in consultation with management based upon the review of available data and ability to tie to the reported financial results. Work products will include organized analyses as well as a pivotable or flat-file database (depending on file size).
 - a) Financial database
To be performed by service line (to the extent applicable) by branch, by region, by month:
 - i. Sales, Backlog, Net Revenues, Gross Profit / Margin, and EBITDA (pre-/Corporate expenses)
 - ii. For service line focused analyses, include:
 - a) Service category gainers and decliners in terms of sales and revenues; and
 - b) Average selling price, volume trend and margin analysis.
 - iii. Other analyses, as identified during diligence, including:
 - a) Sales, revenue and margin bridges (including detailed COGS analysis); and
 - b) Greenfield and acquisition performance analysis.

b) Sales and marketing / lead database

- i. Sales and marketing KPI analysis (by branch, by region, by month):
 - a) Advertising spending by medium and any available metrics to track performance / effectiveness; and
 - b) Lead, sales and return / efficiency analysis including presentation of all metrics presented in Target management's monthly KPI internal report.
- ii. Other analysis, as identified during diligence, could include:
 - a) Performance by sales representative; and
 - b) Third-party financed job trends.

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